10 Financial Statements (Without Adjustments)

Learning Objectives

After studying this chapter, you should be able to understand:

- Meaning of Financial Statements
- Users of Financial Statements
- Trading Account — Meaning, Purpose, Contents, Format
- Profit and Loss Account – Meaning, Purpose, Contents, Format
- Balance Sheet [or Position Statement] – Meaning, Characteristics, Purpose, Contents
- Items to be shown on the Assets side of a Balance Sheet
- Items to be shown on the Liabilities side of a Balance Sheet
- Contingent Asset
- Contingent Liability
- Distinction between Contingent Liability and Other Liabilities
- Grouping and Marshalling of Assets and Liabilities
- Distinction between Order of Liquidity and Order of Permanence
- Distinction between Trading and Profit and Loss Account and Balance Sheet
- Distinction between a Trial Balance and a Balance Sheet
- Methods of Presenting the Final Accounts
- Treatment of some items which may be Direct items/Indirect items/Incomes/Expenses
- Classification of Capital and Revenue
- Distinction between Capital Expenditure and Revenue Expenditure
- Distinction between Capital Receipts and Revenue Receipts

1.0 MEANING OF FINANCIAL STATEMENTS

1. Basically, Financial Statements are organised summaries of detailed information about the financial position and performance of an enterprise.
2. Traditionally, the term 'Financial Statements' is used to denote only two basic statements which are as under:
   (a) **Balance Sheet (or Position Statement)** which shows the **financial position** of an enterprise **at a particular point of time,**
   (b) **Trading and Profit and Loss Account (or Income Statement)** which shows the **financial performance** of an enterprise **during an accounting period.**
3. Nowadays, in addition to the aforesaid two basic financial statements, a Cash Flow Statement and Value Added Statement are also prepared in practice.

2.0 USERS OF FINANCIAL STATEMENTS

1. The information contained in these statements is used by the management, present and potential investors, lenders, short-term creditors, employees, customers, governments and their agencies to satisfy some of their different needs for information.
2. Users can get better insight about the financial strengths and weaknesses of the firm if they properly analyse the information from their own points of view.
3. The usefulness of the Financial Statements for some of the users is explained below:

Users	Need for information
1. **Short-term creditors** [***For example, Suppliers of raw materials/goods, suppliers of short-term loans***]	Short-term creditors need information to determine whether the amount owing to them will be paid when due and whether they should extend, maintain or restrict the flow of credit to an individual enterprise.
2. **Long-term creditors** [***For Example, Suppliers of long-term loans***]	Long-term creditors need information to determine whether their principals and the interest thereof will be paid when due and whether they should extend, maintain or restrict the flow of credit to an enterprise.
3. **Present investors** [***For example, Share Holders***]	Present investors need information to judge prospects for their investment and to determine whether they should buy, hold or sell the shares.
4. **Potential Investors** [***For example, those who want to invest in Shares***]	Potential investors need information to judge prospects of an enterprise and to determine whether they should buy the shares.

5. **Management**	Management need information to review the firm's (a) Short-term Solvency, (b) Long-term Solvency, (c) Activity (viz., effective utilisation of its resources), (d) Profitability in relation to Turnover, (e) Profitability in relation to Investments and to decide upon the course of action to be taken in future.
6. **Employees**	Employees and their representative groups are interested in information about the stability and profitability of the employers. They are also interested in information which enables them to assess the ability of the enterprise to pay remuneration, retirement benefits and to provide employment opportunities and future promotions.
7. **Tax Authorities**	Tax authorities need information to assess the tax liabilities of an enterprise.
8. **Customers**	Customers have an interest in information about the continuation of an enterprise, especially when they have established a long term involvement with, or are dependent on, the enterprise.
9. **Government and their agencies**	Government and their agencies are interested in the allocation of resources and, therefore, the activities of enterprise. They also require information in order to regulate the activities of enterprise, determine taxation policies and as the basis the national income and similar statistics.
10. **Public**	Enterprises affect members of the public in a variety of ways. *For example*, enterprises may make a substantial contribution to the local economy in many ways including the number of people, they employ and their patronage of local suppliers. Financial statements may assist the public by providing information about trends and recent developments in the prosperity of the enterprise and the range of its activities.

While all the information needs of these users cannot be made by financial statements, there are some needs which are common to all users. The information contents of the financial statements which meet information needs of the investors or providers of risk capital will also meet most of the needs of other users.

3.0 TRADING ACCOUNT

After preparing a tallied trial balance at the end of an accounting period, the next step is to prepare Trading Account.

Meaning of Trading Account

Trading account is one of the financial statements which shows the result of buying and selling of goods and/or services during an accounting period.

Purpose of Trading Account

Trading account is prepared to know the **Gross Profit or Gross Loss** during the accounting period. The basis for the preparation of this account is the matching of Selling Prices of Goods and Services with the Cost of Goods sold and Services rendered.

Note: Gross Profit = Operating Revenues – Direct Operating Expenses

Contents of Trading Account

Items to be shown on the Debit side of Trading Account

1. **Opening Stock** refers to the Closing Stock of unsold goods at the end of previous accounting period which has been brought forward in the current accounting period.
2. **Purchases** refer to those goods which have been bought for resale. Purchases include cash as well as credit purchases. The following items are shown by way of deduction from the amount of total purchases:

(i) Purchases Returns or Return Outwards (i.e., Goods returned to suppliers)
(ii) Goods withdrawn by the proprietor for his personal use.
(iii) Goods distributed by way of free samples.
(iv) Goods given as charity.
(v) Goods destroyed by Fire, Flood, Earthquake or other abnormal factors.

3. **Direct expenses** refer to all those expenses which are incurred from the stage of purchase till the stage of making the Goods in saleable condition. Such expenses include the following expenses:
(i) Freight Inwards (ii) Import Duty (iii) Octroi (iv) Carriage Inwards and Cartage Inwards (v) Wages.

Items to be shown on the Credit side of Trading Account

1. **Sales** refer to the Sales of those Goods and Services in which the enterprise deals. Sales include cash as well as credit sales.
2. **Sales Returns or Returns Inwards** (i.e., Goods returned by customers) are shown by way of deduction from the amount of credit Sales.
3. **Closing Stock** refers to the Stock of unsold goods at the end of the current accounting period. According to Prudence Principle, Stock is valued at cost *or* Net Realisable Value (NRV) whichever is lower. **For example,** if Cost of Closing

Stock is ₹ 50,000 but its market value is ₹ 40,000, Closing Stock will be taken at ₹ 40,000. The rationale behind this practice is to provide for anticipated losses. Closing Stock is accounted for as under:	
I **If the Closing Stock appears outside the Trial Balance**	1. The following entry is passed to incorporate the Closing Stock in the books: Closing Stock A/c Dr. To Trading A/c 2. Closing Stock is to be disclosed both on the credit side of the Trading Account and on theAssets side of the Balance Sheet.
II **If the Closing Stock appears inside the Trial Balance**	1. Closing Stock need not be disclosed in the Trading Account since the Closing Stock has already been taken into account while computing the Adjusted Purchases/Cost of Goods Sold. 2. Closing Stock is to be disclosed on the Assets side of the Balance Sheet.

How to Prepare Trading Account

The preparation of a Trading Account requires the passing of entries to transfer the balances of accounts of all the concerned items to the Trading Account. The entries required for such transfers are called 'Closing Entries', since such entries will close the accounts of all the concerned items. The following closing entries are passed to give affect to such transfer of balances:

Account(s) to be closed	Accounting Entry to be passed
(a) **Purchases Returns Account**	Purchase Returns A/c Dr. To Purchases A/c
(b) **Opening Stock Account, Purchases Account and Accounts of Direct Expenses (e.g., Wages, Carriage Inwards, Freight Inwards)**	Trading A/c Dr. To Opening Stock A/c To Purchases A/c To Direct Expenses A/c
(c) **Sales Returns or Return Inwards Account**	Sales A/c Dr. To Sales Returns A/c
(d) **Sales**	Sales A/c Dr. To Trading A/c

How to Close Trading Account

The Trading Account is closed by transferring its balance to the Profit and Loss Account by passing the following entry:

	Nature of the Balance in Trading Account	Accounting Entry to be passed	
(a)	**In case of Gross Profit (i.e., when the credit side exceeds the debit side)**	Trading A/c To Profit & Loss A/c	Dr.
(b)	**In case of Gross Loss (i.e., when the debit side exceeds the credit side)**	Profit & Loss A/c To Trading A/c	Dr.

A General Format of A Trading Account

TRADING ACCOUNT OF....

Dr. *for the period ending on. . .* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		xxx	By Sales	xxx	
To Purchases	xxx		*Less:* Return Inwards	xxx	xxx
Less: Returns outwards	xxx	xxx	By Closing Stock		xxx
Less: Abnormal Loss	xxx		By *Gross Loss transferred to		
Less: Goods for personal use	xxx		P & L A/c		xxx
Less: Goods distributed as Free Samples	xxx				
Less: Goods distributed for Charity	xxx				
To Direct Expenses		xxx			
To Wages and Salaries		xxx			
To Freight Inward		xxx			
To Carriage Inward		xxx			
To Cartage Inward		xxx			
To *Gross Profit transferred to P & L A/c		xxx			
		xxx			xxx

**Either Gross Profit or Gross Loss shall appear.*

ILLUSTRATION 1

From the following information, prepare the Trading Account for the year ending on 31st March 2013:

Opening Stock ₹ 1,50,000, Cash Sales ₹ 60,000, Credit Sales ₹ 12,00,000, Returns Outwards ₹ 10,000, Wages & Salaries ₹ 4,000, Carriage Inward ₹ 2,000, Freight Inward ₹ 3,000, Cartage Inward ₹ 1,000, Cash Purchases ₹ 50,000, Credit Purchases ₹ 10,00,000, Returns Inward ₹ 20,000, Cost of Closing Stock ₹ 90,000 but its market value is ₹ 84,000.

SOLUTION

TRADING ACCOUNT

Dr. *for the year ending 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		1,50,000	By Sales		
To Purchases:			Cash Sales	60,000	
Cash Purchases	50,000		Credit Sales	12,00,000	
Credit Purchases	10,00,000		Total Sales	12,60,000	
Total Purchases	10,50,000		*Less:* Return Inward	20,000	12,40,000
Less: Return Outwards	10,000	10,40,000	By Closing Stock (valued at Cost or Net Realizable Value whichever is lower)		84,000
To Freight Inward		3,000			
To Carriage Inward		2,000			
To Cartage Inward		1,000			
To Wages & Salaries		4,000			
To Gross Profit t/f to P & L A/c		**1,24,000**			
		13,24,000			13,24,000

ILLUSTRATION 2

From the following information, prepare the Trading Account for the year ending on 31st March 2013.

Adjusted Purchases ₹ 11,06,000, Sales ₹ 12,40,000, Closing Stock ₹ 84,000, Freight and Cartage Inwards ₹ 6,000, Wages ₹ 4,000, Freight & Cartage Outwards ₹ 3,000.

SOLUTION

TRADING ACCOUNT

Dr. *for the year ending 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*	₹
To Adjusted Purchases	11,06,000	By Sales	12,40,000
To Freight and Cartage Inwards	6,000		
To Wages	4,000		
To Gross Profit t/f to P & L A/c	**1,24,000**		
	12,40,000		12,40,000

Notes:

1. Adjusted Purchases = Net Purchases + Opening Stock – Closing Stock
2. Closing Stock has not been shown on the credit of Trading Account since it has already been adjusted while calculating adjusted purchases.
3. Freight & Cartage Outwards are indirect expenses and hence not debited to Trading Account.

ILLUSTRATION 3

From the following information, prepare the Trading Account for the year ending on 31st March 2013.

Cost of Goods Sold ₹ 11,16,000, Sales ₹ 12,40,000, Closing Stock ₹ 84,000.

SOLUTION

TRADING ACCOUNT

Dr. *for the year ending 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*	₹
To Cost of Goods Sold	11,16,000	By Sales	12,40,000
To Gross Profit b/f to P & L A/c	**1,24,000**		
	12,40,000		12,40,000

Notes:

1. Cost of Goods Sold = Opening Stock + Purchases + Direct Expenses – Closing Stock
2. Closing Stock has not been shown on the credit of Trading Account since it has already been adjusted while calculating Cost of Goods sold.

4.0 PROFIT AND LOSS ACCOUNT

After preparing a Trading Account, the next step is to prepare Profit & Loss Account.

Meaning of Profit & Loss Account

The Profit and Loss account is one of the financial statements. It shows the financial performance of an enterprise during an accounting period.

Purpose of Profit & Loss Account

The Profit and Loss Account is prepared to ascertain the **Net Profit earned** *or* **Net Loss incurred** by an enterprise during an accounting period.

Notes:

1. **Net Profit** = All Revenues (whether Operating *or* Non-Operating) – Expenses & Losses (whether Operating or Non-Operating).
2. **Operating Profit** = Operating Revenues – Operating Expenses & Losses. It arises as a result of carrying out Operating Activities.
3. **Operating Activities** are the principal revenue producing activities of the enterprise and other activities that are not investing or financial activities. **For example** – Sales and Purchases of buildings by Builders and Property Dealers are operating activities. Granting loans to third parties by them are Investing Activities. Taking loans from third parties by them are financing Activities.

Contents of Profit & Loss Account

Items to be shown on the debit side of Profit & Loss Account	Items to be shown on the credit side of Profit & Loss Account
1. Discount Allowed	1. Discount Received
2. Commission Allowed	2. Commission Earned
3. Loss on Sale of Short-term Marketable Securities	3. Profit on Sale of Short-term Marketable Securities
4. Loss on Sale of Fixed Assets	4. Profit on Sale of Fixed Assets

5. Interest paid on Loans & Advances taken	5. Interest received on Loans & Advances given
6. Rent paid	6. Rent earned from Investment in Immovable Properties
7. Royalty paid for using Copyrights of Books, Mines etc.	7. Royalty Income from Copyrights of Books, Mines etc
8. Loss of Stock due to fire, flood, earthquake etc.	8. Interest on Short-term Marketable Securities
9. Loss of Fixed Assets due to fire, flood, earthquake etc.	9. Interest earned from Investment in Debentures, Bonds
	10. Dividend received from Investment in Shares

How to prepare Profit & Loss Account

The preparation of the Profit and Loss Account requires (a) to bring down the Gross Profit/Gross Loss and (b) to pass the necessary entries to transfer the balances of accounts of all the concerned items to the Profit and Loss Account. The entries required for such transfer are called closing entries since such entries will close the accounts of all the concerned items. The following closing entries are passed to give effect to such transfer of balances:

Case	Accounting Entry to be passed
(a) **To close the Accounts of Indirect Expenses and Losses (i.e., other than those shown on the debit side of the Trading Account)**	Profit & Loss A/c Dr. To Respective Items of Expenses & Losses (Individually)
(b) **To close the Accounts of Indirect Incomes and Gains (i.e., other than those shown on the credit side of the Trading Account)**	Respective Items of Income and Gains (Individually) Dr. To Profit & Loss A/c

How to close Profit & Loss Account

The Profit and Loss Account is closed by transferring its balance to the Capital Account of the proprietor (in case of a proprietorship concern) *or* of the partners (in case of a partnership firm) by passing the following entry:

(a) **In case of Net Profit (i.e., when the credit side exceeds the debit side)**	Profit & Loss A/c Dr. To Capital A/c
(b) **In case of Net Loss (i.e., when the debit side exceeds the credit side)**	Capital A/c Dr. To Profit & Loss A/c

A General Format of a Profit & Loss Account

PROFIT AND LOSS ACCOUNT OF...

Dr. *for the period ending on...* *Cr.*

Particulars	₹	*Particulars*	₹
To Gross Loss b/d	xxx	By Gross Profit b/d	xxx
To Salaries & Wages	xxx	By Discount received	xxx
To Rent, Rates & Taxes	xxx	By Commission earned	xxx
To Fire Insurance Premium	xxx	By Interest on Short-term	
To Repairs & Maintenance	xxx	Marketable securities	xxx
To Depreciation	xxx	By Profit on Sale of Short-term	
To Audit Fees	xxx	Marketable Securities	xxx
To Bank Charges	xxx	By Operating Loss c/d	xxx
To Legal Charges	xxx		
To Miscellaneous Expenses	xxx		
To Carriage Outward	xxx		
To Freight Outward	xxx		
To Commission to Salesmen	xxx		
To Travelling Expenses	xxx		
To Entertainment Expenses	xxx		
To Sales Promotion Expenses	xxx		
To Advertising and Publicity	xxx		
To Bad Debts	xxx		
To Packing Expenses	xxx		
To Operating Profit c/d	xxx		
	xxx		xxx
To Operating Loss b/d	xxx	By Operating Profit b/d	xxx
To Interest on Loan	xxx	By Rent earned	xxx
To Loss on Sale of Fixed Assets	xxx	By Interest earned	xxx
To *Net Profit transferred to		By Profit on sale of fixed assets	xxx
Capital Account	xxx	By Income from investments	xxx
		By Dividend Received	xxx
		By *Net Loss transferred to	
		Capital Account	xxx
	xxx		xxx

**Either Net Profit or Net Loss shall appear.*

ILLUSTRATION 4

From the following information, prepare the Profit & Loss Account showing Operating Profit separately in the account itself of a Trader for the year ending on 31st March, 2013:

	₹		₹
Gross Profit	5,00,000	Commission Allowed	5,000
Salaries & Wages	10,000	Commission Received	17,000
Wages & Salaries	1,000	Interest on loan	3,000
Carriage Inwards	2,000	Interest Received	4,000
Carriage Outwards	5,000	Rent Paid	4,000
Freight Inward	3,000	General Expenses	1,000

Freight Outward	5,000	Rent Received	5,000
Discount Allowed	1,000	Brokerage Allowed	3,000
Discount Received	2,000	Loss on Sale of Fixed Assets	7,000
Dividend Received	3,000		
Profit on Sale of Fixed Assets	5,000		

SOLUTION

PROFIT & LOSS ACCOUNT

Dr. *for the year ending 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*	₹
To Salaries & Wages	10,000	By Gross Profit	5,00,000
To Carriage Outwards	5,000	By Discount Received	2,000
To Freight Outwards	5,000	By Commission Received	17,000
To Discount Allowed	1,000		
To Commission Allowed	5,000		
To Rent Paid	4,000		
To General Expenses	1,000		
To Brokerage Allowed	3,000		
To Operating Profit c/d	4,85,000		
	5,19,000		5,19,000
To Interest on Loan	3,000	By Operating Profit b/d	4,85,000
To Loss on Sale of Fixed Asset	7,000	By Interest Received	4,000
To Net Profit t/f to Capital A/c	**4,92,000**	By Rent Received	5,000
		By Dividend Received	3,000
		By Profit on Sale of Fixed Assets	5,000
	5,02,000		5,02,000

ILLUSTRATION 5

From the following information, prepare the Profit & Loss Account for the year ending on March 31, 2013:

	₹		₹
Gross Profit	62,000	Salaries and Wages	20,000
Discount received	1,000	Discount allowed	2,000
Interest on loan paid	2,500	Interest received	3,000
Commission received	2,000	Commission to Salesmen	1,500
Rent, Rates & Taxes paid	4,000	Rent received	1,000
Fire Insurance Premium	3,600	Carriage Outward	1,000
Freight outward	500	Repairs and Maintenance	600
Printing & Stationery	600	Traveling Expenses	1,600
Entertainment Expenses	1,200	Water and Electricity	1,200
Postage & Telegram	500	Advertising and Publicity	4,000
Sales Promotion Expenses	400	Telephone Expenses	1,000
Bad Debts	1,000	Packing Expenses	500
Audit Fees	2,000	Bank Charges	400
Depreciation on Furniture:		Legal Charges	1,000
– Sales office	1,000	Miscellaneous Expenses	1,000

– Administrative office	2,000	Loss on sale of Fixed Assets	500
Miscellaneous Incomes	2,000	Loss by theft	5,000
Profit on sale of Fixed Assets	8,500	Dividend received on Shares	300
Loss by Fire	1,000	Income from Investments	200
Loss by Embezzlement	1,000		

SOLUTION

PROFIT AND LOSS ACCOUNT

Dr. *for the year ending 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*	₹
To Salaries & Wages	20,000	By Gross Profit b/d	62,000
To Rent, Rates & Taxes	4,000	By Discount earned	1,000
To Fire Insurance premium	3,600	By Interest earned	3,000
To Repairs & Maintenance	600	By Commission earned	2,000
To Printing & Stationery	600	By Rent earned	1,000
To Water & Electricity	1,200	By Profit on Sale of Fixed Assets	8,500
To Postage & Telegrams	500	By Income from investments	200
To Telephone Expenses	1,000	By Miscellaneous Incomes	2,000
To Depreciation on Furniture	3,000	By Dividend on Shares	300
To Audit Fees	2,000		
To Bank Charges	400		
To Legal Charges	1,000		
To Miscellaneous Expenses	1,000		
To Discount Allowed	2,000		
To Carriage Outward	1,000		
To Freight Outward	500		
To Commission to Salesmen	1,500		
To Travelling Expenses	1,600		
To Entertainment Expenses	1,200		
To Sales Promotion Expenses	400		
To Advertising & Publicity	4,000		
To Bad Debts	1,000		
To Packing Expenses	500		
To Interest on Loan	2,500		
To Loss on sale of Fixed Assets	500		
To Loss by Fire	1,000		
To Loss by Theft	5,000		
To Loss by Embezzlement	1,000		
To Net Profit transferred to Capital A/c	**17,400**		
	80,000		80,000

5.0 BALANCE SHEET [OR POSITION STATEMENT]

After preparing the Profit & Loss Account, the next step is to prepare a Balance Sheet.

Meaning of Balance Sheet

A Balance Sheet is one of the financial statements. A Balance Sheet is a Statement of Financial Position of an enterprise at a given date which shows its Assets, External

Liabilities, Capital and Reserves and Surplus. It is called a Balance Sheet because it is a sheet of balances of those ledger accounts (i.e., Personal Accounts, Real Accounts, Fictitious Assets Accounts not yet w/o) which are never closed.

Characteristics of a Balance Sheet

1. A Balance Sheet is **only a statement and not an account**. It has no debit side or credit side. The headings of the two sides are 'Assets' and 'Liabilities'.
2. A Balance Sheet is prepared **at a particular point of time and not for a particular period**. The information contained in a Balance Sheet is true only at that particular point of time at which it is prepared.
3. A Balance Sheet is a **summary of balances of** those ledger **accounts** which have **not** been **closed** by transfer to the Trading and Profit and Loss Account.
4. A Balance Sheet **shows the nature and value of assets** and the **nature and the amount of liabilities** at a given date.

Purpose of Balance Sheet

1. To ascertain the Nature and Value of Assets of a business.
2. To ascertain the Nature and Amount of Liabilities of a business.
3. To find out the Financial Solvency of an enterprise. An enterprise is considered to be a solvent if its Assets exceed its External Liabilities.

When is Balance Sheet Prepared

Balance Sheet is prepared after the preparation of Profit & Loss Account.

Sides of Balance Sheet

1. In India the right hand side of a Horizontal Balance Sheet is called the 'Assets' side and the left hand side is called the 'Liabilities' side.
2. In some of the other countries (*for example Australia*), The right hand side of a Balance Sheet is called the 'Liabilities' side and the left hand side is called the 'Assets' side.

Nature of Accounts Shown in the Balance Sheet

1. The debit balances of those ledger accounts (i.e., Personal Accounts, Real Accounts, Fictitious Assets Accounts) which still remain open even after the preparation of the Trading and Profit and Loss Account, are shown on the 'Assets' side of the Balance Sheet.
2. The credit balances of those ledgers accounts (i.e., Personal Accounts) which still remain open after the preparation of the Trading and Profit & Loss Account are shown on the 'Liabilities' side of the Balance Sheet.

6.0 ITEMS TO BE SHOWN ON THE ASSETS SIDE OF A BALANCE SHEET

1. **Fixed Assets** — Fixed Assets refer to those assets which are held for the purposes of producing *or* providing Goods *or* Services and those which are not held for resale in the normal course of business. Fixed Assets may be classified as follows:
   - **(i) A Tangible Asset** is an identifiable non-monetary asset, ***with physical substance*****,** which is held for use in the production or supply of goods *or* services, or for rental to others, or for administrative purposes. **For example,** Land & Building, Plant & Machinery, Furniture & Fixtures.
   - **(ii) An Intangible Asset** is an identifiable non-monetary asset, ***without physical substance*****,** which is held for use in the production *or* supply of goods or services, or for rental to others, or for administrative purposes. **For example,** Goodwill, Patents, Trade Marks.

   Note: *Fixed assets are usually valued at Cost less Depreciation.*
2. **Investments** are assets held by an enterprise for earning income by way of Dividends, Interest, and rentals, for Capital Appreciation, *or* for other benefits to the investing enterprise.

   For example, Investment in Shares, Investment in Debentures & Bonds, Investment in Immovable Properties.
3. **Current Assets** — Current assets are those assets which are held –
   - (i) in the form of Cash *or* Cash Equivalents e.g., Cash in hand and Cash at bank,
   - (ii) for their conversion into Cash normally within 12 months from the date of Balance Sheet. *e.g.,* Stock of Finished Goods, Debtors, Bills Receivable, Accrued Income,
   - (iii) for their consumption in the production of goods *or* rendering of services in the normal course of business *e.g.,* Stock of Raw Materials, WIP.

   Note: Current Assets are usually valued at Cost *or* Net Realizable Value (i.e. Realizable Value *less* Realization Expenses) *whichever is lower* on the basis of Prudence Principle.

TUTORIAL NOTES

1. ***An Asset*** *is a resource:*
   - *(a) which is controlled by an enterprise as a result of past events; and*
   - *(b) from which future economic benefits are expected to flow to the enterprise*
2. ***Non-Monetary Assets*** *are assets other than Monetary Assets.* ***Monetary Assets*** *are money held and assets to be received in fixed or determinable amounts of money.* ***For Example*** *Cash, Debtors, Bills Receivable, Investments held to maturity since their amount on maturity is determined.*

7.0 DISTINCTION BETWEEN TANGIBLE ASSETS AND INTANGIBLE ASSETS

Tangible Assets differ from Intangible Assets in the following respects:

Basis of Distinction	Tangible Assets	Intangible Assets
1. Physical identity	These assets **have** physical identity.	These assets **do not have** physical identity.
2. Depreciation or Amortisation	Fixed tangible assets are **depreciated**.	Intangible assets are **amortized**.
3. Fixed vs. Current	Tangible assets can be **Fixed Asset *or* Current Asset**.	Intangible assets usually fall in the category of **Fixed Assets**.
4. Acceptance in security	Lenders **accept** such assets as security.	Lenders usually **do not accept** such assets as security for a loan given.
5. Risk of loss due to fire	These assets **may be lost** due to fire.	These assets **cannot be lost** due to fire.

8.0 DISTINCTION BETWEEN FIXED ASSETS AND CURRENT ASSETS

Fixed Assets differ from Current Assets in the following respects:

Basis of Distinction	Fixed Assets	Current Assets
1. **Purposes of holding**	These are the assets which are held for the purpose of producing *or* providing Goods or Services and those which are not held for resale in the normal course of business.	These are the assets which are held – (a) in the form ot Cash *or* Cash equivalents (b) for their conversion into cash normally within 12 months from Balance Sheet date (c) for their consumption in the production of goods *or* rendering of services in the normal course of business.
2. **Valuation**	Fixed assets are valued **at cost *less* depreciation**.	These assets are valued **cost or market price *whichever is lower***.

3. **Subject to change**	These assets are usually **not** subject to change.	These assets **are** usually subject to change.
4. **Pledge**	These assets **cannot** be pledged.	These assets **can be** pledged.
5. **Fixed vs. Floating charge**	**Fixed** charge can be created on these assets.	**Floating** charge can be created on these assets.
6. **Nature of Profit on Sale**	Profit on sale of these assets is of **capital** nature.	Profit on sale of these assets is of **revenue** nature.
7. **Revaluation reserve in case of appreciation in the value**	In case of appreciation in the value of such assets, revaluation reserve **can be created**.	In case of appreciation in the value of such assets, revaluation reserve **cannot *be created***.
8. **Source of finance**	These assets are financed out of **long-term funds**.	These assets are mainly financed out of **short-term funds**.

9.0 ITEMS TO BE SHOWN ON THE LIABILITIES SIDE OF A BALANCE SHEET

1. **Non-Current Liability —** Non-Current Liability refers to that liability which is expected to be settled after 12 months from the date of a Balance Sheet e.g., Loan from a financial institution, Debentures.
2. **Current Liability —** Current Liability refers to that liability which is expected to be settled normally within 12 months from the date of Balance Sheet. e.g., Bills Payables, Trade Creditors, Outstanding Expenses, Bank Overdraft, Installments of Loan and Deposits payable within 12 months from the date of Balance Sheet.
3. **Capital —** Capital is the excess of Assets over External liabilities. It refers to the amount invested in an enterprise by the proprietor (in case of a proprietorship concern) *or* partners (in case of a partnership concern), which is increased by the amount of profit earned and is decreased by the losses incurred and the amount withdrawn (whether in the form of cash or kind).

   Note: *Drawings Account (which records the amount withdrawn by the proprietor whether in the form of cash or kind) is closed by transferring its balance to the debit side of the Capital Account. Usually, it is shown by way of deduction from the amount of capital in the Balance Sheet.*

TUTORIAL NOTE

A liability is a present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow from the enterprise of resources embodying economic benefits.

10.0 CONTINGENT ASSET

Meaning of Contingent Asset

A Contingent Asset is a **possible asset** that arises from past events the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise.

Example of Contingent Asset

Suppose the firm has filed a suit for some property now in the possession of someone else. If the suit is decided in the firm's favour, the firm will get the property; at the moment it is a contingent asset. Similar would be the position for a patent applied for arising out of the firm's own research effort. Contingent liability in respect of contract for capital expenditure already entered into will give rise to an asset on payment; at present it is only a contingent asset.

11.0 CONTINGENT LIABILITY

Meaning of Contingent Liability

A Contingent Liability is a **possible obligation** that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise

Two Characteristics of Contingent Liability

Contingent liabilities have two characteristics: (i) Uncertainty as to whether the amount will be payable at all; (ii) Uncertainty about the amount involved.

Disclosure of Contingent Liability

It is disclosed by way of a note to the balance sheet, unless there is a probability that a loss will materialize and its reasonable estimate can be made. In that event, it is no more a contingent liability and a specific provision should be made therefor.

Examples of Contingent Liabilities

1. Bills of exchange discounted but not yet matured;
2. Claim against the company not acknowledged as Debt e.g. suit for damages against the company which it is defending.
3. Arrears of dividends on cumulative preference shares;
4. Uncalled Liability on Partly paid shares held as investments.
5. Estimated amount of contracts remaining to be executed on capital account & not provided for
6. Guarantees given by the company to companies under the same management; and
7. Gratuities payable to staff on retirement or death.

12.0 DISTINCTION BETWEEN CONTINGENT LIABILITY AND OTHER LIABILITIES

Basis of Distinction	Contingent Liability	Other Liability
1. **Meaning**	It is an obligation which may or may not arise depending on the happening or non-happening of an uncertain future event.	These are financial obligations of an enterprise other than owners' equity.
2. **Disclosure**	It is disclosed by way of foot note to the Balance Sheet.	These are disclosed on the liabilities side of the Balance Sheet.
3. **Example**	1. Bills discounted but not yet matured 2. Arrears of dividend on Cum-Pref-Shares	1. Creditors for Goods 2. Outstanding Expenses

13.0 GROUPING AND MARSHALLING OF ASSETS AND LIABILITIES

Meaning of Grouping

The term **'Grouping'** means putting together items of a similar nature under a common heading. **For example**, under the heading 'Trade Creditors' the balances of the ledger accounts of all the suppliers from whom goods have been purchased on credit, will be shown.

Meaning of Marshalling

The term **'Marshalling'** refers to the order in which the various assets and liabilities are shown in the Balance Sheet. The assets and liabilities can be shown *either* in the order of liquidity *or* in the order of permanency.

Order of Liquidity

1. The **assets** are arranged **in the order of their liquidity**, i.e., the most liquid asset (e.g., Cash-in-hand), is shown first. The least liquid asset (e.g., Goodwill) is shown last. The least liquid asset does not mean an asset which cannot be encashed.
2. The **liabilities** are arranged **in the order of their urgency of payment**, i.e., the most urgent payment to be made (e.g., Short-term Creditors), is shown first. The least urgent payment to be made (e.g., Long-term Creditors) is shown last.
3. Usually, the Banking and Financial Companies, Sole Proprietorship and the partnership Concerns prepare their Balance Sheets in the order of liquidity.

A General Format of a Balance Sheet in Order of Liquidity

BALANCE SHEET OF ..... AS AT .....

Liabilities		₹	*Assets*	₹
Current Liabilities:			***Current Assets:***	
Bank Overdraft		xxx	Cash-in-hand	xxx
Bills Payable		xxx	Cash at bank	xxx
Outstanding Expenses		xxx	Bills Receivable	xxx
Sundry Creditors		xxx	Sundry Debtors	xxx
Income received-in-advance		xxx	Prepaid Expenses	xxx
			Accrued income	xxx
Long-term Liabilities:			Closing Stock	xxx
Loan		xxx	***Investments:***	xxx
Capital:			***Fixed Assets:***	
Opening balance	xxx		Furniture and Fixture	xxx
Add: Net Profit			Plant and Machinery	xxx
(*Less:* Net Loss)	xxx		Building	xxx
	xxx		Land	xxx
Less: Drawing	xxx	xxx	Goodwill	xxx
		xxx		xxx

Order of Permanence

This order is exactly reverse of the liquidity order.

1. The **assets** are arranged **in the order of their permanence** i.e., the least liquid asset (e.g., Goodwill) is shown first and the most liquid asset (e.g., Cash-in-hand) is shown last.
2. The least urgent payment to be made (e.g., Owners) is shown first and the most urgent payment to be made (e.g., Short-term Creditors) is shown last.
3. The company as defined under the Companies Act, 1956 is required to prepare the Balance Sheet in order of permanence.

A General Format of a Balance Sheet in the Order of Permanence

BALANCE SHEET OF ..... AS AT .....

Liabilities		₹	*Assets*	₹
Capital:			***Fixed Assets:***	
Opening Balance	xxx		Goodwill	xxx
Add: Net Profit	xxx		Land	xxx
(*Less:* Net Loss)	xxx		Building	xxx
Less: Drawings	xxx	xxx	Plant & Machinery	xxx
			Furniture & Fixtures	xxx
Long-term Liabilities:			***Investments:***	xxx
Loan		xxx	***Current Assets:***	
Current Liabilities:			Closing Stock	xxx
Income received-in-advance		xxx	Accrued income	xxx
Sundry Creditors		xxx	Prepaid expenses	xxx

Outstanding Expenses	xxx	Sundry Debtors	xxx
Bills Payable	xxx	Bills Receivable	xxx
Bank Overdraft	xxx	Cash at bank	xxx
		Cash in hand	xxx
	xxx		xxx

14.0 DISTINCTION BETWEEN ORDER OF LIQUIDITY AND ORDER OF PERMANENCE

Basis of Distinction	Order of Liquidity	Order of Permanence
1. **Order of Assets**	The assets are arranged in the order of their liquidity, i.e., the most liquid asset (e.g., Cash-in-hand), is shown first. The least liquid asset (e.g., Goodwill) is shown last. The least liquid asset does not mean an asset which cannot be encashed.	The assets are arranged in the order of their permanence i.e., the least liquid asset (e.g., Goodwill) is shown first and the most liquid asset (e.g., Cash-in-hand) is shown last.
2. Order of Liabilities	The liabilities are arranged in the order of their urgency of payment, i.e., the most urgent payment to be made (e.g., Short-term creditors) is shown first. The least urgent payment to be made (e.g., Long-term creditors) is shown last.	The liabilities are arranged in the order of their permanence i.e., the least urgent payment to be made (e.g., Owners) is shown first and the most urgent payment to be made (e.g., Short-term creditors) is shown last.
3. Users	Usually, the banking and financial companies, sole proprietorship and the partnership concerns prepare their balance sheets in the order of liquidity.	The company as defined under the Companies Act, 1956 is required to prepare the balance sheet in order of permanence.

ILLUSTRATION 6

From the following information, prepare a Balance Sheet of Mr *X* as at 31 March, 2013 (a) In order of liquidity, and (b) In order of permanence.

	₹		₹
Plant and Machinery	1,00,000	Furniture and fixtures	20,000
Prepaid Expenses	1,000	Accrued Income	2,000
Income received in advance	2,000	Outstanding Expenses	1,000
Bills Payable	3,000	Bills Receivables	2,000

Sundry Debtors	1,00,000	Sundry Creditors	99,000
Bank Overdraft	10,000	Investments in Shares of X Ltd.	10,000
Long-term Loan from bank	1,00,000	Closing Stock	85,000
Capital	2,00,000	Building	1,00,000
Land	10,000	Goodwill	10,000
Drawings	10,000	Net Profit	60,000
Cash-in-hand	5,000	Cash at bank	19,000
Income Tax Paid	1,000		

SOLUTION

(a) In order of Liquidity

BALANCE SHEET OF MR X AS AT 31 MARCH, 2013

Liabilities		₹	*Assets*	₹
Current Liabilities:			***Current Assets:***	
Bank Overdraft		10,000	Cash in hand	5,000
Bills Payable		3,000	Cash at bank	19,000
Outstanding Expenses		1,000	Bills receivable	2,000
Sundry Creditors		99,000	Sundry debtors	1,00,000
Income received in advance		2,000	Prepaid Expenses	1,000
Long-term Liabilities			Accrued Income	2,000
Loan		1,00,000	Closing Stock	85,000
Capital:			***Investments:***	
Opening Balance	2,00,000		Shares of X Ltd.	10,000
Add: Net Profit	60,000		***Fixed Assets:***	
	2,60,000		Furniture & Fixtures	20,000
Less: Drawings	10,000		Plant & Machinery	1,00,000
Less: Income Tax	1,000	2,49,000	Building	1,00,000
			Land	10,000
			Goodwill	10,000
		4,64,000		4,64,000

(b) In order of Permanence

BALANCE SHEET OF MR X AS AT 31 MARCH, 2013

Liabilities		₹	*Assets*	₹
Capital:			***Fixed Assets:***	
Opening Balance	2,00,000		Goodwill	10,000
Add: Net Profit	60,000		Land	10,000
	2,60,000		Building	1,00,000
Less: Drawings	10,000		Plant and machinery	1,00,000
Less: Income Tax	1,000	2,49,000	Furniture and fixtures	20,000
Long-term Liabilities:			***Investments:***	
Long-term Loan		1,00,000	Shares of X Ltd.	10,000
Current Liabilities:			***Current Assets:***	
Income received-in-advance		2,000	Closing Stock	85,000
Sundry Creditors		99,000	Accrued Income	2,000
Outstanding Expenses		1,000	Prepaid Expenses	1,000
Bills Payable		3,000	Sundry Debtors	1,00,000
Bank Overdraft		10,000	Bills receivable	2,000
			Cash at bank	19,000
			Cash in hand	5,000
		4,64,000		4,64,000

15.0 DISTINCTION BETWEEN TRADING AND PROFIT AND LOSS ACCOUNT AND BALANCE SHEET

The Trading and Profit and Loss Account can be distinguished from the Balance Sheet as follows:

Basis of Distinction	Trading and Profit & Loss A/c	Balance Sheet
1. **Need for Preparation**	The Trading and Profit & Loss A/c is prepared to ascertain the **Financial Performance** during an accounting period.	The Balance Sheet is prepared to ascertain the **Financial Position** of an enterprise at a particular time.
2. **Contents**	The balances of all the ledger accounts of **revenue nature** are shown in the Trading and Profit & Loss A/c.	The balances of only those ledger accounts which still remain open even after the preparation of Trading and Profit & Loss A/c, are shown in the Balance Sheet.
3. **Format**	(a) The Trading & Profit and Loss A/c is a **ledger account**. (b) It has debit side and a credit side. (c) It is closed by transferring its balance to the Capital Account.	(a) The Balance Sheet is only a statement and not an account. (b) It has no debit side and credit side. (c) The headings of the two sides are 'Liabilities' and 'Assets'.

16.0 DISTINCTION BETWEEN A TRIAL BALANCE AND A BALANCE SHEET

A Trial Balance can be distinguished from a Balance Sheet as follows:

Basis of Distinction	Trial Balance	Balance Sheet
1. **Need for Preparation**	It is prepared **to check the arithmetical accuracy** of the posting of transactions to the ledger.	It is prepared **to ascertain** the **Financial Position** of of an enterprise at a particular point of time.
2. **Contents**	All the ledger accounts are shown in the Trial Balance.	The balances of only those ledger accounts which still remain open

		even after the preparation of Trading and Profit & Loss Account are shown in the Balance Sheet.
3. **Format**	The headings of the two columns are **'debit balances'** and **'credit balances'** (in case of a Trial Balance by Balance Method).	The headings of the two sides are **'Liabilities'** and **'Assets'**.
4. **Closing Stock**	Generally, the Closing Stock does not appear in the Trial Balance whereas the opening stock appears.	In a Balance Sheet, only the Closing Stock appears on the Assets side as a Current Assets.
5. **Items of Adjustments (e.g., OutstandingExpenses, Prepaid Exp., Accrued Income etc.)**	It can be prepared without incorporating the items of adjustments.	It cannot be prepared without incorporating the items of adjustments.
6. **Net Profit /Net Loss**	Information about net Profit/ Net loss is not provided in a Trial Balance.	Information about net Profit/ Net Loss is provided.
7. **Periodicity**	It can be prepared periodically (say) at the end of a month/quarter/half-year.	It is generally prepared at the end of an accounting period.
8. **Can the preparation be dispensed with?**	Its preparation **can be** dispensed with.	Its preparation **cannot** be dispensed with.

17.0 METHODS OF PRESENTING THE FINAL ACCOUNTS

The Trading and Profit and Loss Account and the Balance Sheet can be presented *either* in Horizontal Form or in Vertical Form.

1. **Horizontal Form —** Under this form of presentation, the items are presented in 'T' shape. The horizontal forms of presenting the Trading Account, Profit & Loss Account and Balance Sheet are shown on pages 16.6, 16.10 and 16.19 respectively.

2. **Vertical Form —** Under this form of presentation, the items are presented in a single column statement in a purposeful sequence. The vertical forms of presenting the Income Statement and the Balance Sheet are shown below:

VERTICAL FORM OF PROFIT AND LOSS ACCOUNT

Particulars	₹	₹	₹
A. Net Sales			
Sales (Gross)		xxxxx	
Less: Returns		xxxxx	xxxxx
B. Cost of Goods Sold			
Opening Stock	xxxxx		
Add: Purchases	xxxxx		
Less: Returns	xxxxx		
Add: Direct Expenses:			
Carriage/Cartage/Freight Inwards	xxxxx		
Wages and Salaries	xxxxx		
Cost of Goods available for sale	xxxxx		
Less: Closing Stock	xxxxx		xxxxx
C. Gross profit (A – B)			xxxxx
D. Operating Expenses			
(a) Selling Expenses			
Carriage outward	xxxxx		
Discount allowed	xxxxx		
Commission allowed	xxxxx		
Travelling Expenses	xxxxx		
Entertainment Expenses	xxxxx		
Sales Promotion Expenses	xxxxx		
Bad Debts	xxxxx	xxxxx	
(b) Office and Administration Expenses			
Salaries & Wages	xxxxx		
Rent/Rates & Taxes	xxxxx		
Repairs	xxxxx		
Insurance	xxxxx		
Printing & Stationery	xxxxx		
Water & Electricity	xxxxx		
Postage & Telegram	xxxxx		
Staff Welfare Expenses	xxxxx		
Conveyance Charges	xxxxx		
Miscellaneous Expenses	xxxxx		
Depreciation	xxxxx	xxxxx	xxxxx
E. Net Operating Profit/Loss (C – D)			xxxxx
F. Net Non-operating result			
(a) Interest earned	xxxxx		
Commission earned	xxxxx		
Discount earned	xxxxx		
Miscellaneous Incomes	xxxxx	xxxxx	
(b) Non-operating Expenses & Losses			
Interest allowed	xxxxx		
Loss on sale of a fixed Asset	xxxxx	xxxxx	xxxxx
G. Net Profit			xxxxx

VERTICAL FORM OF BALANCE SHEET

Particulars	₹	₹	₹
A. Sources of Funds			
(a) Proprietor's Funds			xxxx
(b) Long-term Debts			xxxx
			xxxx
B. Application of Funds			
(a) **Net Working Capital**			
(i) **Current Assets**			
Cash in hand	xxxx		
Cash at bank	xxxx		
Bills receivable	xxxx		
Accrued income	xxxx		
Debtors	xxxx		
Stock	xxxx		
Prepaid Expenses	xxxx	xxxx	
(ii) ***Less:* Current Liabilities**			
Bank Overdraft	xxxx		
Accrued expenses	xxxx		
Bills payable	xxxx		
Trade creditors	xxxx		
Income received in advance	xxxx	xxxx	xxxx
(b) **Investments**			xxxx
(c) **Fixed Assets**			
Furniture & Fixtures		xxxx	
Patents & Trade Marks		xxxx	
Plant & Machinery		xxxx	
Building		xxxx	
Land		xxxx	
Goodwill		xxxx	xxxx
			xxxx

A SCHEDULE OF PROPRIETOR'S FUNDS

Particulars	₹	₹
A. Capital in the beginning		xxxx
B. *Add:* Additional Capital Introduced	xxxx	
Interest on Capital	xxxx	
Salary to Partner	xxxx	
Profit for the current accounting period	xxxx	xxxx
C. *Less:* Drawings	xxxx	
Interest on Drawings	xxxx	
Loss for the current accounting period	xxxx	xxxx
D. Capital at the end of the year (A + B – C)		xxxx

18.0 TREATMENT OF SOME ITEMS WHICH MAY BE DIRECT ITEMS/INDIRECT ITEMS/INCOMES/EXPENSES

The treatment of some items which may be direct items/indirect items/incomes/expenses is shown below:

Treatment of Some Items in the absence of any specific information

Items	If item appears on debit side	If item appears on credit side	If it is not given whether debit or credit
a) **Returns**	Shown on the credit side of Trading A/c by way of deduction from the amount of Sales.	Show on the debit side of Trading A/c by way of deduction from the amount of Purchases.	It may be assumed as Returns Inward or Returns outward by giving an assumption to that effect.
(b) **Carriage**	Shown on the debit side of Trading A/c (if assumed as carriage on purchases or P & L A/c (if assumed as carriage on sales).	—	It may be assumed as carriage on purchases or carriage on sales by giving an assumption to that effect.
(c) **Freight**	Shown on the debit side of Trading A/c (if assumed as Freight Inwards) or P & L A/c (if assumed as Freight outwards).	—	It may be assumed as Freight Inwards or Freight outwards by giving an assumption to that effect.
(d) **Wages & Salaries**	Shown on the debit side of Trading A/c	—	—
(e) **Salaries & Wages**	Shown on the debit side of P & L A/c	—	—
(f) **Discount**	Shown on the debit side of P & L A/c as Discount Allowed.	Shown on the credit side of P & L A/c as Discount Received.	It may be assumed as Discount Allowed or Received by giving an assumption to that effect.
(g) **Commission**	Shows on the debit side of P & L A/c as Discount Allowed.	Shown on the credit side of P & L A/c as Commission Earned	It may be assumed as Commission Allowed or Commission earned by giving an assumption to that effect.
(h) **Interest**	Shown on the debit side of P & L A/c as Interest Allowed.	Shown on the credit side of P & L A/c as interest Earned.	It may be assumed as Interest Allowed or Earned by giving an assumption to that effect.
(i) **Rent**	Shown on the debit side of P & L A/c as Rent Paid.	Shown on the credit side of P & L A/c as Rent Earned.	It may be assumed as Rent paid or Rent earned by giving an assumption to that effect.
(j) **Apprentice-ship**	Shown on the debit side of P & L A/c as Apprenticeship Premium paid.	Shown on the credit side of P & L A/c as Apprenticeship Premium received.	It may be assumed as Apprenticeship Premium paid or received by giving an assumption to that effect.

ILLUSTRATION 7

The following is the Trial Balance of Shri Ram as at 31st March 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Land and Building	1,42,500	–
Plant and Machinery	42,500	–
Fixture & Furniture	47,500	–
Motor Vehicles	47,500	–
Opening Stock	75,000	–
Purchases/Sales	5,25,000	6,30,000
Returns	10,000	5,000
Carriage Inward	1,000	–
Carriage Outward	2,000	–
Wages and Salaries	4,000	–
Salaries and Wages	20,000	–
Discount	2,000	1,000
Commission	1,500	1,000
Interest	2,500	3 000
Rent, Rates & Taxes	3,000	
Repairs	600	–
Insurance	3,600	–
Printing & Stationery	600	–
Water & Electricity	1,200	–
Postage & Telegrams	500	–
Travelling Expenses	1,600	–
Conveyance Charges	1,200	–
Entertainment Expenses	1,200	–
Staff Welfare Expenses	1,200	–
Sales Promotion Expenses	2,400	–
Bad Debts/ Bad Debts Recovered	1,000	1,000
Depreciation	20,000	–
Miscellaneous Expenses/Incomes	1,000	1,500
Debtors/Creditors	2,05,000	50,000
Bills Receivables/Bills Payables	10,000	5,600
Investments	50,000	–
Loan from bank (Long-term)	–	50,000
Cash in hand	5,000	–
Cash at bank	10,000	–
Drawings	9, 000	–
Value Added Tax (VAT) Collected	–	4,000
Income Tax Paid	1,000	
Capital Account		5,00,000
	12,52,100	12,52,100

Additional Information: Closing Stock was ₹ 42,000.

Required: Pass the necessary closing entries and adjusting entries and prepare the Trading and Profit & Loss Account for the year ending on 31st March 2013 and a Balance Sheet as on that date.

SOLUTION

Closing Entries to be passed

JOURNAL OF SHRI RAM

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr (₹)*
2013 Mar. 31	Trading A/c	Dr.		6,15,000	
	To Stock A/c				75,000
	To Purchases A/c				5,25,000
	To Carriage Inward A/c				1,000
	To Wages and Salaries A/c				4,000
	To Returns Inward A/c				10,000
	(Being the transfer of balances to Trading A/c)				
	Sales A/c	Dr.		6,30,000	
	Return Outwards A/c	Dr.		5,000	
	To Trading A/c				6,35,000
	(Being the transfer of Sales & Return Outwards to Trading A/c)				
	Trading A/c	Dr.		62,000	
	To Profit & Loss A/c				62,000
	(Being the transfer of Gross Profit to Profit & Loss A/c)				
	Profit & Loss A/c	Dr.		67,100	
	To Carriage Outwards A/c				2,000
	To Salaries & Wages A/c				20,000
	To Discount Allowed A/c				2,000
	To Commission Allowed A/c				1,500
	To Interest Allowed A/c				2,500
	To Rent, Rates & Taxes A/c				3,000
	To Repairs A/c				600
	To Insurance A/c				3,600
	To Printing & Stationery A/c				600
	To Water & Electricity				1,200
	To Postage & Telegram				500
	To Travelling Expenses A/c				1,600
	To Entertainment Expenses				1,200
	To Staff Welfare Expenses A/c				1,200
	To Conveyance Charges A/c				1,200
	To Sales Promotion Expenses A/c				2,400
	To Bad Debts A/c				1,000
	To Misc. Expenses A/c				1,000
	To Depreciation A/c				20,000
	(Being the transfer of balances to Profit & Loss A/c)				
	Discount Received A/c	Dr.		1,000	
	Commission Received A/c	Dr.		1,000	
	Interest Received A/c	Dr.		3,000	
	Misc. Income A/c	Dr.		1,500	
	Bad Debts Recovered A/c	Dr.		1,000	
	To Profit and Loss A/c				7,500
	(Being the transfer of balances to Profit and Loss A/c)				
	Profit & Loss A/c	Dr.		2,400	
	To Capital A/c				2,400
	(Being the transfer of Net Profit to Capital A/c)				
	Capital A/c	Dr.		10,000	
	To Drawings A/c				9,000
	To Income Tax				1,000
	(Being the transfer of balance in Drawings A/c & Income Tax to Capital A/c)				
	Adjusting Entry to be passed:				
	Closing Stock A/c	Dr.		42,000	
	To Trading A/c				42,000
	(Being the value of stock on hand at the end of accounting period brought into account)				

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31 March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		75,000	By Sales	6,30,000	
To Purchases	5,25,000		*Less:* Returns	10,000	6,20,000
Less: Returns	5,000	5,20,000	By Closing Stock		42,000
To Carriage Inwards		1,000			
To Wages & Salaries		4,000			
To Gross Profit transferred to P & L A/c		62,000			
		6,62,000			6,62,000
To Depreciation		20,000	By Gross Profit b/d		62,000
To Carriage Outward		2,000	By Discount		1,000
To Salaries & Wages		20,000	By Commission		1,000
To Discount		2,000	By Interest		3,000
To Commission		1,500	By Misc. Incomes		1,500
To Interest		2,500	By Bad Debts Recovered		1,000
To Rent, Rates & Taxes		3,000			
To Repairs		600			
To Insurance		3,600			
To Printing & Stationery		600			
To Water & Electricity		1,200			
To Postage & Telegram		500			
To Travelling Expenses		1,600			
To Entertainment Expenses		1,200			
To Staff Welfare Expenses		1,200			
To Conveyance Charges		1,200			
To Sales Promotion Expenses	2,400				
To Bad Debts		1,000			
To Misc. Expenses		1,000			
To Net Profit t/f to Capital A/c		2,400			
		69,500			69,500

BALANCE SHEET OF SHRI RAM

as at 31 March, 2013

Liabilities		₹	*Assets*	₹
Current Liabilities:			**Current Assets:**	
Creditors		50,000	Cash in hand	5,000
Bills Payable		5,600	Cash at Bank	10,000
Value Added Tax Collected		4,000	Debtors	2,05,000
Loans:			Bills Receivables	10,000
Loan from Bank (Long-term)		50,000	Closing Stock	42,000
Capital Account:			**Investments:**	
Opening Balance	5,00,000		12% Investments	50,000
Add: Net Profit	2,400		**Fixed Assets:**	
Less: Drawings	(9,000)		Motor Vehicles	47,500
Less: Income Tax	(1,000)	4,92,400	Furniture, Fixture & Fittings	47,500
			Plant & Machinery	42,500
			Land & Building	1,42,500
		6,02,000		6,02,000

ILLUSTRATION 8

Taking the same information as given in Illustration 7, prepare the Income Statement and Balance Sheet in vertical form:

SOLUTION

INCOME STATEMENT

for the period ended 31 March, 2013

Particulars	₹	₹	₹
A. Net Sales			
Sales (Gross)		6,30,000	
Less: Returns		10,000	6,20,000
B. Cost of Goods Sold			
Opening Stock		75,000	
Purchases	5,25,000		
Less: Returns	5,000	5,20,000	
Carriage Inward		1,000	
Wages & Salaries		4,000	
Cost of Goods available for sale		6,00,000	
Less: Closing Stock		42,000	5,58,000
C. Gross Profit (A – B)			62,000
D. Operating Expenses			
(a) Selling Expenses			
Carriage Outward		2,000	
Discount allowed		2,000	
Commission allowed		1,500	
Travelling Expenses		1,600	
Entertainment Expenses		1,200	
Sales Promotion Expenses		2,400	
Bad Debts		1,000	11,700
(b) Office and Administration Expenses			
Salaries & Wages		20,000	
Rent, Rates & Taxes		3,000	
Repairs		600	
Insurance		3,600	
Printing & Stationery		600	
Water & Electricity		1,200	
Postage & Telegram		500	
Staff Welfare Expenses		1,200	
Conveyance Charges		1,200	
Misc. expenses		1,000	
Depreciation		20,000	52,900
Total Operating Expenses			64,600
E. Net Operating Profit (Loss) (C – D)			(2,600)
F. Net Non-operating Incomes			
(a) Non-Operating Incomes			
Interest earned	3,000		
Commission earned	1,000		
Discount earned	1,000		
Misc. Incomes	1,500		
Bad Debts Recovered	1,000	7,500	
(b) Non-operating Expenses & Losses			
Interest Allowed	2,500	(2,500)	5,000
G. Net Profit			2,400

BALANCE SHEET OF SHRI RAM
as at 31 March, 2013

Particulars	₹	₹	₹
I. **Sources of Funds**			
(a) **Proprietor's Funds**			
Capital in the beginning	5,00,000		
Add: Net profit	2,400		
Less: Drawings	9,000		
Less: Income Tax	1,000		4,92,400
(b) **Long term debts**			50,000
			5,42,400
II. Application of Funds			
(a) **Net Working Capital**			
(i) **Current Assets:**			
Cash in hand	5,000		
Cash at bank	10,000		
Bills Receivables	10,000		
Debtors	2,05,000		
Stock	42,000	2,72,000	
(ii) **Current Liabilities:**			
Bills payable	5,600		
Creditors	50,000		
Value Added Tax collected	4,000	59,600	2,12,400
(b) **Investments**			50,000
(c) **Fixed Assets:**			
Motor Vehicles		47,500	
Furniture & Fixtures & Fittings		47,500	
Plant & Machinery		42,500	
Land & Building		1,42,500	2,80,000
			5,42,400

ILLUSTRATION 9

A book keeper has submitted to you the following trial balance wherein the totals of the debit and credit balances are not equal:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Creditors	1,00,000	—
Bills Payable	—	5,600
Loan from Bank	50,000	—
Capital Account	4,54,000	—
Sales	—	6,30,000
Purchase Returns	5,000	—
Discount Earned	1,000	—
Bad Debt Recovered	3,500	—
Interest on Investments	3,000	—
Fixed Assets	3,00,000	—
Opening Stock	75,000	—
Debtors	—	2,05,000
Bills Receivables	10,000	—
Investments	50,000	—

Cash in Hand	5,000	—
Cash at Bank	10,000	—
Drawings	—	9,000
Purchases	5,25,000	—
Sales Returns	—	10,000
Carriage	1,400	—
Freight Outward	—	2,000
Duty Paid on Purchases	—	1,600
Primary Packing Expenses	2,000	—
Rent Paid	—	3,000
Insurance Paid	3,600	—
Office & Administrative Expenses	13,200	
Discount Allowed	—	2,000
Bad Debts	5,000	—
Interest on Loan from Bank	—	2,500
Delivery Expenses	6,600	—
Selling & Distribution Expenses	10,000	—
Income Tax paid	1,000	—
Value Added Tax Collected	2,000	
Loose Tools	2,000	—
Apprentice Premium received	—	425
Commission received	—	375
	16,38,300	**8,71,500**

You are required:

(i) Redraft the Trial Balance correctly as at 31st March, 2013.

(ii) Prepare a Trading and Profit & Loss Account and a Balance Sheet assuming the Closing Stock ₹ 40,000.

SOLUTION

TRIAL BALANCE AS AT 31ST MARCH, 2013

S.No.	*Particulars*	*Dr. (₹)*	*Cr. (₹)*
1.	Creditors	—	1,00,000
2.	Bill payable	—	5,600
3.	Loan from bank	—	50,000
4.	Capital Account	—	4,54,000
5.	Sales	—	6,30,000
6.	Purchase returns		5,000
7.	Discount earned		1,000
8.	Bad debt Recovered		3,500
9.	Interest on Investments		3,000
10.	Fixed Assets	3,00,000	—
11.	Opening stock	75,000	—
12.	Debtors	2,05,000	—
13.	Bill receivables	10,000	—
14.	Investments	50,000	—
15.	Cash in hand	5,000	—

16.	Cash at bank	10,000	—
17.	Drawings	9,000	—
18.	Purchases	5,25,000	—
19.	Sales returns	10,000	—
20.	Carriage	1,400	—
21.	Freight outward	2,000	—
22.	Duty paid on purchases	1,600	—
23.	Primary Packing expenses	2,000	—
24.	Rent paid	3,000	-
25.	Insurance paid	3,600	—
26.	Office & Administrative Expenses	13,200	—
27.	Discount Allowed	2,000	—
28.	Bad debts	5,000	—
29.	Interest on loan from bank	2,500	—
30.	Delivery Expenses	6,600	—
31.	Selling & Distribution Expenses	10,000	—
32.	Income Tax Paid	1,000	—
33.	Value Added Tax (VAT) collected	—	2,000
34.	Loose Tools	2,000	—
35.	Apprentice Premium received	—	425
36.	Commission received	—	375
		12,54,900	12,54,900

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31 March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening stock		75,000	By Sales	6,30,000	
To Purchases	5,25,000		*Less*: Returns	10,000	6,20,000
Less: Returns	5,000	5,20,000	By Closing stock		40,000
To Duty on purchases		1,600			
To Carriage		1,400			
To Packaging expenses		2,000			
To Gross Profit c/d		60,000			
		6,60,000			6,60,000
To Freight outward		2,000	By Gross Profit b/d		60,000
To Rent		3,000	By Commission		375
To Interest on Loan		2,500	By Interest on Investments		3,000
To Discount		2,000	By Discount		1,000
To Insurance		3,600	By Apprentice premium received		425
To Delivery expenses		6,600	By Bad Debt Recovered		3,500
To Selling and distribution expenses		10,000			
To Office & Administrative expenses		13,200			
To Bad debts		5,000			
To Net Profit t/f to Capital A/c		20,400			
		68,300			68,300

BALANCE SHEET
as at 31 March, 2013

Liabilities		₹	*Assets*	₹
Capital:			**Fixed Assets:**	3,00,000
Opening Balance	4,54,000		**Investments:**	
Add: Net Profit	20,400		Investments	50,000
Less: Drawings	9,000			
Less: Income tax	1,000	4,64,400	**Current Assets:**	
Loans:			Debtors	2,05,000
Bank Loan		50,000	Cash in hand	5,000
Current Liabilities:			B/R	10,000
Creditors		1,00,000	Cash at bank	10,000
Bills Payable		5,600	Closing stock	40,000
Value Added Tax Collected		2,000	Loose Tools	2,000
		6,22,000		6,22,000

19.0 CLASSIFICATION OF CAPITAL AND REVENUE

The Going Concern Assumption allows the accountant to classify the expenditure and receipts as Capital expenditure, Revenue expenditure, Deferred Revenue expenditure, Capital Receipts, Revenue Receipts.

20.0 CLASSIFICATION OF EXPENDITURE

An expenditure may be classified as follows:

Capital Expenditure

1. **Meaning**	It is an expenditure which is incurred: (a) to acquire o*r* bring into existence an asset, *or* (b) to acquire *or* bring into existence an advantage *or* benefit of an enduring nature, *or* (c) to increase the productivity *or* earning capacity.
2. **Benefits**	It normally *yields* benefits *beyond* current accounting period.
3. **Accounting Treatment**	It is debited to the Respective Asset Account.
4. **Examples**	(a) Cost of Land and Building (b) Cost of Plant and Machinery (c) Cost of Furniture and Fixtures
5. **Disclosure in Financial Statements**	**BALANCE SHEET AS AT . . . .**

Liabilities	₹	*Assets*	₹
		Capital Expenditure	. . . .

Revenue Expenditure

1. **Meaning**	It is an expenditure which is incurred: (a) to maintain the productivity *or* earning capacity of a business. (b) to carry out operating activities in the normal course of business.
2. **Benefits**	It normally *does not yield* benefits beyond current accounting period.
3. **Accounting Treatment**	It is debited to Respective Revenue Expenses Account.
4. **Examples**	(a) Depreciation on Land and Building (b) Rent of Machines (c) Repairs of Building (d) Insurance of Building

5. Disclosure in Financial Statements

Dr. **INCOME STATEMENT FOR THE PERIOD ENDED ON....** *Cr.*

Particulars	₹	*Particulars*	₹
To Revenue Expenditure	. . . .		

Distinction between Capital Expenditure and Revenue Expenditure

Basis of Distinction	***Capital Expenditure***	***Revenue Expenditure***
1. **Meaning**	It is an expenditure which is incurred: (a) to acquire *or* bring into existence an asset, *or* (b) to acquire *or* bring into existence an advantage *or* benefit of an enduring nature, *or* (c) to increase the productivity *or* earning capacity.	It is an expenditure which is incurred: (a) to maintain the productivity *or* earning capacity of a business, *or* (b) to carry out operating activities in the normal course of business.
2. **Benefits**	It normally *yields* benefits *during* current accounting period.	It normally *does not yield* benefits during current accounting period.
3. **Accounting Treatment**	It is debited to the Respective Asset Account.	It is debited to Respective Expense Account.
4. **Examples**	(a) Cost of Land and Building (b) Cost of Plant and Machinery (c) Cost of Furniture and Fixtures	(a) Depreciation on Land and Building (b) Rent of Machines (c) Repairs of Building (d) Insurance of Building

Deferred Revenue Expenditure

1. **Meaning**	*According* to *the Guidance note on 'Terms used in Financial Statements', issued by ICAI* **'**Deferred revenue expenditure is the expenditure for which payment has been made *or* a liability has been incurred but which is carried forward on the presumption that it will be of benefit over a subsequent period or periods**'.** In short, it refers to that expenditure which is, for the time being, deferred from being charged to income. Such suspension of 'charging off' operation may be due to the nature of expenses and the benefit expected therefrom.
2. **Example**	Heavy advertising to launch a new product is a deferred revenue expenditure since the benefit from it will be availed over the next 3 to 5 years.
3. **Accounting Treatment**	Normally such expenditure should be written off over a period of 3 to 5 years.

4. Disclosure in Financial Statements

Dr. **INCOME STATEMENT FOR THE PERIOD ENDED ON ...** *Cr.*

Particulars	₹	*Particulars*	₹
To Deferred Revenue Expenditure w/o	. . . .		

BALANCE SHEET AS AT....

Liabilities	₹	*Assets*	₹
		Deferred Revenue Expenditure (Unwritten off portion)	. . . .

21.0 CLASSIFICATION OF RECEIPTS

The receipts may be classified as follows:

Capital Receipts

1. Meaning	Capital receipts refer to those receipts which are not revenue in nature.
2. Accounting Treatment	These are credited to the respective account of capital nature.
3. Examples	(a) Sale of Land and Building by a person other than a dealer in real estate. (b) Raising of Loan by a person other than one engaged in the business of finance/banking. (c) Raising of Capital.

Revenue Receipts

1. Meaning	Revenue receipts refer to those receipts which arise in the normal course of business.
2. Accounting Treatment	These are credited to Respective Revenue Account.
3. Examples	(a) Sale of Land and Building by a dealer in real estate. (b) Sale of Shares by a dealer in Securities.

Distinction between Capital Receipts and Revenue Receipts

Basis of Distinction	*Capital Receipts*	*Revenue Receipts*
1. **Meaning**	Capital receipts refer to those receipts which are not revenue in nature.	Revenue receipts refer to those receipts which arise in the normal course of business.
2. **Accounting Treatment**	These are credited to the Respective Account of Capital Nature.	These are credited to Respective Revenue Account.
3. **Examples**	(a) Sale of Land and Building by a person other than a dealer in real estate. (b) Raising of Loan by a person other than one engaged in the business of finance/banking. (c) Raising of Capital.	(a) Sale of Land and Building by a dealer in real estate. (b) Sale of Shares by a dealer in Securities.

ILLUSTRATION 10

State with reasons whether the following are Capital or Revenue Expenditure.

(a) Expenses on a foreign tour for purchasing a new machinery.

(b) Freight & insurance on the new machinery.

(c) Customs duty paid on import of a machinery.

(d) Cartage paid to bring the new machines to factory.

(e) Wages paid in connection with the erection of new machinery.

(f) ₹ 1,000 spent on repairing a second hand machine before put to use.

(g) ₹ 2,000 spent to remove a worn out part and replace it with a new engine.

(h) A petrol driven engine of a passenger bus was replaced by a diesel engine.

(i) ₹ 8,00,000 spent on advertising the introduction of a new product in the market, the benefit of which will be effective for 3 to 5 years.

(j) ₹ 5,000 spent on repainting the factory.

(k) Heavy amount spent on research for a particular product which ultimately did not result in success.

(l) Repair ₹ 2,000 necessitated by negligence of an operator of machine.

(m) ₹ 10,000 paid as compensation to employees who were retrenched.

(n) Interest on a term loan for the purchase of machinery. The commercial production has not begun till the last day of the accounting year.

(o) Interest on a term loan for the purchase of machinery. The commercial production has already begun.

(p) Compensation paid for breach of contract to acquire stock-in-trade.

(q) ₹ 30,000 spent as lawyer's fee to defend a suit that firm's factory belonged to the plaintiff. The suit was not successful.

SOLUTION

(a) Items referred to in (a) to (f) represent capital expenditure since these expenditures are incurred up to the point the machine is ready for use.

(g) It should be treated as revenue expenditure since it is incurred to keep the asset in working order. Such expenditure has neither resulted in increasing the life or efficiency of an existing asset nor in bringing into existence a new asset and as such cannot be treated as capital expenditure.

(h) Such expenditure should be treated as capital expenditure since it will increase the profit capacity of the business through lowering of costs.

(i) Such expenses should be treated as a deferred revenue expenditure and should be written-off each year over a period of 3 to 5 years.

(j) Such expenses should be treated as a revenue expenditure since it is incurred to maintain the factory in good condition.

(k) Such expenses should be treated as revenue expenditure as per AS 26.

(l) Such expenses should be treated as revenue expenditure since it is incurred to keep the asset in working order.

(m) Such expenses should be treated as revenue expenditure since it is neither bringing the benefit of enduring nature nor enhancing the value of any asset.

(n) Such expenditure should be treated as capital expenditure since the commercial production has not begun till the last day of the accounting year.,

(o) Such expenditure should be treated as revenue expenditure since the commercial production has already begun.

(p) Such expenditure should be treated as revenue since it is neither bringing the benefit of enduring nature nor enhancing the value of any asset.

(q) Such expenditure should be treated as revenue expenditure since it is incurred for the upkeep of fixed asset.

THEORETICAL QUESTIONS

1. What is meant by Financial Statements?
2. Name the two basic Financial Statements.
3. State the meaning of An Income Statement.
4. State the meaning of Balance Sheet.
5. State any two objectives of Financial Statements.
6. What is a Trading Account?
7. What is the purpose of Trading Account?
8. How does the matching principle apply to Trading Account?
9. What does the Balance of a Trading Account indicate?
10. What is Gross Profit?
11. How is the balance of Trading Account treated?
12. What is a Profit and Loss Account?
13. What is the purpose of a Profit and Loss Account?
14. What does the Balance of a Profit and Loss Account indicate?
15. What is Net Profit?
16. How is the balance of Profit & Loss Account treated?
17. What is Operating Profit?
18. What are Operating Activities?
19. What is a Balance Sheet?
20. List any two characteristics of a Balance Sheet.
21. What is the purpose of a Balance Sheet?
22. What is meant by Assets?
23. What is meant by Liabilities?
24. What is meant by Fixed Assets?
25. What is meant by Tangible Fixed Assets?
26. What is meant by Intangible Fixed Assets?
27. What is meant by Investments?
28. What is meant by Current Assets?
29. What is meant by Long term Liabilities?
30. What is meant by Current Liabilities?
31. What is meant by Capital?
32. What is meant by Drawings?
33. What is meant by Contingent Asset?
34. What is meant by Contingent Liability?
35. What is meant by Grouping of Assets and Liabilities?
36. What is meant by Marshalling of Assets and Liabilities?
37. Enumerate the ways in which a Balance Sheet may be marshalled.
38. What is meant by Liquidity Order of Assets and Liabilities?
39. What is meant by Permanency Order of Assets and Liabilities?

40. List any two points of difference between a Trading Account and a Profit and Loss Account.

41. What is the difference between Gross Profit and Net Profit?

42. What is the difference between Gross Profit and Operating Profit?

43. What is the difference between Operating Profit and Net Profit?

44. List any two points of difference between Fixed Assets and Current Assets.

45. List any two points of difference between Tangible Assets and Intangible Assets.

46. What are Closing Entries?

47. Why is it wrong to head the Trading and Profit & Loss Account on 31st March, 2013?

48. Why is it wrong to head the Balance Sheet for the year ended 31st March, 2013?

49. At what price should the closing stock be valued and why?

50. At what price should the fixed assets be valued and why?

51. Why is it necessary to take into account the Closing Stock in preparing a Trading Account?

52. State the journal entry to open Closing Stock account for current year.

53. State the effect of undervaluation of Closing Stock on Gross Profit.

54. State the effect of overvaluation of Closing Stock on Gross Profit.

55. Name the Principle involved in the valuation of inventory.

56. Name the principle involved in the valuation of Fixed Assets.

57. Name the principle involved in the classification of Assets as fixed and current.

58. What does the Debit Balance of Returns Account indicate?

59. What does the Credit Balance of a Returns Account indicate?

60. What does the Debit Balance of a Discount Account indicate?

61. What does the Credit Balance of a Discount Account indicate?

62. How would you treat the Wages & Salaries appearing in the Trial Balance while preparing Final Accounts?

63. How would you treat the Salaries & Wages appearing in the Trial Balance while preparing Final Accounts?

PRACTICAL QUESTIONS

PREPARATION OF TRADING ACCOUNT

1. From the following information, prepare the Trading Account for the year ending on 31st March 2013:

Opening Stock ₹ 90,000, Cash Sales ₹ 36,000, Credit Sales ₹ 7,20,000, Returns outwards ₹ 6,000, Wages & Salaries ₹ 2,400, Carriage Inward ₹ 1,200, Freight Inwards ₹ 1,800, Cartage Inwards ₹ 600, Cash Purchases ₹ 30,000, Credit Purchases ₹ 6,00,000, Returns Inward ₹ 12,000, Cost of Closing Stock as on 31st March ₹ 54,000 but its market value is ₹ 50,400, Freight outward ₹ 600.

[**Ans.** Gross Profit ₹ 74,400]

2. From the following information, prepare the Trading Account for the year ending on 31st March, 2013:

Adjusted Purchases ₹ 6,63,600, Sales ₹ 7,44,000, Closing Stock ₹ 50,400, Freight & Cartage Inward ₹ 3,600, Wages ₹ 2,400, Freight & Cartage outward ₹ 1,800.

[**Ans.** Gross Profit ₹ 74,400]

3. From the following information, prepare the Trading Account for the year ending on 31st March, 2013:

Cost of Goods Sold ₹ 6,69,600, Sales ₹ 7,44,000, Closing Stock ₹ 50,400.

[**Ans.** Gross Profit ₹ 74,400]

PREPARATION OF PROFIT & LOSS ACCOUNT

4. From the following information, prepare the Profit & Loss Account showing Operating Profit separately in the account itself of a Trader for the year ending on 31st March, 2013:

	₹		₹
Gross Profit	3,00,000	Commission Allowed	3,000
Salaries & Wages	6,000	Commission Received	10,200
Wages & Salaries	600	Interest on loan	1,800
Carriage Inwards	1,200	Interest Received	2,400
Carriage Outwards	3,000	Rent Paid	2,400
Freight Inward	1,800	General Expenses	600
Freight Outward	3,000	Miscellaneous Income	1,800
Discount Allowed	600	Brokerage Allowed	1,800
Discount Received	1,200	Loss on Sale of Fixed Assets	4,200
Dividend Received	1,800		
Profit on Sale of Fixed Assets	3,000		

[***Ans.*** Operating Profit ₹ 2,91,000, Net Profit ₹ 2,95,200]

5. From the following information, prepare the Profit & Loss Account for the year ending on March 31, 2013:

	₹		₹
Gross Profit	37,200	Salaries & Wages	12,000
Discount Received	600	Discount allowed	1,200
Interest on loan paid	1,500	Interest received	1,800
Commission received	1,200	Commission to Salesmen	900
Rent, Rates & Taxes paid	2,400	Rent Received	600
Fire Insurance Premium	2,160	Carriage outward	600
Freight outward	300	Repairs & Maintenance	360
Printing & Stationery	360	Travelling Expenses	960
Entertainment Expenses	720	Water & Electricity	720
Postage & Telegram	300	Advertising & Publicity	2,400
Sales Promotion Expenses	240	Telephone Expenses	600
Bad Debts	600	Packing Expenses	300
Audit Fees	1,200	Bank Charges	240
Depreciation on furniture:		Legal Charges	600
– Sales office	600	Miscellaneous Expenses	600
– Administrative office	1,200	Loss on Sale of Fixed Assets	300
Miscellaneous Incomes	1,200	Loss by theft	3,000
Profit on sale of Fixed Assets	5,100	Dividend received on Shares	180
Loss by Fire	600	Income from investments	120
Loss by Embezzlement	600		

[**Ans.** Net Profit ₹ 10,440]

Preparation of Balance Sheet

6. From the following information, prepare a Balance Sheet of Mr X as at 31st March, 2013 (a) In order of liquidity, and (b) In order of permanence.

	₹		₹
Plant & Machinery	60,000	Furniture and fixtures	12,000
Prepaid Expenses	600	Accrued Income	1,200
Income received in advance	1,200	Outstanding Expenses	600
Bills Payable	1,800	Bills Receivables	1,200
Sundry Debtors	60,000	Sundry Creditors	59,400
Bank Overdraft	6,000	Investments in Shares of X Ltd.	6,000
Long-term Loan from bank	60,000	Closing Stock	51,000
Capital	1,20,000	Building	60,000
Land	6,000	Goodwill	6,000
Drawings	6,000	Net Profit	36,000
Cash-in-hand	3,000	Cash at bank	11,400
Income Tax Paid	600		

[**Ans.** Total of B/S ₹ 2,78,400]

Preparation of Final Accounts [Without Adjustments]

7. The following is the Trial Balance of Shri Ram as at 31st March 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Land and Building	85,500	—
Plant and Machinery	25,500	—
Furniture and Fixtures	28,500	—
Motor Vehicles	28,500	—
Opening Stock	45,000	—
Purchases/Sales	3,15,000	3,78,000
Returns	6,000	3,000
Carriage Inwards	600	—
Carriage Outwards	1,200	—
Wages and Salaries	2,400	—
Salaries and Wages	12,000	—
Discount	1,200	600
Commission	900	600
Interest	1,500	1,800
Rent, Rates and Taxes	1,800	—
Repair	360	—
Insurance	2,160	—
Printing and Stationery	360	—
Water and Electricity	720	—
Postage and Telegrams	300	—
Travelling Expenses	960	—
Conveyance Charges	720	—
Entertainment Expenses	720	—
Staff Welfare Expenses	720	—
Sales Promotion Expenses	1,440	—
Bad Debts and Bad Debts Recovered	600	600
Depreciation	12,000	—
Miscellaneous Expenses/Incomes	600	900
Debtors/Creditors	1,23,000	30,000
Bills Receivables/Bills Payable	6,000	3,360
Investments	30,000	—
Loan from bank (Long-term)	—	30,000
Cash in hand	3,000	—
Cash at bank	6,000	—
Drawings	6,000	—
Sales Tax Collected	—	2,400
Capital Account	—	3,00,000
	7,51,260	7,51,260

Additional Information: Cost of Closing Stock was ₹ 30,000 but its market value was ₹ 25,200.

Required: Pass the necessary adjusting entries and closing entries and prepare the Trading and Profit & Loss Account for the year ending on 31st March, 2013 and a Balance Sheet as on that date.

[**Ans.** GP ₹ 37,200, NP ₹ 1,440, Total of B/S ₹ 3,61,200]

8. Taking the same information as given in Previous Question prepare the Income Statement and Balance Sheet in vertical form:

[**Ans.** GP ₹ 37,200, NP ₹ 1,440, Total of B/S ₹ 3,61,200]

9. A book keeper has submitted to you the following trial balance wherein the totals of the debit and credit balances are not equal:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Creditors	60,000	—
Bills Payable	—	3,360
Loan from Bank	30,000	—
Capital Account	2,72,400	—
Sales	—	3,78,000
Purchase Returns	3,000	—
Discount Earned	600	—
Bad Debt Recovered	2,100	—
Interest on Investments	1,800	—
Fixed Assets	1,80,000	—
Opening Stock	45,000	—
Debtors	—	1,23,000
Bills Receivables	6,000	—
Investments	30,000	—
Cash in Hand	3,000	—
Cash at Bank	6,000	—
Drawings	—	5,400
Purchases	3,15,000	—
Sales Returns	—	6,000
Carriage	840	—
Freight Outward	—	1,200
Duty Paid on Purchases	—	960
Primary Packing Expenses	1,200	—
Rent Paid	—	1,800
Insurance Paid	2,160	—
Office & Administrative Expenses	7,920	
Discount Allowed	—	1,200
Bad Debts	3,000	—
Interest on Loan from Bank	—	1,500
Delivery Expenses	3,960	—
Selling & Distribution Expenses	6,000	—
Income Tax paid	600	—
Sales Tax Collected	1,200	
Loose Tools	1,200	—
Apprentice Premium received	—	285
Commission received	—	225
	9,83,100	5,22,900

You are required:

(i) Redraft the Trial Balance correctly as at 31st March, 2013.

(ii) Prepare a Trading and Profit & Loss Account and a Balance Sheet.

[**Ans.** Total of TB ₹ 7,52,940, GP ₹ 36,000, NP ₹ 12,240, Total of B/S 3,73,200]

10. State with reasons whether the following are Capital or Revenue Expenditure.

(a) Expenses on a foreign tour for purchasing a new machinery.

(b) Freight & insurance on the new machinery.

(c) Customs duty paid on import of a machinery.

(d) Cartage paid to bring the new machines to factory.

(e) Wages paid in connection with the erection of new machinery.

(f) ₹ 2,000 spent on repairing a second hand machine before put to use.

(g) ₹ 3,000 spent to remove a worn out part and replace it with a new engine.

(h) A petrol driven engine of a passenger bus was replaced by a diesel engine.

(i) ₹ 10,00,000 spent on advertising the introduction of a new product in the market, the benefit of which will be effective for 3 to 5 years.

(j) ₹ 10,000 spent on repainting the factory.

(k) Heavy amount spent on research for a particular product which ultimately did not result in success.

(l) Repair ₹ 5,000 necessitated by negligence of an operator of machine.

(m) ₹ 30,000 paid as compensation to employees who were retrenched.

(n) Interest on a term loan for the purchase of machinery. The commercial production has not begun till the last day of the accounting year.

(o) Interest on a term loan for the purchase of machinery. The commercial production has already begun.

(p) Compensation paid for breach of contract to acquire stock-in-trade.

(q) ₹ 90,000 spent as lawyer's fee to defend a suit that firm's factory belonged to the plaintiff. The suit was not successful.

[**Ans.** Capital Expenditure: (a) to (f), (h), (n), Revenue Expenditure: (g) (j), (k), (l), (m), (o), (p), (q) Deferred Revenue Expenditure: (i)]

11 Financial Statements (With Adjustments)

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Rationale of making adjustments at the time of preparing Final Accounts
- Adjustment of Closing Stock
- Adjustment of Outstanding Expenses
- Adjustment of Prepaid Expenses
- Adjustment of Accrued Income
- Adjustment of Income received in advance (or Unaccrued Income)
- Adjustment of Depreciation
- Adjustment of Bad Debts
- Adjustment of Provision for Doubtful Debts
- Adjustment of Provision for Discount on Debtors
- Adjustment of Abnormal Loss of Stock
- Adjustment of Goods withdrawn for Personal Use
- Adjustment of Goods distributed as Free Samples
- Adjustment of Commission on Profit
- Adjustment of Goods Sent on Approval
- Adjustment of Goods-in-Transit
- Treatment of Items of Adjustments appearing outside the Trial Balance
- Treatment of Items of Adjustments appearing in the Trial Balance

1.0 RATIONALE OF MAKING ADJUSTMENTS AT THE TIME OF PREPARING THE FINAL ACCOUNTS

The important considerations in the preparation of Final Accounts with adjustments are as under:

(a) **Revenue Recognition Principle** which requires that generally the revenue should be recognized in the period in which the sale is deemed to have taken place.

(b) **Matching Principle** which requires that the Expenses should be recognized in the same period as associated Revenues. Expenses recognition is tied to Revenue recognition. Let the Expenses follow the Revenues.

All Incomes, Expenses and Losses of Revenue nature are shown in the Trading and Profit & Loss Account.

In order to prepare the Trading and Profit & Loss Account on accrual basis, generally the following guidelines are followed in practice:

1. Any Expense which has already been paid but relates to the succeeding period(s) is excluded.
2. Any Expense which relates to the Current Accounting Period whether paid in cash or not, is included.
3. Income which has already been received but relates to the succeeding period(s) is excluded.
4. Income which relates to the current accounting period whether received in cash or not, is included.

The usual items of adjustments have been discussed as follows:

2.0 ADJUSTMENT OF CLOSING STOCK

Meaning of Closing Stock

Closing Stock refers to the stock of unsold goods at the end of current accounting period which is carried forward in the next accounting period as opening stock.

Valuation of Closing Stock

According to Prudence Principle, the Stock of finished Goods is valued at Cost *or* Net Realisable Value *whichever is lower*.

Accounting Treatment of Closing Stock

I ***Adjusting Entry to be passed***	Closing Stock Dr. To Trading A/c
II ***Treatment in Trading A/c***	Shown on the Credit side.
III ***Treatment in Balance Sheet***	Shown on the Assets side as a Current Asset.

Treatment of Closing Stock in Trial Balance

If Closing Stock already appears in the Trial Balance, then no Adjusting Entry is required to be passed since it has already been taken into account while computing the amount of 'Adjusted Purchases' *or* 'Cost of Goods Sold'. Such Closing Stock will be shown as a Current Asset in the Balance Sheet only and not in the Trading Account.

ILLUSTRATION 1

Closing Stock as at 31st March 2013 ₹ 10,000 appears outside the Trial Balance. Accounts are closed on 31st March. Pass an Adjusting Entry and show how this will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Closing Stock	Dr.	₹ 10,000	
To Trading A/c			₹ 10,000

TRADING ACCOUNT

Dr. *for the year ended 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*	₹
		By Closing Stock	10,000

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*	₹
		Current Assets:	
		Closing Stock	10,000

3.0 ADJUSTMENT OF OUTSTANDING EXPENSES

Meaning of Outstanding Expenses

Outstanding Expenses refer to those expenses which have been incurred but not paid during the current accounting period.

Accounting Treatment of Outstanding Expenses

I ***Adjusting Entry to be passed***	Respective Expenses A/c Dr. To Outstanding Expenses A/c
II ***Treatment in Trading A/c (If it is a direct expense)***	Added to the Respective Expenses (e.g., Wages) on the debit side.
III ***Treatment in P & L A/c (If it is an indirect expense)***	Added to the Respective Expenses (e.g., Salaries) on the debit side.
IV ***Treatment in Balance Sheet***	Shown on the liabilities side as a Current Liability.

Treatment of Outstanding Expenses in Trial Balance

If Outstanding Expenses already appear in the Trial Balance, then no adjusting entry is required to be passed since these expenses have already been taken into account while computing the amount of Respective Expense. Such outstanding expenses will be shown as a Current Liability in the Balance Sheet only and not in the Income Statement.

ILLUSTRATION 2

Salary paid for 11 months from April 2012 to Feb. 2013 ₹ 1,10,000. Salary for the month of March has not yet been paid. Accounting year is financial year. Pass an Adjusting Entry and show how this will appear in final accounts.

SOLUTION:

ADJUSTING ENTRY

Salary A/c	Dr.	₹ 10,000	
To Outstanding Salary A/c			₹ 10,000

PROFIT AND LOSS ACCOUNT

Dr. *for the year ended 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*	₹
To Salary Paid	1,10,000			
Add: Outstanding	10,000	1,20,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*	₹
Current Liabilities:			
Outstanding Salary	10,000		

4.0 ADJUSTMENT OF PREPAID EXPENSES (OR UNEXPIRED EXPENSES)

Meaning of Prepaid Expenses

Prepaid Expenses refer to those expenses which have been paid during the current accounting period but the benefit of which will accrue in the subsequent accounting period *or* periods.

Accounting Treatment of Prepaid Expenses

I	***Adjusting Entry to be passed***	Prepaid Expenses A/c Dr. To Respective Expenses A/c
II	***Treatment in Trading A/c (If it is a direct expenses)***	Deducted from the Respective Expenses (e.g., Wages) on the debit side.
III	***Treatment in P & L A/c (If it is an indirect expense)***	Deducted from the Respective Expenses (e.g., Insurance Premium) on the debit side.
IV	***Treatment in Balance Sheet***	Shown on the assets side as a Current Asset.

Treatment of Prepaid Expenses in Trial Balance

If Prepaid Expenses already appear in the Trial Balance, then no adjusting entry is required to be passed since these expenses have already been excluded while computing the amount of relevant expense. Such Prepaid Expenses will be shown as a Current Asset in the Balance Sheet only and not in the Income Statement.

ILLUSTRATION 3

On 1.07.2012, a Fire Insurance Premium of ₹ 72,000 was paid on a policy which will expire on 30.6.2013. Accounts are closed on 31st March. Pass an adjusting entry and show how this will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Prepaid Insurance A/c	Dr.	₹ 18,000	
To Insurance Premium A/c			₹ 18,000

PROFIT AND LOSS ACCOUNT

Dr. *for the year ended 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*	₹
To Insurance Premium Paid	72,000			
Less: Prepaid	18,000	54,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*	₹
		Current Assets:	
		Prepaid Insurance	18,000

5.0 DISTINCTION BETWEEN DEFERRED REVENUE EXPENSES & PREPAID EXPENSES

Meaning of Deferred Revenue Expenditure

The Guidance Note on *"Terms used in Financial Statement" issued by the Institute of Chartered Accountants of India (ICAI),* defines Deferred Revenue Expenditure **as that expenditure for which payment has been made** *or* a liability incurred, but which **is carried forward on the presumption that it will be of benefit over a subsequent period or periods**.

In short, it refers to that expenditure that is, for the time being, deferred from being charged to income. Such suspension of 'charging off' operation may be due to the nature of expenses and the benefit expected therefrom.

Deferred Revenue Expenditure should be revenue expenditure by nature in the first instance, for example, advertisement. But its matching with revenue may be deferred considering the benefit to be accrued in future.

Two Basic Points of difference between Deferred Revenue Expenses and Prepaid Expenses

1. **Estimation:** The benefits available from prepaid expenses can be precisely estimated but that is not so in case of deferred revenue expenses. Heavy advertising to launch a new product is a deferred expense since the benefit from it will be available over the next three to five years but one cannot say precisely

how long. On the other hand, insurance premium paid say, for the year ending 30th June 2013, when the accounting year ends on 31st March 2013, will be an example of prepaid expense to the extent of premium relating to three months period, i.e., from 1st April 2013 to 30th June 2013. Thus, the insurance protection will be available precisely for three months after the close of the year and the amount of the premium to be carried forward can be calculated exactly.

2. **Nature:** Deferred expenses are considered Fictitious Assets but Prepaid Expenses are considered as Current Assets.

6.0 DISTINCTION BETWEEN OUTSTANDING EXPENSE AND PREPAID EXPENSE

Outstanding Expense differs from Prepaid Expense in the following respects:

Basis of Distinction	Outstanding Expense	Prepaid Expense
1. **Meaning**	It refers to an expense **incurred but not paid** during the current accounting period.	It refers to an expense **paid but not incurred** during the current accounting period.
2. **Payment**	It is **yet to be paid**.	It has **already** been **paid**.
3. **Incurred**	It has **already** been **incurred**.	It is **yet to be incurred**.
4. **Year to which the item relates**	It is an item of the **current year**.	It is an item of the **following year**.
5. **Treatment in Income Statement**	It is shown **by way of addition** to the relevant item.	It is shown **by way of deduction** from the relevant item.
6. **Treatment in Balance Sheet**	It is shown on the liabilities side as a **current liability**.	It is shown on the assets side as a **current asset**.

7.0 ADJUSTMENT OF ACCRUED INCOME

Meaning of Accrued Income

Accrued Income refers to that income which has been earned but not received during the current accounting period.

Accounting Treatment of Accrued Income

I ***Adjusting Entry to be passed***	Accrued Income A/c Dr. To Respective Income A/c
II ***Treatment in P & L A/c***	Added to the Respective Income on the credit side.
III ***Treatment in Balance Sheet***	Shown on the assets side as a Current Asset.

Treatment of Accrued Income in Trial Balance

If Accrued Income already appears in the Trial Balance, then no adjusting entry is required to be passed since it has already been taken into account while computing the amount of

elevant Income. Such Accrued Income will be shown as a Current Asset in the Balance Sheet only and not in the Income Statement.

ILLUSTRATION 4

On 1.4.2012 a loan of ₹ 1,00,000 was given to Ram at a rate of interest of 12%, per annum. During the year, interest was received for 11 months from Apr. to Feb. Interest for the month for March has not yet been received: Accounting year is financial year. Pass an adjusting entry and show how this will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Accrued Interest A/c	Dr.	₹ 1,000	
To Interest A/c			₹ 1,000

PROFIT AND LOSS ACCOUNT

Dr. *for the year ended 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*		₹
		By Interest Received	11,000	
		Add: Accrued	1,000	12,000

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*	₹
		Investments:	
		12% Loan to Ram	1,00,000
		Current Assets:	
		Accrued Interest	1,000

8.0 ADJUSTMENT OF INCOME RECEIVED IN ADVANCE (OR UNACCRUED INCOME)

Meaning of Income received in advance (or Unaccrued Income)

Unaccrued Income refers to that income which has been received but not earned during the current accounting period.

Accounting Treatment of Unaccrued Income

I ***Adjusting Entry to be passed***	Respective Income A/c Dr. To Unaccrued Income A/c
II ***Treatment in P & L A/c*** credit side.	Deducted from the Respective Income on the
III ***Treatment in Balance Sheet***	Shown on the liabilities side as a Current Liability.

Treatment of Unaccrued Income in Trial Balance

If Unaccrued Income already appears in the Trial Balance, then no adjusting entry is required to be passed since it has already been excluded while computing the amount of

Relevant Income. Such unaccrued income will be shown as a Current Liability in the Balance Sheet only and not in the Income Statement.

ILLUSTRATION 5

On 1.2.2013, a loan of ₹ 1,00,000 was given to Ravi for 3 months at a rate of interest of 12% per annum and Accounting year is financial year. Interest was received for 3 months from Feb. to April. Pass an adjusting entry and show how this will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Interest A/c	Dr.	₹ 1,000	
To Unaccrued Interest A/c			₹ 1,000

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*		₹
		By Interest Received	3,000	
		Less: Unaccrued	1,000	2,000

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*	₹
Current Liabilities:		***Investments:***	
Unaccrued Interest	1,000	Loan to Ravi	1,00,000

ILLUSTRATION 6

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
12% Loan from Shri Ram		1,00,000
Interest on 12% Loan from Shri Ram	9,000	

Required: Show how these items will appear in the final accounts.

SOLUTION

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Interest on loan to Shriram	9,000			
Add: Outstanding Interest	3,000	12,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*	₹
Long-term Loans:			
12% Loan from Shri Ram	1,00,000		
Current Liabilities:			
Outstanding Interest	3,000		

Note: *In the absence of any information regarding the dates of 12% Loan from Shri Ram, it is reasonable to assume that this loan is outstanding since beginning of the accounting year.*

9.0 DISTINCTION BETWEEN ACCRUED INCOME AND UNACCRUED INCOME

Accrued Income differs from Unaccrued Income in the following respects:

Basis of Distinction	Accrued Income	Unaccrued Income
1. **Meaning**	It refers to an income **earned but not received** during the current accounting period.	It refers to an income **received but not earned** during the current accounting period.
2. **Receipt**	It is **yet to be received**.	It has **already** been **received**.
3. **Earned**	It has **already** been **earned**.	It is **yet to be earned**.
4. **Year to which the item relates**	It is an item of the **current year**.	It is an item of the **following year**.
5. **Treatment in Income Statement**	It is shown **by way of addition** to the relevant item.	It is shown **by way of deduction** from the relevant item.
6. **Treatment in Balance Sheet**	It is shown on the assets side as a **Current Asset**.	It is shown on the liabilities side as a **Current Liability**.

10.0 ADJUSTMENT OF DEPRECIATION

Meaning of Depreciation

Depreciation represents that portion of the cost of a fixed asset which has been used in the business for the purpose of earning profits.

Accounting Treatment of Depreciation

I ***Adjusting Entry to be passed***	Depreciation A/c Dr. To Respective Asset A/c/Provision for Depreciation A/c
II ***Treatment in P & L A/c***	Shown on the debit side as a separate item.
III ***Treatment in Balance Sheet***	Shown on the assets side by way of deduction from the value of Respective Fixed Asset.

Treatment of Depreciation in Trial Balance

If Depreciation already appears in the Trial Balance, then no adjusting entry is required to be passed since it has already been taken into while computing the Closing Book Value of the Relevant Fixed Asset. Such depreciation will be shown only in the Income Statement and not in the Balance Sheet.

ILLUSTRATION 7

On 1.1.2013, a Machine costing ₹ 10,000 and a Furniture costing ₹ 20,000 were purchased. Write 5% off the Furniture and depreciate the Machinery @ 10% p.a. Accounting year is financial year. Pass an Adjusting Entry and show how this will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Depreciation A/c	Dr.	₹ 1,250		
To Furniture A/c			₹ 1,000	
To Machinery A/c			₹ 250	

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Depreciation:			
— on Furniture	1,000		
— on Machinery	250		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Fixed Assets:		
		Furniture	20,000	
		Less: Depreciation	1,000	19,000
		Machinery	10,000	
		Less: Depreciation	250	9,750

Note: Depreciation on furniture has been charged for the full year because a flat rate of 5% (and not 5% p.a.) has been given, whereas depreciation on machinery has been charged for three months from 1st January to 31st March.

ILLUSTRATION 8

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	50,000	
Wages	5,000	

A Machine costing ₹ 20,000 was purchased on 1st July 2012. Wages ₹ 1,000 for its erection have been debited to Wages Account. Provide depreciation on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

SOLUTION

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Wages	5,000			
Less: Erection of plant	1,000	4,000		

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Depreciation on Plant & Machinery				
On ₹ 30,000	3,000			
On ₹ 21,000	1,575	4,575		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Fixed Assets:		
		Plant & Machinery		
		Opening Balance	30,000	
		Add: Addition	20,000	
		Add: Wages	1,000	
		Total	51,000	
		Less: Depreciation	4,575	46,425

ILLUSTRATION 9

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	50,000	
Wages	5,000	

A Machine costing ₹ 20,000 was purchased on 1st July, 2012 but it was not recorded in the books as no payment was made for it. Wages ₹ 1,000 paid for its erection have been debited to Wages Account. Provide depreciation on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

SOLUTION

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Wages	5,000			
Less: Erection of plant	1,000	4,000		

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Depreciation on Plant & Machinery				
On ₹ 50,000	₹ 5,000			
On ₹ 21,000	₹ 1,575	6,575		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Fixed Assets:		
		Plant & Machinery		
		Opening Balance	50,000	
		Add: Additions	20,000	
		Add: Wages	1,000	
		Total	71,000	
		Less: Depreciation	6,575	64,425

ILLUSTRATION 10

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	50,000	
Wages	5,000	

A Machine costing ₹ 20,000 was purchased during the year 2012–2013. Wages ₹ 1,000 paid for its erection have been debited to Wages Account. Provide depreciation on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

SOLUTION

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Wages	5,000			
Less: Erection of plant	1,000	4,000		

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Depreciation on				
Plant & Machinery				
On ₹ 30,000	3,000			
On ₹ 21,000	1,050	4,050		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Fixed Assets:		
		Plant & Machinery		
		Opening Balance	30,000	
		Add: Additions	20,000	
		Add: Wages	1,000	
			51,000	
		Less: Depreciation	4,050	46,950

Note: *In the absence of actual date of purchase, depreciation has been provided for an average period of 6 months.*

ILLUSTRATION 11

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	50,000	
Wages	5,000	

A Machine costing ₹ 20,000 was purchased during the year 2012–2013. Wages ₹ 1,000 paid for its erection have been debited to Wages Account. Write 10% off the Plant & Machinery. Show how these items will appear in the final accounts.

SOLUTION

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED AT 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Wages	5,000			
Less: Erection of wages	1,000	4,000		

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Depreciation on Plant & Mach.				
On ₹ 30,000	3,000			
On ₹ 21,000	2,100	5,100		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Fixed Assets:		
		Plant & Machinery		
		Opening Balance	30,000	
		Add: Addition	20,000	
		Add: Erection of Plant	1,000	
		Total	51,000	
		Less: Depreciation	5,100	45,900

Note: *Depreciation has been charged for full year since the blanket rate of 10% without per annum is given.*

ILLUSTRATION 12

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	50,000	
Wages	5,000	

A Machine costing ₹ 20,000 was purchased on 1st July 2012. Wages ₹ 1,000 paid for its erection have been debited to Wages Account. Write 10% off the Plant & Machinery. Show how these items will appear in the final accounts.

SOLUTION

Same solution as given in Illustration 11 since the depreciation is to be charged for full year irrespective of the date of purchase as the rate of 10% without per annum is given.

ILLUSTRATION 13 [WHEN ACCUMULATED DEPRECIATION IS GIVEN]

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Wages	5,000	
Plant & Machinery	80,000	
Accumulated Depreciation on Plant & Machinery		30,000

Provide depreciation on Plant & Machinery ₹ 8,000. Show how these items will appear in the final accounts.

SOLUTION

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Wages	5,000		

PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013

Particulars	₹	*Particulars*	₹
To Depreciation on Plant & Machinery	8,000		

BALANCE SHEET AS AT 31ST MARCH 2013

Liabilities	₹	*Assets*	₹
		Fixed Assets:	
		Plant & Machinery 80,000	
		Less: Depreciation 38,000	42,000

ILLUSTRATION 14 [WHEN ACCUMULATED DEPRECIATION IS GIVEN]

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Wages	5,000	
Plant & Machinery	80,000	
Accumulated Depreciation on Plant & Machinery		30,000

Provide Depreciation according to Straight Line Method on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

SOLUTION

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Wages	5,000		

PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013

Particulars	₹	*Particulars*	₹
To Depreciation on Plant & Machinery	8,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Fixed Assets:		
		Plant & Machinery	80,000	
		Less: Depreciation	38,000	42,000

ILLUSTRATION 15 [WHEN ACCUMULATED DEPRECIATION IS GIVEN]

Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Wages	5,000	
Plant & Machinery	80,000	
Accumulated Depreciation on Plant & Machinery		30,000

Provide Depreciation according to Written Down Value Method on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts .

SOLUTION

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Wages	5,000		

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Depreciation on Plant & Machinery	5,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Fixed Assets:		
		Plant & Machinery	80,000	
		Less: Depreciation	35,000	45,000

11.0 ADJUSTMENT OF BAD DEBTS

Meaning of Bad Debt

Bad Debts refer to the amount due from the customers, which could not be recovered.

Accounting Treatment of Bad Debts

I	***Adjusting Entry***	Bad Debts A/c Dr. To Debtors A/c
II	***Treatment in P & L A/c***	Shown on the debit side as a separate item.
III	***Treatment in Balance Sheet***	Shown on the Assets side by way of deduction from the 'Debtors'.

ILLUSTRATION 16

Mr *X*, a debtor for ₹ 5,000, has become insolvent and nothing could be recovered from him. Debtors (including Mr *X*) appear at ₹ 2,05,000 in the Trial Balance as at 31st March 2013. Accounting year is financial year. Pass an adjusting entry and show how these items will appear in the final accounts.

SOLUTION

ADJUSTING ENTRY

Bad Debts A/c	Dr.	₹ 5,000	
To Mr X			₹ 5,000

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Bad Debts	5,000		

BALANCE SHEET AS AT 31 MARCH, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Debtors	2,05,000	
		Less: Bad Debts	5,000	2,00,000

12.0 ADJUSTMENT OF PROVISION FOR DOUBTFUL DEBTS

Meaning of Provision for Doubtful Debts

A provision for doubtful debts refers to a provision created to cover the loss of possible bad debts by means of a predetermined percentage of Net Debtors (i.e., Debtors *less* Bad Debts) with a view to bring in a certain element of certainty in the amount of Bad Debts charged for each accounting period.

Accounting Treatment of Provision for Doubtful Debts

I ***Adjusting Entry to be passed***	Profit & Loss A/c Dr. To Provision for Doubtful Debts A/c
II ***Treatment in P & L A/c***	Shown on the debit side as a separate item.
III ***Treatment in*** the amount of	Shown on the Assets side by way of deduction from ***Balance Sheet*** Sundry Debtors (i.e., Net of additional bad debts).

ILLUSTRATION 17

Following are the extracts from the Trial Balance as at 31st March 2013:

Name of Account	*Debit Balance* ₹	*Credit Balance* ₹
Sundry Debtors	2,05,000	
Bad Debts	3,000	

Additional Information:

(i) After preparing the Trial Balance, it is learnt that Mr *X*, a debtor has become insolvent and nothing could be recovered from him and, therefore, the entire amount of ₹ 5,000 due from him was irrecoverable.

(ii) Create 10% provision for doubtful debts.

Required: Pass the necessary journal entries and show the relevant accounts (*including final accounts*).

SOLUTION

JOURNAL

Particulars		*L.F.*	*Dr.* (₹)	*Cr.* (₹)
Bad Debts A/c	Dr.		5,000	
To Mr X				5,000
(Being the amount due from Mr X proved to be bad)				
Profit & Loss A/c	Dr.		8,000	
To Bad Debts A/c				8,000
(Being the transfer of bad debts to P & L A/c)				
Profit & Loss A/c	Dr.		20,000	
To Provision for Doubtful Debts A/c				20,000
(Being the provision for doubtful debts created @ 10% on ₹ 2,00,000)				

Dr. **SUNDRY DEBTORS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	2,05,000	By Bad Debts A/c	5,000
		By Balance c/d	2,00,000
	2,05,000		2,05,000

Dr. **BAD DEBTS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	3,000	By Profit & Loss A/c	8,000
To Sundry Debtors	5,000		
	8,000		8,000

Dr. **PROVISION FOR DOUBTFUL DEBTS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance c/d	20,000	By Profit & Loss A/c	20,000
	20,000		20,000

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Bad Debts (as given in the Trial Balance)	3,000			
Add: Additional Bad Debts	5,000	8,000		
To Provision for Doubtful Debts		20,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Sundry Debtors	2,05,000	
		Less: Additional Bad Debts	5,000	
			2,00,000	
		Less: Provision for Doubtful Debts	20,000	1,80,000

ILLUSTRATION 18

Following are the extracts from the Trial Balance as at 31st March 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Sundry Debtors	2,05,000	
Provision for Doubtful Debts		10,000
Bad Debts	3,000	

Additional Information:

(i) Further Bad Debts ₹ 5,000,

(ii) Maintain the Provision for Doubtful Debts @ 10% on debtors.

Required: Pass the necessary journal entries and show the relevant accounts (*including final accounts*).

SOLUTION

JOURNAL

Particulars	*L.F.*	*Dr.* (₹)	*Cr.* (₹)
Bad Debts A/c Dr.		5,000	
To Sundry Debtors A/c			5,000
(Being the additional bad debts recorded)			
Provision for Doubtful Debts A/c Dr.		8,000	
To Bad Debts A/c			8,000
(Being bad debts, transferred to Provision for doubtful debts A/c)			
Profit & Loss A/c Dr.		18,000	
To Provision for Doubtful Debts A/c			18,000
(Being the amount charged from P & L A/c to maintain provision for doubtful debts @ 10% on debtors)			

Dr. **SUNDRY DEBTORS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	2,05,000	By Bad Debts A/c	5,000
		By Balance c/d	2,00,000
	2,05,000		2,05,000

Dr. **Bad Debts Account** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	3,000	By Provision for Doubtful	8,000
To Sundry Debtors A/c	5,000	Debts A/c	
	8,000		8,000

Dr. **PROVISION FOR DOUBTFUL DEBTS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Bad Debts A/c	8,000	By Balance b/d	10,000
To Balance c/d	20,000	By Profit & Loss A/c	18,000
[10% of (₹ 2,05,000 – ₹ 5,000)]			
	28,000		28,000

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr*

Particulars	₹	*Particulars*	₹
To Provision for Doubtful Debts	18,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Sundry Debtors	2,05,000	
		Less: Add. bad debts	5,000	
			2,00,000	
		Less: Prov. for Doubtful Debts	20,000	1,80,000

ILLUSTRATION 19

Following are the extracts from the Trial Balance as at 31st March 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Salaries	41,600	
Debtors	2,08,000	
Bad Debts	2,000	

1. Debtors include Shyam for dishonoured bill of ₹ 800. Half the amount of Shyam's bill is irrecoverable.
2. Remuneration of ₹ 2,000 paid to Mr B. Barua, a temporary employee, stands debited to his personal account.
3. Create a Provision for Doubtful Debts @ 5% on Debtors.

Show how these items will appear in the final accounts.

SOLUTION

Dr. **PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Salaries	41,600			
Add: Salary to Barua	2,000	43,600		
To Bad Debts	2,000			
Add: Further Bad Debts	400			
Add: Prov. for Doubtful Debts	10,260	12,660		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Debtors	2,08,000	
		Less: Salary to Barua	2,000	
		Less: Bad Debts	400	
			2,05,600	
		Less: Provision for Doubtful Debts @ 5% on ₹ 2,05,200 (i.e., 2,05,600 – ₹ 400 good debts)	10,260	1,95,340

13.0 ADJUSTMENT OF PROVISION FOR DISCOUNT ON DEBTORS

Meaning of Provision for Discount on Debtors

Provision for Discount on Debtors refers to the provision created to provide for discount likely to be allowed on Good Debtors (i.e., Sundry Debtors *less* Additional Bad Debts given outside the Trial Balance and the Provision for Doubtful Debts).

Accounting Treatment of Provision for Discount on Debtors

I	***Adjusting Entry to be passed***	Profit & Loss A/c Dr. To Provision for Discount on Debtors A/c
II	***Treatment in P & L A/c***	Shown on the debit side as a separate item.
III	***Treatment in Balance Sheet***	Shown on the assets side of the Balance Sheet by way of deduction from the Sundry Debtors.

ILLUSTRATION 20

Following are the extracts from the Trial Balance as at 31st March, 2013:

Name of Account	*Debit Balance* ₹	*Credit Balance* ₹
Sundry Debtors	2,05,000	
Bad Debts	3,000	
Discount	1,800	

Additional Information:

(i) Create a Provision for Doubtful Debts @ 10% on debtors.

(ii) Create a Provision for Discount on Debtors @ 2% on debtors.

(iii) Additional Discount given to the debtors ₹ 5,000.

Required: Pass the necessary journal entries and show the relevant accounts (including final accounts).

SOLUTION

JOURNAL

Particulars	*L.F.*	*Dr.* (₹)	*Cr.* (₹)
Discount Allowed A/c Dr.		5,000	
To Sundry Debtors A/c			5,000
(Being the additional discount allowed to debtors recorded)			
Profit & Loss A/c Dr.		9,800	
To Bad Debts A/c			3,000
To Discount Allowed A/c			6,800
(Being the transfer of bad debts & discount allowed to P & L A/c)			
Profit & Loss A/c Dr.		20,000	
To Provision for doubtful debts A/c			20,000
(Being provision for doubtful debts created @ 10% on debtors of ₹ 2,00,000)			

Profit & Loss A/c	Dr.		3,600	
To Provision for discount on debtors A/c				3,600
(Being provision for discount created @ 2% on debtors of ₹ 1,80,000 (i.e., ₹ 2,00,000 – ₹ 20,000)				

Dr. **SUNDRY DEBTORS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	2,05,000	By Discount Allowed A/c	5,000
		By Balance c/d	2,00,000
	2,05,000		2,05,000

Dr. **BAD DEBTS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	3,000	By Profit and Loss A/c	3,000

Dr. **PROVISION FOR DOUBTFUL DEBTS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance c/d	20,000	By Profit and Loss A/c	20,000

Dr. **DISCOUNT ALLOWED ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	1,800	By Profit and Loss A/c	6,800
To S. Debtors	5,000		
	6,800		6,800

Dr. **PROVISION FOR DISCOUNT ON DEBTORS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance c/d	3,600	By Profit & Loss A/c	3,600

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Bad Debts		3,000		
(as given in the Trial Balance)				
To Provision for doubtful debts		20,000		
To Discount	1,800			
(as given in the Trial Balance)				
Add: Additional Discount	5,000	6,800		
To Provision for Discount on Debtors		3,600		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Debtors	2,05,000	
		Less: Additional Discount	5,000	
			2,00,000	
		Less: Provision for Doubtful Debts @ 10%	20,000	
			1,80,000	
		Less: Provision for Discount @ 2%	3,600	1,76,400

ILLUSTRATION 21

Following are the extracts from the Trial Balance of a firm as on 31st March, 2013:

Name of Account	*Debit Balance* ₹	*Credit Balance* ₹
Sundry Debtors	2,05,000	
Provision for Doubtful Debts		10,000
Provision for Discount on Debtors		1,800
Bad Debts	3,000	
Discount	1,000	

Additional Information:

(i) Additional Bad Debts ₹ 4,000

(ii) Additional Discount allowed to Debtors ₹ 1,000

(iii) Maintain a provision for bad debts @ 10% on debtors

(iv) Maintain a provision for discount @ 2% on debtors

Required: Pass the necessary journal entries and show the relevant accounts (*including final accounts*).

SOLUTION

JOURNAL

Particulars		*L.F.*	*Dr.* (₹)	*Cr.* (₹)
Bad Debts A/c	Dr.		4,000	
Discount A/c	Dr.		1,000	
To Sundry Debtors A/c				5,000
(Being the additional bad debts and additional discount on debtors recorded)				
Provision for Doubtful Debts A/c	Dr.		7,000	
To Bad Debts A/c				7,000
(Being the bad debts transferred to Provision for Doubtful Debts A/c)				
Provision for Discount on Debtors A/c	Dr.		2,000	
To Discount A/c				2,000
(Being the discount allowed transferred to Provision for Discount on Debtors A/c)				

Profit and Loss A/c	Dr.		17,000	
To Provision for Doubtful Debts A/c				17,000
(Being the amount charged from Profit & Loss Account to maintain a provision for doubtful debts @10% on debtors i.e., 10% of (₹ 2,05,000 – ₹ 5,000)				
Profit and Loss A/c	Dr.		3,800	
To Provision for Discount on Debtors A/c				3,800
(Being the amount charged from P & L A/c to maintain a provision for discount @ 2% on good debtors i.e., 2% of (₹ 2,05,000 – ₹ 5,000 – ₹ 20,000)				

Ledger Accounts:

Dr. **SUNDRY DEBTORS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	2,05,000	By Bad Debts A/c	4,000
		By Discount Allowed A/c	1,000
		By Balance c/d	2,00,000
	2,05,000		2,05,000

Dr. **BAD DEBTS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	3,000	By Provision for Doubtful Debts A/c	7,000
To Sundry Debtors	4,000		
	7,000		7,000

Dr. **PROVISION FOR DOUBTFUL DEBTS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Bad Debts A/c	7,000	By Balance b/d	10,000
To Balance c/d	20,000	By Profit & Loss A/c (b/f)	**17,000**
[10% of ₹ 2,05,000 – ₹ 5,000]	27,000		27,000

Dr. **DISCOUNT ALLOWED ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Balance b/d	1,000	By Provision for Discount	
To Sundry Debtors A/c	1,000	on Debtors A/c	2,000
	2,000		2,000

Dr. **PROVISION FOR DISCOUNT ON DEBTORS ACCOUNT** *Cr.*

Particulars	₹	*Particulars*	₹
To Discount A/c	2,000	By Balance b/d	1,800
To Balance c/d	3,600	By Profit & Loss A/c (b/f)	3,800
[2% of (2,05,000 – 5,000 – 20,000]			
	5,600		5,600

AN EXTRACT OF PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*	₹
To Provision for Doubtful Debts	17,000		
To Provision for Discount	3,800		

AN EXTRACT OF BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Sundry Debtors	2,05,000	
		Less: Additional Bad Debts and Discount	5,000	
			2,00,000	
		Less: Provision for Doubtful debts 10%	20,000	
			1,80,000	
		Less: Provision for Discount @ 2%	3,600	1,76,400

14.0 ADJUSTMENT OF ABNORMAL LOSS OF STOCK

Meaning of Abnormal Loss of Stock

The abnormal loss of stock is an avoidable loss and is usually caused by fire, theft, abnormal spoilage/leakage/breakages/pilferage, etc.

Accounting Treatment of Abnormal Loss of Stock

I	***Adjusting Entry to be passed***	Loss of Stock A/c Dr. To Purchases A/c
II	***Treatment in Trading A/c***	Total Value of Abnormal Loss (whether, recovered or not) is shown as deduction from Purchases.
III	***Treatment in P & L A/c***	Total Value of Irrecovered Loss of Stock (i.e., Total Loss *less* amount *if any*, recovered from Insurance Co.) is shown on the debit side as a separate item.
IV	***Treatment in Balance Sheet***	The amount *if any*, due from the Insurance Co., is shown on the Assets side as a 'Current Asset'.

ILLUSTRATION 22

A fire broke out on 30th March, 2013 in the godown and Stock costing ₹ 1,00,000 was destroyed. The insurance company, admitted a claim of 60% only. Accounting year is financial year. Purchases are ₹ 5,00,000 Pass an adjusting entry and show how these items will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Loss of Stock by Fire A/c	Dr.	₹ 1,00,000	
To Purchases A/c			₹ 1,00,000
Insurance Co.	Dr.	₹ 60,000	
To Loss of Stock by Fire A/c			₹ 60,000

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
To Purchases	5,00,000			
Less: Loss of Stock	1,00,000	4,00,000		

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Loss of Stock by Fire A/c	40,000		

BALANCE SHEET AS AT 31ST MARCH, 20X2

Liabilities	₹	*Assets*	₹
		Current Assets:	
		Insurance Co.	60,000

15.0 ADJUSTMENT OF GOODS WITHDRAWN FOR PERSONAL USE

Meaning of Goods Withdrawn for Personal Use

When the proprietor withdraws goods for his personal use, Drawings Account is debited because the Goods withdrawn for personal use represent an increase in Drawings and Purchases Account is credited because cost of such goods withdrawn represent a decrease in Purchases (i.e., Business Expense) and not increase in Sales because no profit is earned on such goods.

Accounting Treatment of Goods Withdrawn for Personal Use

I ***Adjusting Entry to be passed***	Drawings A/c Dr. To Purchases A/c (Being the goods withdrawn for personal use) **Note:** *At the end of the accounting period, the balance in the Drawings Account is transferred to the debit of Capital Account.*
II ***Treatment in Trading A/c***	Shown on the debit side by way of deduction from Purchases.
III ***Treatment in Balance Sheet***	Shown on the liabilities side by way of deduction from the Capital.

ILLUSTRATION 23

On 31st March, 2013, Goods costing ₹ 2,000 were taken by the proprietor for his personal use but no entry has been made in the books of accounts. Purchases were ₹ 82,000. Capital ₹1,00,000. Accounting year is financial year. Pass an adjusting entry and show how these items will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Particulars	*L.F.*	*Dr.* (₹)	*Cr.* (₹)
Drawings A/c Dr.		2,000	
To Purchases A/c			2,000
(Being the Goods withdrawn for personal use)			

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
Purchases	82,000			
Less: Goods taken for personal use	2,000	80,000		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities		₹	*Assets*	₹
Capital:				
Opening Balance	1,00,000			
Less: Drawings(Goods)	2,000	98,000		

16.0 ADJUSTMENT OF GOODS DISTRIBUTED AS FREE SAMPLES

Meaning of Goods Distributed as Free Samples

When Goods are given as Charity, the Charity Account is debited because Charity represents an increase in an indirect expense and Purchases Account is credited because it represents a decrease in direct expense.

Accounting Treatment of Goods Distributed as Free Samples

I	***Adjusting Entry to be passed***	Sales Promotion Expenses A/c Dr. To Purchases A/c (Being the Goods distributed as free samples)
II	***Treatment in Trading A/c***	Shown on the debit side by way of deduction from Purchases.
III	***Treatment in P & L A/c***	Shown on the debit side as Sales Promotion Expenses.

ILLUSTRATION 24

Goods costing ₹ 2,000 were distributed as free samples but no entry has been made in the books of accounts. Purchases were ₹ 82,000. Accounting year is financial year. Pass an adjusting entry and show how these items will appear in final accounts.

SOLUTION

ADJUSTING ENTRY

Particulars	*L.F.*	*Dr.* (₹)	*Cr.* (₹)
Sales Promotion Expenses A/c Dr.		2,000	
To Purchases A/c			2,000
(Being the Goods distributed as free samples)			

Dr. **TRADING ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*	₹
Purchases	82,000			
Less: Goods taken for personal use	2,000	80,000		

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Sales Promotion Expenses	2,000		

17.0 ADJUSTMENT OF COMMISSION ON PROFIT

Meaning of Commission on Profit

Commission on profit is the remuneration on the basis of certain percentage of profits. Such profits may be *either* before *or* after charging such commission. In the absence of any information, commission is allowed as a percentage of net profit before charging such commission.

Accounting Treatment of Commission on Profit

I. ***Adjusting Entry to be passed***	Manager's Commission A/c Dr. To Outstanding Commission A/c
II. ***Treatment in P & L A/c***	Shown on the debit side as a separate item.
III. ***Treatment in Balance Sheet***	Shown on the liabilities side as a Current Liability.

ILLUSTRATION 25

The Net Profits of a firm are ₹ 10,500 before charging any commission. The manager of the firm is entitled to a commission of 5% on the net profits before charging such commission. Calculate the commission payable to the manager. Also show its treatment in Final Accounts ending on 31st March, 2013.

SOLUTION

$$\text{Commission} = \text{Net Profit before charging such Commission} \times \frac{\text{Rate of Commission}}{100}$$

= ₹ 10,500 × 5/100 = ₹ 525

Dr. **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
To Manager's Commission	525		

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities	₹	*Assets*	₹
Current Liabilities:			
Manager's Commission Outstanding	525		

ILLUSTRATION 26

The Net Profit of a firm amounts to ₹ 10,500 before charging commission. The manager of the firm is entitled to a commission of 5% on the net profits after charging such commission. Calculate the commission payable to the manager.

SOLUTION

Let the Net Profit after charging the commission be = ₹ 100

Commission @ 5% on net profit = ₹ 5

Therefore, Net Profit before charging such commission = ₹ 100 + ₹ 5 = ₹ 105

Commission = ₹ 10,500 × 5/105 = ₹ 500

Thus, in such a case, in the form of a formula, the manager's commission may be expressed as under:

$$\text{Commission} = \text{Net Profit before charging such commission} \times \frac{\text{Rate of Commission}}{100 + \text{Rate of Commission}}$$

= ₹ 10,500 × 5/(100 + 5) = ₹ 500

18.0 ADJUSTMENT OF GOODS SENT ON APPROVAL

Meaning of Goods sent on 'Approval' or 'on Sale or Return'

Goods sent on 'approval' or 'on Sale or Return' basis mean the delivery of the goods to the customers with the option to retain or return them within a specified period.

Method of Accounting

When such transactions are few, these transactions are accounted for **as an ordinary sale**.

Treatment of Goods still with Customers

If at the year-end, goods are still lying with customers and the specified period has not yet expired, the original entry made for sale is cancelled. Like an ordinary closing stock, such

goods are considered as stock lying with customers on behalf of sellers and are valued at cost.

Accounting Treatment of Goods sent on 'Approval'

I	***Adjusting Entry to be passed***	(i) Sales A/c Dr. [with Selling Price] To Debtors' A/c (ii) Stock with customers A/c Dr. [with Cost] To Trading A/c
II	***Treatment in Trading A/c***	(i) Sales value of such goods is shown on credit side by way of deduction from Sales (ii) Cost of such goods is shown on the credit side by way of addition to Closing Stock-in-hand
III	***Treatment in Balance Sheet***	(i) Sales value of such goods is shown on the assets side by way of deduction from Debtors (ii) Cost of such goods is shown on the assets side by way of addition to Closing Stock-in-hand.

ILLUSTRATION 27

Following are the extracts of a Trial Balance as on 31.3.2013:

Particulars	*Dr balance* ₹	*Cr Balance* ₹
Sales		1,11,243
Debtors	19,100	

Additional Information: Goods costing ₹ 600 were sent to a customer on sale or return for ₹ 700 on 30 March 2013 and has been recorded in the books as actual sales. Stock-in-hand on 31st March, 2013, was valued at ₹ 6,250.

Required: Show how these items will appear in the Final Accounts.

Solution:

Trading Account

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars	₹	*Particulars*		₹
		By Sales	1,11,243	
		Less: Goods Sent on Approval	700	1,10,543
		By Closing Stock	6,250	
		Add: Goods Sent on Approval	600	6,850

Balance Sheet as at 31st March, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Debtors	19,100	
		Less: Debtor for Sale of Goods sent on approval	700	18,400
		Stock-in-hand	6,250	
		Stock with customer (Sent on approval)	600	6,850

19.0 ADJUSTMENT OF GOODS-IN-TRANSIT

Meaning of Goods-in-Transit

Generally, Goods-in-Transit refer to those goods which have been purchased but not received during the current accounting period. These goods should be treated as part of closing stock.

Accounting Treatment of Goods-in-Transit

I. **Adjusting Entry to be passed**	Goods-in-transit A/c Dr. To Trading A/c
II. **Treatment in Trading Account**	Shown on the Credit side
III. **Treatment in Balance Sheet**	Shown on the Assets side as a Current Asset.

ILLUSTRATION 28

Invoices for Goods costing ₹ 10,000 have been entered on 27th March, 2013 but the goods have not yet been received till 31st March, 2013. Accounting year is financial year. Pass the necessary adjusting entry and show the treatment in Final Accounts.

Solution: **Adjusting Entry:**

Goods-in-Transit A/c	Dr.	₹ 10,000	
To Trading A/c			₹ 10,000

(Being the goods purchased but not yet received)

Dr. **Trading Account for the year ended 31st March, 2013** *Cr.*

Particulars	₹	*Particulars*	₹
		By Goods-in-Transit	10,000

Balance Sheet as at 31st March, 2013

Liabilities	₹	*Assets*		₹
		Current Assets:		
		Goods-in-Transit		10,000

ILLUSTRATION 29

Give the necessary adjusting entries for the following items appearing outside the Trial Balance as on 31st March, 2013.

(a) Closing Stock in hand ₹ 10,000
(b) Salary due but not paid ₹ 1,000
(c) Unexpired Insurance ₹ 2,000
(d) Rent received in advance ₹ 3,000
(e) Interest due but not received ₹ 600
(f) Depreciation on Fixed Assets @ $33\frac{1}{3}\%$
(g) Bad debts to be written-off ₹ 5,000
(h) Create Provision for Doubtful Debts @ 10%
(i) Create Provision for Discount on Debtors @ 2%

Other Information as per Trial Balance: Fixed Assets ₹ 60,000; Debtors ₹ 2,05,000.

20.0 TREATMENT OF ITEMS OF ADJUSTMENTS APPEARING OUTSIDE THE TRIAL BALANCE

Item of Adjustment	*Adjusting Entry*		*Treatment In Trading A/c*	*Treatment in Profit & Loss A/c*	*Treatment in Balance Sheet*
1. **Closing Stock**	Closing Stock To Trading A/c	Dr.	Shown on the Credit Side	X	Shown on the assets side **as a Current Asset**
2. **Outstanding Expenses**	Respective Expense A/c To Outstanding Expenses A/c	Dr.	**Added** to the respective direct expense on the debit side	**Added** to the respective indirect expense on the debit side	Shown on the liabilities side **as a Current Liability**
3. **Prepaid Expenses (unexpired Expenses)**	Prepaid Expenses A/c To Respective Expense A/c	Dr.	**Deducted** from the respective direct expense on the debit side	**Deducted** from the respective indirect expense on the debit side	Shown on the assets side **as a Current Asset**
4. **Accrued Income (or Income earned but not received) or outstanding Income**	Accrued Income A/c To Respective Income A/c	Dr.	X	**Added** to the respective Income on the credit side	Shown on the Assets side **as a Current Asset**
5. **Unearned Income (or Income received in advance)**	Respective Income A/c To Unearned Income A/c	Dr	X	**Deducted** from the respective income on the credit side	Shown on the liabilities side **as a Current Liability**
6. **Depreciation**	Depreciation A/c To Respective Asset A/c	Dr.	X	Shown on the **debit side** as a separate item	Shown on the assets side by way of deduction from the value of respective **fixed asset.**
7. **Additional Bad Debts**	Bad Debts A/c To Sundry Debtors A/c	Dr.	X	Shown on the **debit side** by way of addition to Bad Debts (Inside the Trial Balance) (if no Provision for Doubtful Debts is maintained) or shown on the debit side of Provision for Doubtful Debts (if Provision Account is maintained)	Shown on the assets side by way of deduction from the amount of **Sundry Debtors**.

Note: *If any item of adjustment appears outside the Trial Balance, it will be shown at two appropriate places in the Final Accounts.*

8. **Provision for Doubtful debts**	P & L A/c Dr. To Provision for Doubtful Debts A/c	X	Shown on the **debit side** as a separate item	Shown on the asset side by way of Deduction from the amount of **Sundry Debtors** (Net of additional bad debts)
9. **Provision for Discount on Debtors**	P & L A/c Dr. To Provision for Discount on Debtors A/c	X	Shown on the **debit side** as a separate item	Shown on the asset side by way of deduction from the amount of **Sundry Debtors** (Net of additional bad debts& Provisions for doubtful debts)
10. **Abnormal Loss of Stock**	Loss of Stock A/c Dr. To Purchases A/c	Total value of abnormal loss of stock (Whether or not recovered) is shown by way of deduction from Purchases.	Total value of irrecovered loss of stock is shown on the **debit side** as a separate item.	The amount due from the insurance company is shown on the assets side as a **Current Asset**.
11. **Goods withdrawn for personal use**	Drawings A/c Dr. To Purchases A/c	Shown by way of deduction from Purchases.	X	Shown on the liabilities side by way of deduction from the **Capital**
12. **Goods distributed as free samples**	Sales Promotion Expenses A/c Dr. To Purchases A/c	Shown by way of deduction from Purchases.	Shown on the **debit side** as Sales Promotion Expenses.	X
13. **Manager's Commission on Profit**	Manager's Commission Dr. To Outstanding Commission A/c	X	Shown on the **debit side** as a separate item.	Shown on the Liabilities side as a **Current Liability**

SOLUTION

JOURNAL

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
(a)	Closing Stock A/c	Dr.		10,000	
	To Trading A/c				10,000
	(Being the closing stock brought into Account)				
(b)	Salaries A/c	Dr.		1,000	
	To Outstanding Salary A/c				1,000
	(Being the outstanding expenses brought into accounts)				
(c)	Prepaid Insurance A/c	Dr.		2,000	
	To Insurance Premium A/c				2,000
	(Being the prepaid expenses brought into accounts)				
(d)	Rent A/c	Dr.		3,000	
	To Rent-received-in-advance A/c				3,000
	(Being the income received in advance brought into accounts)				
(e)	Accured Interest A/c	Dr.		600	
	To Interest A/c				600
	(Being the interest due but not received brought into accounts)				
(f)	*(i)* Depreciation A/c	Dr.		20,000	
	To Fixed Assets A/c				20,000
	(Being the depreciation charged)				
	(ii) Profit & Loss A/c	Dr.		20,000	
	To Depreciation A/c				20,000
	(Being the depreciation account closed by transferring to P & L A/c)				
(g)	*(i)* Bad Debts A/c	Dr.		5,000	
	To Debtors A/c				5,000
	(Being the bad debts provided for)				
	(ii) Profit & Loss A/c	Dr.		5,000	
	To Bad Debts A/c				5,000
	(Being the bad debts account closed by transferring to P & L A/c)				
(h)	Profit & Loss A/c	Dr.		20,000	
	To Provision for Doubtful Debts A/c				20,000
	[Being the provision against debtors provided @ 10% on 2,00,000 (i.e., 2,05,000–5,000)]				
(i)	Profit & Loss A/c	Dr.		3,600	
	To Provision for Discount on Debtors A/c				3,600
	(Being the provision for discount on debtors provided for @ 2% on (2,05,000–5,000–20,000)				

ILLUSTRATION 30

A book keeper has submitted to you the following trial balance wherein the totals of the debit and credit balances are not equal:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Creditors	1,00,000	—
Bills Payable	—	5,600
Loan from Bank	50,000	—
Capital Account	4,54,000	—
Sales	—	6,30,000
Purchase Returns	5,000	—
Discount Earned	1,000	—
Bad Debt Recovered	3,500	—
Interest on Investments	3,000	—
Fixed Assets	3,00,000	—
Opening Stock	75,000	—
Debtors	—	2,05,000
Bills Receivables	10,000	—
Investments	50,000	—
Cash in Hand	5,000	—
Cash at Bank	10,000	—
Drawings	—	9,000
Purchases	5,25,000	—
Sales Returns	—	10,000
Carriage	1,400	—
Freight Outward	—	2,000
Duty Paid on Purchases	—	1,600
Primary Packing Expenses	2,000	—
Rent Paid	—	3,000
Insurance Paid	3,600	—
Office & Administrative Expenses	13,200	
Discount Allowed	—	2,000
Bad Debts	5,000	—
Interest on Loan from Bank	—	2,500
Delivery Expenses	6,600	—
Selling & Distribution Expenses	10,000	—
Income Tax paid	1,000	—
Value Added Tax (VAT) Collected	2,000	
Loose Tools	2,000	—
Apprentice Premium received	—	425
Commission received	—	375
	16,38,300	8,71,500

You are required:

(i) Redraft the trial balance correctly as at 31st March, 2013.

(ii) Prepare a Trading and Profit & Loss Account and a Balance Sheet after taking into account the following adjustments:
 (a) Closing Stock was ₹ 40,000.
 (b) Rent outstanding for March 2013 ₹ 600.
 (c) Insurance unexpired on 31st March, 2013 ₹ 900.
 (d) Accrued Interest on Investments amounted to ₹ 1,500.
 (e) One-third of the commission received is in respect of work to be done next year.
 (f) ₹ 1,250 is due for interest on Bank Loan.
 (g) Loose Tools are valued at ₹ 800.
 (h) Provide for depreciation on fixed assets @ 10% p.a.

SOLUTION

TRIAL BALANCE AS AT 31ST MARCH, 2013

S. No.	*Particulars*	*Dr.* (₹)	*Cr.* (₹)
1.	Creditors	—	1,00,000
2.	Bill payable	—	5,600
3.	Loan from bank	—	50,000
4.	Capital Account	—	4,54,000
5.	Sales	—	6,30,000
6.	Purchase return		5,000
7.	Discount earned		1,000
8.	Bad debt Recovered		3,500
9.	Interest on Investments		3,000
10.	Fixed Assets	3,00,000	—
11.	Opening stock	75,000	—
12.	Debtors	2,05,000	—
13.	Bill receivables	10,000	—
14.	Investments	50,000	—
15.	Cash in hand	5,000	—
16.	Cash at bank	10,000	—
17.	Drawings	9,000	—
18.	Purchases	5,25,000	—
19.	Sales returns	10,000	—
20.	Carriage	1,400	—
21.	Freight outward	2,000	—
22.	Duty paid on purchases	1,600	—
23.	Primary Packing expenses	2,000	—
24.	Rent paid	3,000	—
25.	Insurance paid	3,600	—
26.	Office & Administrative Expenses	13,200	—
27.	Discount Allowed	2,000	—
28.	Bad debts	5,000	—
29.	Interest on loan from bank	2,500	—
30.	Delivery Expenses	6,600	—
31.	Selling & Distribution Expenses	10,000	—
32.	Income Tax Paid	1,000	—
33.	Value Added Tax (VAT) collected	—	2,000
34.	Loose Tools	2,000	—
35.	Apprentice Premium received	—	425
36.	Commission received	—	375
	.....	12,54,900	12,54,900

Dr. **TRADING, PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDING 31ST MARCH, 2013** *Cr.*

Particulars		₹	*Particulars*		₹
To Opening stock		75,000	By Sales	6,30,000	
To Purchases	5,25,000		*Less:* Returns	10,000	6,20,000
Less: Returns	5,000	5,20,000	By Closing stock		40,000
To Duty on purchases		1,600			
To Carriage		1,400			
To Packaging expenses		2,000			
To Gross Profit		60,000			
		6,60,000			6,60,000
To Freight outward		2,000	By Gross Profit		60,000
To Rent	3,000		By Commission	375	
Add: Rent Outstanding	600	3,600	*Less:* Unaccrued commission	125	250
To Interest on loan	2,500		By Interest on investment	3,000	
Add: Interest unpaid	1,250	3,750	*Add:* Accrued Interest	1,500	4,500
To Discount		2,000	By Discount		1,000
To Insurance	3,600		By Apprentice premium received		425
Less: Prepaid Insurance	900	2,700	By Bad Debt Recovered		3,500
To Delivery expenses		6,600	By Net Loss t/f to Capital A/c		10,375
To Selling and distribution expenses		10,000			
To Office & Administrative expenses		13,200			
To Bad debts		5,000			
To Depreciation on fixed assets		30,000			
To Loss on Revaluation of Loose tools			1,200		
		80,050			80,050

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities		₹	*Assets*		₹
Capital:			**Fixed Assets:**		
Opening Balance	4,54,000		Fixed Assets	3,00,000	
Less: Net Loss	10,375		*Less:* Depreciation	30,000	2,70,000
Less: Drawings	9,000		**Investments:**		
Less: Income tax	1,000	4,33,625	Investments		50,000
Loans:			**Current Assets:**		
Bank Loan	50,000		Debtors		2,05,000
Add: Interest on loan	1,250	51,250	B/R		10,000
Current Liabilities:			Cash in hand		5,000
Creditors		1,00,000	Cash at bank		10,000
Bills Payable		5,600	Closing Stock		40,000
Value Added Tax (VAT) Collected		2,000	Prepaid insurance		900
Unaccrued commission		125	Loose Tools [₹ 2,000 – ₹ 1,200]		800
Outstanding rent		600	Interest Accrued on Investments		1,500
		5,93,200			5,93,200

Note: Carriage has been assumed as carriage inward.

ILLUSTRATION 31

The following is the Trial Balance of Mr Clever as at 31st March, 2013:

Debit Balances	₹	*Credit Balances*	₹
Plant & Machinery		Creditors	1,00,000
(Purchased on 1.7.2012)	2,00,000	Bills Payables	5,600
Furniture & Fixtures		10% Loan From Bank	
(Purchased on 1.7.2012)	1,00,000	(taken on 1.7.2012)	50,000
Opening Stock	75,000	Capital Account	4,55,000
Debtors	2,05,000	Sales	6,30,000
Bills Receivables	10,000	Purchases Returns	5,000
12% Investments (purchased		Discount Earned	1,000
on 1.7.2012)	50,000	Bad Debts Recovered	2,500
Cash in Hand	5,000	Interest	3,000
Cash at Bank	11,250	Commission	3,750
Drawings	10,650		
Purchases	5,25,000		
Sales Returns	10,000		
Carriage Inwards	5,000		
Carriage Outwards	350		
Rent	3,000		
Insurance	3,600		
Office & Administration Expenses	13,200		
Discount Allowed	2,000		
Bad Debts	5,000		
Interest	2,500		
Selling & Distribution Expenses	18,300		
Income Tax paid	1,000		
	12,55,850		12,55,850

Additional Information:

(a) The Cost of Closing Stock was ₹ 50,000 but the Market Value was ₹ 40,000.

(b) Rent is payable at the rate of ₹ 300 per month. Insurance Premium was paid for the year ending on 30th June, 2013. ₹ 1,250 is due for interest on Bank loan.

(c) Accrued Interest on Investments amounted to ₹ 1,500. One-third of the commission received is in respect of work to be done next year.

(d) Write off further ₹ 5,000 as bad. Create a Provision for Doubtful debts @ 10%. Create Provision for discount on Debtors @ 2%.

(e) Provide for depreciation on Plant & Machinery @ 10% p.a. Write 10% off the Furniture & Fixtures.

Required: Prepare Trading and Profit and loss Account for the year ending on 31st March, 2013 and a Balance Sheet as at 31st March, 2013.

SOLUTION

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ended on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		75,000	By Sales	6,30,000	
To Purchases	5,25,000		*Less:* Returns	10,000	6,20,000
Less: Returns	5,000	5,20,000	By Closing Stock		40,000
To Carriage Inwards		5,000	[*Cost or NRV*		
To Gross Profit c/d		60,000	*whichever is lower*]		
		6,60,000			6,60,000
To Carriage Outward		350	By Gross Profit b/d		60,000
To Rent Paid	3,000		By Discount		1,000
Add: Outstanding	600	3,600	By Bad Debts Recovered		2,500
To Insurance Paid	3,600		By Interest		
Less: Prepaid	900	2,700	Received	3,000	
To Office & Adm. Expenses		13,200	*Add:* Accrued but not due	1,500	4,500
To Discount		2,000	By Commission Received	3,750	
To Bad Debts	5,000		*Less:* Advance	1,250	2,500
Add: Further	5,000	10,000	By Net Loss t/f to Capital A/c		32,000
To Interest					
Paid	2,500				
Add: Outstanding	1,250	3,750			
To Selling & Distribution Expenses		18,300			
To Provision for doubtful debts		20,000			
To Provision for Discount on Debtors		3,600			
To Depreciation on Plant & Machinery		15,000			
(₹ 2,00,000 × 10/100 × 9/12)					
To Depreciation on Furniture & Fixtures		10,000			
(₹ 1,00,000 × 10/100 × 12/12)					
		1,02,500			1,02,500

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities		₹	*Assets*		₹
Capital Account:			***Fixed Assets:***		
Opening Balance	4,55,000		Plant & Machinery	2,00,000	
Less: Net Loss	32,000		*Less:* Depreciation	15,000	1,85,000
Less: Drawings	10,650		Furniture & Fixtures	1,00,000	
Less: Income Tax	1,000	4,11,350	*Less:* Depreciation	10,000	90,000
Loans:			**12% Investments**		50,000
Loan from Bank	50,000		***Current Assets:***		
Add: Outstanding Interest	1,250	51,250	Closing Stock		40,000
Current Liabilities:			Debtors	2,05,000	
Creditors		1,00,000	*Less:* Add. Bad Debts	5,000	
Bills Payable		5,600		2,00,000	
Outstanding Rent		600	*Less:* Provision for		
Commission received in advance		1,250	doubtful debts @ 10%	20,000	
				1,80,000	
			Less: Provision for discount	3,600	1,76,400
			Interest accrued but not due		1,500
			Cash in hand		5,000
			Cash at Bank		11,250
			Bills Receivable		10,000
			Prepaid Insurance		900
		5,70,050			5,70,050

21.0 TREATMENT OF ITEMS OF ADJUSTMENTS APPEARING IN THE TRIAL BALANCE

If any item of adjustment appears inside the Trial Balance, it will be shown only **at one appropriate place** in the final accounts. The treatment of such item has been shown below:

TREATMENT OF ITEMS OF ADJUSTMENT APPEARING INSIDE THE TRIAL

Item given in Trial Balance	Treatment in Profit & Loss A/c or Other Account	Treatment in Balance Sheet
1. **Closing Stock**	—	Shown as a Current Asset.
2. **Outstanding Expense/ Accrued Expense**	—	Shown on the Liabilities side as a Current Liability.
3. **Prepaid Expense**	—	Shown as a Current Asset.
4. **Accrued Income**	—	Shown as a Current Asset.
5. **Unearned Income**	—	Shown as a Current Liability.
6. **Depreciation**	Shown on the debit side of P & L A/c as a separate item.	—
7. **Bad Debts if no Provision for Doubtful Debts A/c appears**	Shown on the debit side of P & L A/c as a separate item.	—
8. **Bad Debts if Provision for Doubtful Debts A/c appears**	Shown on the debit side of Provision for Doubtful Debts A /c.	—
9. **Discount allowed if no Provision for Discount on Debtors A/c appears**	Shown on the debit side of P & L A/c as a separate item.	—
10. **Discount allowed if Provision for Discount on Debtors A/c appears**	Shown on the debit side of Provision for Discount of Debtors A/c.	—
11. **Discount Received if no Reserve for Discount on Creditors A/c appears**	Shown on the credit side of P & L A/c as a separate item.	—
12. **Discount received if Reserve for Discount on Creditors A/c appears**	Shown on the credit side of Reserve for Discount on Creditors A/c.	—

ILLUSTRATION 32

The following is the Trial Balance of Mr Wise Mind as on March 31, 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Fixed Assets	5,40,000	–
Depreciation on Fixed Assets	60,000	–
Cost of Goods Sold	11,16,000	–
Closing Stock	84,000	–
Trade Debtors/Trade Creditors	4,00,000	1,94,000
Bills Payables	–	11,200
Bills Receivables	20,000	–
12% Investments (Purchased on 1.7.2012)	1,00,000	–
Interest on Investments	–	9,000
Accrued Interest on Investments	3,000	–
Interest	5,000	–
Loan from Bank	–	8,000
Cash in Hand	10,000	–
Cash at Bank	20,000	–
Drawings	20,000	–
Interest on Drawings	–	2,000
Interest on Capital	80,000	
Capital	–	8,78,000
Sales	–	14,60,000
Return Inward	20,000	–
Carriage Outward	4,000	–
Discount	4,000	2,000
Bad Debts	13,000	–
Rent	7,200	–
Outstanding Rent	–	1,200
Insurance	5,400	
Prepaid Insurance	1,800	
Other Office and Administrative Expenses	26,400	
Selling and Distribution Expenses	89,800	
Provision for Doubtful Debts	–	53,000
Provision for Discount on Debtors	–	11,200
	26,29,600	**26,29,600**

Required: Prepare the Trading and Profit & Loss Account for the year ending March 31, 2013 and the Balance Sheet as on March 31, 2013.

SOLUTION

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ended 31st March, 2013* Cr.

Particulars	₹	*Particulars*		₹
To Cost of Goods Sold	11,16,000	By Sales	14,60,000	
To Gross Profit c/d	3,24,000	*Less:* Returns	20,000	14,40,000
	14,40,000			**14,40,000**
To Carriage Outward	4,000	By Gross Profit b/d		3,24,000
To Insurance	5,400	By Discount		2,000
To Rent	7,200	By Interest on Drawings		2,000
To Office and Administrative Exp.	26,400	By Interest		9,000
To Selling and Distribution Exp.	89,800			
To Interest	5,000			
To Depreciation	60,000			
To Interest on Capital	80,000			
To Net Profit t/f to Capital A/c	59,200			
	3,37,000			**3,37,000**

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities		₹	*Assets*		₹
Capital:			**Fixed Assets:**		5,40,000
Opening Balance	8,78,000		Investments:		1,00,000
Less: Net Profit	59,200		**Current Assets:**		
Less: Drawings	20,000	9,17,200	Debtors	4,00,000	
Loans:			*Less:* Provision for		
Loan from Bank		8,000	Doubtful Debts	40,000	
Current Liabilities:				3,60,000	
Creditors		1,94,000	*Less*: Provision for Dis.	7,200	3,52,800
Bills Payables		11,200	Bills Receivables		20,000
Outstanding Rent		1,200	Closing Stock		84,000
			Prepaid Insurance		1,800
			Interest accrued		3,000
			Cash in hand		10,000
			Cash at Bank		20,000
		11,31,600			**11,31,600**

COMPREHENSIVE PROBLEMS FOR REVISION

PROBLEM 1

The following is the Trial Balance of Mr Smart Mind as at 31st March, 2013:

Debit Balances	₹	*Credit Balances*	₹
Plant & Machinery		Creditors	1,00,000
(Purchased on 1.7.2012)	1,90,000	Bills Payables	5,600
Furniture & Fixtures		10% Loan From Bank	
(Purchased on 1.7.2012)	1,00,000	(taken on 1.7.2012)	50,000
Opening Stock	75,000	Capital Account	5,19,000
Debtors	2,07,000	Sales	6,30,000
Bills Receivables	10,000	Purchases Returns	5,000
12% Investments		Discount Earned	1,000
(purchased on 1.7.2012)	50,000	Bad Debts Recovered	2,500
Cash in Hand	5,000	Interest	3,000
Cash at Bank	10,000	Commission	3,750
Drawings	10,650		
Purchases	5,25,000		
Sales Returns	10,000		
Wages	18,500		
Carriage Inwards	500		
Carriage Outwards	350		
Rent	3,000		
Insurance	3,600		
Salaries	11,200		
Discount Allowed	2,000		
Bad Debts	5,000		
Interest	2,500		
Selling & Distribution Expenses	15,800		
Income Tax paid	1,000		
Loose Tools	3,750		
Buildings	60,000		
	13,19,850		**13,19,850**

Additional Information:

(a) Closing Stock as on 31st March 2013 was ₹ 93,600. Loose Tools are valued at ₹ 1,250.

(b) Rent is payable at the rate of ₹ 300 per month. Insurance Premium was paid for the year ending on 30th June, 2013. ₹ 1,250 is due for interest on Bank Loan.

(c) Accrued Interest on investments amounted to ₹ 1,500. One-third of the commission received is in respect of work to be done next year.

(d) Provide for depreciation on Plant & Machinery @ 10% p.a. Write 10% off the Furniture & Fixtures. Depreciate Buildings by 5%.

(e) Write off further ₹ 5,000 as bad. Create Provision for discount on Debtors @ 2%.Create a Provision for Doubtful debts @ 10%.

(f) A fire occurred on 25th March 2013 in the godown and stock of ₹ 1,000 was destroyed, it was fully insured but the insurance company admitted the claim to the extent of 60% only.

(g) Goods costing ₹ 2,000 were taken by the proprietor for his personal use but no entry has been made in the books of accounts.

(h) Goods costing ₹ 3,000 were distributed as free samples but no entry has been made in the books of accounts.

(i) Manager is entitled to a commission of 5% on Net Profit after charging his commission.

(j) Wages include a sum of ₹ 4,000 spent on the erection of a cycle shed for employees and customers.Wages ₹ 10,000 paid for erection of machinery have been debited to Wages Account.

(k) Remuneration of ₹ 2,000 paid to Sh. B. Barua, a temporary employee, stands debited to his personal account.

Required: Prepare Trading and Profit and loss Account for the year ending on 31st March, 2013 and a Balance Sheet as at 31st March, 2013.

SOLUTION

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ended 31st March, 2013* Cr.

Particulars		₹	*Particulars*		₹
To Opening Stock		75,000	By Sales	6,30,000	
To Purchases	5,25,000		*Less:* Returns	10,000	6,20,000
Less: Returns	5,000		By Closing Stock		93,600
Less: Goods destroyed by fire	1,000				
Less: Goods taken for personal use	2,000				
Less: Goods distributed as free samples	3,000	5,14,000			
To Wages	18,500				
Less: Cost of Erection of a Cycle shed (Building)	4,000				
Less: for erection of new machinery	10,000	4,500			
To Carriage Inwards		500			
To Gross Profit c/d		1,19,600			
		7,13,600			**7,13,600**
To Carriage Outward		350	By Gross Profit b/d		1,19,600
To Rent Paid	3,000		By Discount		1,000
Add: Outstanding	600	3,600	By Bad Debts Recovered		2,500
To Insurance Paid	3,600		By Interest		
Less: Prepaid	900	2,700	Received	3,000	
To Salaries	11,200		*Add:* Accrued but not due	1,500	4,500
Add: Salary to Mr B. Barua	2,000	13,200	By Commission		
			Received	3,750	
To Discount		2,000	*Less:* Unaccrued	1,250	2,500

To Bad Debts	5,000			
Add: Further	5,000	10,000		
To Interest				
Paid	2,500			
Add: Outstanding	1,250	3,750		
To Selling & Distribution Expenses		15,800		
To Provision for doubtful debts		20,000		
To Provision for Discount on Debtors		3,600		
To Depreciation on Plant & Machinery		15,000		
[₹ 2,00,000 x 10/100 x 9/12]				
To Depreciation on Furniture		10,000		
[₹ 1,00,000 x 10/100 x 12/12]				
To Depreciation on Buildings		3,200		
[₹ 64,000 x 5/100 x 12/12]				
To Loss on Revaluation of Loose tools		2,500		
To Loss of Stock by fire		400		
To Sales Promotion Expenses		3,000		
To Manager's Commission [21,000 x 5/105]		1,000		
To Net Profit t/f to Capital A/c		20,000		
		1,30,100		**1,30,100**

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities		₹	*Assets*		₹
Capital Account:			**Fixed Assets:**		
Opening Balance	5,19,000		Plant & Machinery	2,00,000	
Add: Net Profit	20,000		*Less:* Depreciation	15,000	1,85,000
Less: Drawings	10,650		Furniture & Fixtures	1,00,000	
Less: Goods taken for personal use	2,000		*Less:* Depreciation	10,000	90,000
			Building	60,000	
			Add: Cost of Cycle shed	4,000	
Less: Income Tax	1,000	5,25,350	*Less:* Depreciation	3,200	60,800
Loans:			**12% Investments**		50,000
Loan from Bank	50,000		**Current Assets:**		
Add: Outstanding Interest	1,250	51,250	Closing Stock		93,600
Current Liabilities:			Debtors	2,07,000	
Creditors		1,00,000	*Less:* Add Bad Debts	5,000	
Bills Payable		5,600	*Less:* Salary to Mr B. Barua	2,000	
Outstanding Rent		600		2,00,000	
Unaccrued Commission		1,250	*Less:* Provision for		
Manager's Commission Outstanding		1,000	doubtful debts@10%	20,000	
				1,80,000	
			Less: Provision for discount	3,600	1,76,400
			Interest accrued		1,500
			Cash in hand		5,000
			Cash at Bank		10,000
			Bills Receivable		10,000
			Prepaid Insurance		900
			Loose Tools [₹ 3,750 – ₹ 2,500]		1,250
			Insurance Company (claim)		600
		6,85,050			**6,85,050**

Note: Depreciation on furniture has been charged for the full year because a flat rate of 10% (and not 10% p.a.) has been given, whereas depreciation on machinery has been charged for 9 months from 1st July to 31st March.

PROBLEM 2

The following is the Trial Balance of Mr Master Mind as at 31st March, 2013:

Trial Balance

Particulars	*Dr. (₹)*	*Cr. (₹)*
Opening Stock	75,000	—
Sales/Purchases	5,25,000	6,30,000
Returns	10,000	5,000
Wages	23,500	—
Carriage Inwards	500	—
Carriage Outwards	350	—
Rent	3,000	—
Insurance	3,600	—
Salaries	11,200	—
Selling & Distribution Expenses	27,600	—
Commission	—	3,750
Interest	2,500	3,000
Bad Debts/ Bad Debts Recovered	5,000	2,500
Discount	2,000	1,000
Provision for Doubtful Debts	—	10,000
Provision for Discount on Debtors	—	1,800
Buildings	60,000	—
Plant & Machinery	2,10,000	—
Furniture & Fixtures	30,000	—
12% Investments (purchased on 1.7.2012)	50,000	—
Debtors/Creditors	2,12,000	1,00,000
Bills Receivable/ Bills Payable	10,000	5,600
Cash in Hand	5,000	—
Cash at Bank	50,000	—
Loose Tools	3,750	—
Capital/Drawings	10,650	5,19,000
Income Tax paid	1,000	—
10% Loan From Bank(taken on 1.7.2012)		50,000
	13,31,650	**13,31,650**

Additional Information:

(a) Closing Stock as on 31st March 2013 was ₹ 93,600. Loose Tools are valued at ₹ 1,250.

(b) Rent is payable at the rate of ₹ 300 per month. Insurance Premium was paid for the year ending on 30th June, 2013.

(c) One-third of the commission received is in respect of work to be done next year.

(d) Provide for depreciation on Plant & Machinery @ 10% p.a. Write 10% off the Furniture & Fixtures. Depreciate Buildings by 5%.

(e) Debtors include Shyam for dishonoured bill of ₹ 10,000. Half the amount of Shyam's bills is irrecoverable. Create Provision for discount on Debtors @ 2%.Create a Provision for Doubtful debts @ 10%.

(f) A fire occurred on 25th March 2013 in the godown and Stock of ₹ 1,000 was destroyed, it was fully insured but the insurance company admitted the claim to the extent of 60% only.

(g) Goods costing ₹ 2,000 were taken by the proprietor for his personal use but no entry has been made in the books of accounts.

(h) Goods costing ₹ 3,000 were distributed as free samples but no entry has been made in the books of accounts.

(i) Manager is entitled to a commission of 5% on Net Profit after charging his commission.

(j) Wages include a sum of ₹ 4,000 spent on the erection of a cycle shed for employees and customers.

(k) Remuneration of ₹ 2,000 paid to Sh. B. Barua, a temporary employee, stands debited to his personal account.

(l) A machine costing ₹ 1,90,000 was purchased on 1st July 2012. Wages ₹ 10,000 paid for its erection have been debited to Wages Account.

(m) A furniture costing ₹ 45,000 was purchased on 1st July 2012 but it was not recorded in the books as no payment was made of it. Wages ₹ 5,000 paid for its erection have been debited to Wages Account.

Required: Prepare Trading and Profit and loss Account for the year ending on 31st March, 2013 and a Balance Sheet as at 31st March, 2013.

SOLUTION

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ended 31st March, 2013* Cr.

Particulars		₹	*Particulars*		₹
To Opening Stock		75,000	By Sales	6,30,000	
To Purchases	5,25,000		*Less:* Returns	10,000	6,20,000
Less: Returns	5,000		By Closing Stock		93,600
Less: Goods destroyed by fire	1,000				
Less: Goods taken for personal use	2,000				
Less: Goods distributed as free samples	3,000	5,14,000			
To Wages	18,500				
Less: Cost of Erection of a Cycle shed (Building)	4,000				
Less: for erection of new machinery	10,000	4,500			
To Carriage Inwards		500			
To Gross Profit c/d		1,19,600			
		7,13,600			**7,13,600**
To Carriage Outward		350	By Gross Profit b/d		1,19,600
To Rent Paid	3,000		By Discount		1,000
Add: Outstanding	600	3,600	By Bad Debts Recovered		2,500

To Insurance Paid	3,600		By Interest		
Less: Prepaid	900	2,700	Received	3,000	
To Salaries	11,200		*Add:* Accrued but not due	1,500	4,500
Add: Salary to Mr B. Barua	2,000	13,200	By Commission		
			Received	3,750	
To Bad Debts	5,000		*Less*: Unaccrued	1,250	2,500
Add: Further	5,000				
Add: New Provision	20,000				
Less: Old Provision	10,000	20,000			
To Discount	2,000				
Add: New Provision	3,600				
Less: Old Provision	1,800	3,800			
To Interest					
Paid	2,500				
Add: Outstanding	1,250	3,750			
To Selling & Distribution Expenses		27,600			
To Depreciation on					
New Plant & Machinery		15,000			
[₹ 2,00,000 x 10/100 x 9/12]					
To Depreciation on Old Plant					
& Machinery		2,000			
[₹ 20,000 x 10/100 x 12/12]					
To Depreciation on Furniture	8,000				
[₹ 80,000 x 10/100 x 12/12]					
To Depreciation on Buildings		3,200			
[₹ 64,000 x 5/100 x 12/12]					
To Loss on Revaluation of Loose tools		2,500			
To Loss of Stock by fire		400			
To Sales Promotion Expenses		3,000			
To Manager's Commission					
[21,000 x 5/105]		1,000			
To Net Profit t/f to Capital A/c		20,000			
		1,30,100			**1,30,100**

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities		₹	*Assets*		₹
Capital Account:			**Fixed Assets:**		
Opening Balance	5,19,000		Plant & Machinery	20,000	
Add: Net Profit	20,000		*Add*: New Machinery	1,90,000	
Less: Drawings	10,650		*Add*: Erection of machinery	10,000	
Less: Goods taken for			*Less*: Depreciation	17,000	2,03,000
personal use	2,000		Furniture & Fixtures	30,000	
Less: Income Tax	1,000	5,25,350	*Add*: New Furniture	45,000	
Loans:			*Add*: Erection of Furniture	5,000	
Loan from Bank	50,000		*Less*: Depreciation	8,000	72,000
Add: Outstanding Interest	1,250	51,250	Building	60,000	
Current Liabilities:			*Add:* Cost of Cycle shed	4,000	
Creditors		1,00,000	*Less:* Depreciation	3,200	60,800
Bills Payable		5,600	**12% Investments**		50,000
Outstanding Rent		600	**Current Assets:**		

Unaccrued Commission	1,250	Closing Stock			93,600
Manager's Commission Outstanding	1,000	Debtors	2,12,000		
Supplier of Furniture	45,000	*Less*: Add Bad Debts		5,000	
		Less: Salary to Mr B. Barua		2,000	
				2,05,000	
		Less: Provision for			
		doubtful debts @ 10%		20,000	
		on (2,05,000 – 5000)		1,80,000	
		Less: Provision for discount		3,600	1,81,400
		Interest accrued but not due			1,500
		Cash in hand			5,000
		Cash at Bank			50,000
		Bills Receivable			10,000
		Prepaid Insurance			900
		Loose Tools [₹ 3,750 – ₹ 2,500]			1,250
		Insurance Company (claim)			600
	7,30,050				**7,30,050**

Note: *Depreciation on furniture has been charged for the full year because a flat rate of 10% (and not 10% p.a.) has been given, whereas depreciation on machinery has been charged for 9 months from 1st July to 31st Mar. No provision for discount on Debtors is required on Shyam's balance.*

PROBLEM 3

From the following Trial Balance and additional information of Mr Bharat Tulsian, a proprietor, prepare Trading, Profit & Loss Account for the year ending on 31st March, 2013 and the Balance Sheet as at that date.

S. No.	*Particulars*	*Dr. (₹)*	*Cr. (₹)*
1.	Closing Stock	40,000	—
2.	Sales/Cost of Goods Sold	5,60,000	6,20,000
3.	Rent	11,000	6,500
4.	Office & Administration Expenses	13,200	—
5.	General Expenses	6,000	—
6.	Selling & Distribution Expenses	36,075	—
7.	Income Tax Paid	1,000	—
8.	Interest	3,750	4,500
9.	Discount	2,000	1,000
10.	Bad Debts	3,000	—
11.	Investments	50,000	—
12.	Loan from Bank	—	50,000
13.	Bills receivables/Bills payables	10,000	5,600
14.	Debtors/Creditors	2,10,000	90,800
15.	Provision for Doubtful Debts	—	10,000
16.	Provision for Discount on Debtors	—	2,400
17.	Capital/Drawings	12,775	3,08,000
18.	Plant & Machinery	50,000	—
19.	Land & Building	60,000	—
20.	Furniture & Fixtures	30,000	—
21.	Outstanding Office Expenses	—	1,200
22.	Prepaid General Expenses	1,200	—
		11,00,000	**11,00,000**

Additional information:

(a) Rent has been paid for 11 months and has been received for 13 months.

(b) Write off further ₹ 6,000 as bad.

(c) Additional discount of ₹ 4,000 given to debtors after closing the accounts.

(d) Additional discount of ₹ 2,000 received from creditors after closing the accounts.

(e) Maintain a provision for discount @ 2% on debtors.

(f) Maintain a provision for doubtful debts @ 10%.

(g) A machine costing ₹ 20,000 was purchased on 1st July 2012. Wages ₹ 1,000 for its erection have been debited to General Expenses Account. Provide depreciation on Plant and Machinery @ 10% p.a..

(h) A furniture costing ₹ 20,000 was purchased on 1st July 2012 but it was not recorded in the books as no payment was made of it. Wages ₹ 1,000 paid for its erection have been debited to general expenses account. Depreciate furniture 10%.

(i) General Expenses include a sum of ₹ 4,000 spent on the erection of a cycle shed for employees and customers on 1st July, 2012. Provide 5% depreciation on building.

(j) A fire broke out on 1st April, 2013 destroying Goods costing ₹ 20,000.

SOLUTION

TRADING, PROFIT & LOSS ACCOUNT

Dr. *for the year ending 31st March, 2013* Cr.

Particulars		₹	*Particulars*		₹
To Cost of Goods Sold		5,60,000	By Sales		6,20,000
To Gross Profit c/d		60,000			
		6,20,000			6,20,000
To Rent	11,000		By Gross Profit b/d		60,000
Add: Outstanding Rent	1,000	12,000	By Rent	6,500	
To Office and Administrative Expen.		13,200	*Less:* Unaccrued Rent	500	6,000
To Selling and Distribution Expen.		36,075	By Interest		4,500
To Interest		3,750	By Discount Received	1,000	
To General Expenses	6,000		*Add:* Further Discount	2,000	3,000
Less: Erection of furniture	1,000		By Net Loss t/f to Capital A/c		30,600
Less: Erection of Machinery	1,000				
Less: Erection of Cycle shed	4,000	—			
To Bad Debts	3,000				
Add: Further Bad Debts	6,000				
Add: New Provision	20,000				
Less: Old Provision	10,000	19,000			
To Discount Allowed	2,000				
Add: Further Discount	4,000				
Add: New Prov. for discount	3,600				
Less: Old Provision	2,400	7,200			
To Depreciation on:					
Plant & Machinery	4,575				
Furniture & Fixture	5,100				
Land and Building	3,200	12,875			
		1,04,100			1,04,100

BALANCE SHEET AS AT 31ST MARCH, 2013

Liabilities		₹	*Assets*		₹
Capital:			**Fixed Assets:**		
Opening Balance	3,08,000		Plant & Machinery	30,000	
Less: Net Loss	30,600		*Add:* New Machinery	20,000	
Less: Drawings	12,775		*Add:* Erection of machinery	1,000	
Less: Income Tax	1,000	2,63,625	*Less:* Depreciation	4,575	46,425
Loans:			Furniture & Fixtures	30,000	
Loan from Bank		50,000	*Add:* New Furniture	20,000	
Current Liabilities:			*Add:* Erection of Furniture	1,000	
Creditors	90,800		*Less:* Depreciation	5,100	45,900
Less: Further Discount	2,000	88,800	Land & Building	60,000	
Bills Payables		5,600	*Add:* Erection of Cycle shed	4,000	
Outstanding Rent		1,000	*Less:* Depreciation	3,200	60,800
Unaccrued Rent		500	**Investments:**		
Supplier of Machinery A/c		20,000	**Current Assets:**		50,000
Outstanding Office Expenses		1,200	Debtors	2,10,000	
			Less: Further Bad Debts	6,000	
			Less: Further Discount	4,000	
				2,00,000	
			Less: Provision for Doubtful Debts	20,000	
				1,80,000	
			Less: Provision for Discount	3,600	1,76,400
			Bills Receivables		10,000
			Closing Stock		40,000
			Prepaid General Expenses		1,200
		4,30,725			4,30,725

Note: An event occurring after the date of Balance Sheet (i.e., fire as on 1.4.2013) does not affect the Balance Sheet.

SOLVED PROBLEMS

PROBLEM 1

The following trial balance is extracted from the books of Mr Goyal, a merchant on 31st March 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Furniture and Fittings	1,280	
Motor Vehicles	12,500	
Buildings	15,000	
Capital Accounts	—	25,000
Bad Debts	250	
Provision for Doubtful debts	—	400
Sundry Debtors and Creditors	7,600	5,000
Opening Stock	6,920	
Purchases and Sales	10,950	30,900
Bank Overdraft	—	5,700
Sales and Purchases Returns	400	250
Advertising	900	—
Interest Account	236	—
Commission	—	750
Cash	1,300	—
Taxes and Insurance	2,500	—
General expenses	1,564	—
Salaries	6,600	
	68,000	68,000

The following adjustments are to be made:

(a) Closing Stock was ₹ 6,500.

(b) Depreciate Building @ 5%, Furniture and Fittings @ 10% and Motor Vehicles @ 20%.

(c) ₹ 170 is due for interest on Bank Overdraft.

(d) Salaries ₹ 600 and Taxes ₹ 240 are outstanding.

(e) Insurance amounting to ₹ 200 is prepaid.

(f) One-third of the commission received is in respect of work to be done next year.

(g) Write off further ₹ 200 as bad Debts and Provision for Doubtful Debts is to be made equal to 10% on Sundry Debtors

Required: Prepare Trading and Profit and Loss Account for the year ending 31st March, 2013 and a Balance Sheet as on that date.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		6,920	By Sales	30,900	
To Purchases	10,950		*Less:* Sales Returns	400	30,500
Less: Returns	250	10,700	By Closing Stock		6,500
To Gross Profit c/d (Transferred to Profit & Loss A/c)		19,380			
		37,000			37,000
To Bad Debts	250		By Gross Profit b/d		
Add: Further Bad Debts	200		(Transferred from Trading A/c)		19,380
Add: New Provision (10% of 7,400)	740		By Commission	750	
Less: Old Provision	400	790	*Less:* Received in advance	250	500
To Advertising		900			
To Interest on Bank Overdraft	236				
Add: Outstanding	170	406			
To General Expenses		1,564			
To Salaries	6,600				
Add: Outstanding	600	7,200			
To Taxes & Insurance Premium	2,500				
Add: Outstanding Taxes	240				
	2,740				
Less: Prepaid insurance Premium	200	2,540			
To Depreciation:					
Buildings @ 5%	750				
Furniture @ 10%	128				
Motor Vehicles @ 20%	2,500	3,378			
To Net Profit t/f to capital A/c		3,102			
		19,880			19,880

BALANCE SHEET

as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Capital:			**Fixed Assets:**		
Opening Balance	25,000		Furniture & Fittings	1,280	
Add: Net Profit	3,102	28,102	*Less:* Depreciation	128	1,152
Current Liabilities:			Motor Vehicles	12,500	
Sundry Creditors		5,000	*Less:* Depreciation	2,500	10,000
Bank Overdraft		5,700	Buildings	15,000	
Outstanding expenses:			*Less:* Depreciation	750	14,250
Salaries		600	**Current Assets:**		
Taxes		240	Sundry Debtors	7,600	
Interest on Bank overdraft		170	*Less:* Written off	200	
Commission received in Advance		250		7,400	
			Less: Provision @ 10% for Doubtful Debts	740	6,660

		Cash	1,300
		Closing Stock	6,500
		Pre-paid Insurance Premium	200
	40,062		40,062

PROBLEM 2

The Trial Balance of Mr. Sun as on 31st March, 2013, was as follows:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Purchases/Sales	16,25,050	25,24,000
Provision for Doubtful debts	—	52,000
Sundry Debtors/Sundry Creditors	5,02,000	3,05,260
Bills Payable	—	39,500
Opening Stock	2,67,250	
Wages	2,31,370	
Salaries	55,750	
Furniture	72,500	
Postage	42,260	
Power and fuel	13,500	
Trade expenses	58,310	
Bad debts	5,250	
Loan to Ram @ 10% (Dec. 1, 2012)	30,000	
Cash in hand and at bank	1,00,000	
Trade Expenses accrued but not paid	—	7,000
Drawing A/c/Capital A/c	44,520	1,00,000
Outstanding Wages	—	20,000
	30,47,760	30,47,760

Required: Prepare Trading and Profit and Loss Account for the year March 31, 2013 and the Balance Sheet as on that date after taking into consideration the following information:

(a) Depreciation on furniture is to be charged @ 10%.

(b) Sundry debtors include an item of ₹ 5,000 due from a customer who has become insolvent.

(c) Provision for Doubtful debts is to be maintained @ 5% on sundry debtors.

(d) Goods of the value of ₹ 15,000 have been destroyed by fire and insurance company admitted a claim for ₹ 10,000.

(e) Closing Stock was ₹ 1,25,500.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*	₹
To Opening Stock		2,67,250	By Sales	25,24,000
To Purchases	16,25,050		By Closing Stock	1,25,500
Less: Loss	(15,000)	16,10,050		
To Wages		2,31,370		

To Power & Fuel		13,500			
To Gross Profit t/f to P&L A/c		5,27,330			
		26,49,000			26,49,000
To Irrecoverable loss of stock		5,000	By G/P b/d		5,27,330
To Salary		55,750	By Prov. for doubtful debt	52,000	
To Postage		42,260	*Less:* 5% Provision	24,850	27,150
To Trade Expenses		58,310	By Interest on Loan		1,000
To Bad Debts	5,250				
Add: Further Bad Debts	5,000	10,250			
To Depreciation		7,250			
To Net Profit t/f to capital A/c		3,76,660			
		3,55,480			3,55,480

BALANCE SHEET
as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Current Liabilities:			**Current Assets:**		
Creditors		3,05,260	Insurance Co.		10,000
B/P		39,500	Cash in Hand		1,00,000
O/s Wages		20,000	Closing Stock		1,25,500
Trade Expenses Accrued		7,000	Debtors	5,02,000	
Capital:			*Less:* Bad Debts	5,000	
Opening Balance	1,00,000			4,97,000	
Less: Drawings	45,520		*Less:* Provision	24,850	4,72,150
Add: Net Profit	3,76,660	4,32,140	Loan to Ram	30,000	
			Add: Interest on Loan	1,000	31,000
			Fixed Assets:		
			Furniture	72,500	
			Less: Depreciation	7,250	65,250
		8,03,900			8,03,900

PROBLEM 3

On 31st March, 2013, the following Trial Balance was extracted from the books of Mr. Ghayal.

	₹		₹
Dr. Balances:		Rates, Taxes and Insurance	28,910
Drawings	30,000	Advertising	32,640
Sundry Debtors	2,01,000	General Expenses	34,890
Interest on Loan	2,850	Bill Receivable	68,820
Cash in hand	20,500	*Cr. Balances:*	
Opening Stock	68,390	Capital	2,80,000
Motor Vehicles	1,00,000	Sundry Creditors	1,04,010
Cash at Bank	35,550	Loan on Mortgage	95,000
Land and Buildings	1,20,000	Provision of doubtful debts	7,100
Bad Debts	5,250	Sales	11,02,430
Purchases	6,64,580	Purchases returns	13,460
Sales Returns	78,210	Discounts	5,400
Carriage Outward	24,190	Bills Payable	26,140
Carriage Inward	29,290	Rent Received	2,500
Salaries	90,970		

Required: Prepare Trading and Profit and Loss Account for the year ended 31st March, 2013 and Balance Sheet as on that date, after making adjustments for the following matters:

(a) Depreciate Land and Buildings at 2½ per cent and Motor Vehicles at 20 per cent.
(b) Interest on Loan at 6 per cent per annum is unpaid for six months.
(c) Goods costing ₹ 5,000 were sent to a customer on sale or return for ₹ 6,000 on 30th March, 2013 and had been recorded in the books as actual sales.
(d) Salaries amounting to ₹ 7,500 and rates amounting to ₹ 3,500 are outstanding.
(e) Prepaid Insurance amounted to ₹ 1,500.
(f) The provision for Doubtful Debts is to be maintained at 5 per cent Sundry Debtors.
(g) Provide for Manager's Commission at 10% on net profits after charging such commission.
(h) Closing Stock was valued at ₹ 62,500.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		68,390	By Sales	11,02,430	
To Purchases	6,64,580		*Less:* Sale Price of		
Less: Returns	13,460	6,51,120	Goods on approval	6,000	
To Carriage Inwards		29,290	*Less:* Returns	78,210	10,18,220
To Gross Profit t/f to P & L Account		3,36,920	By Stock in hand	62,500	
			Add: Cost of Goods		
			Sent on Approval	5,000	67,500
		10,85,720			10,85,720
To Interest on Loan	2,850		By Gross Profit b/d		3,36,970
Add: Outstanding	2,850	5,700	By Discount		5,400
To Bad Debts	5,250		By Rent Received		2,500
Add: New Provision	9,750				
Less: Old Provision	7,100	7,900			
To Carriage Outwards		24,190			
To Salaries (₹ 90,970 + 7,500)		98,470			
To Rates, Taxes, & Ins.	28,910				
Add: Rates due	3,500				
Less: Insurance Prepaid	1,500	30,910			
To Advertising		32,640			
To General Expenses		34,890			
To depreciation:					
Land & Building @ 2½%		3,000			
Motor vehicles @ 20%		20,000			
To Manager's Commission		7,920			
To Net Profit transferred to					
Capital A/c		79,200			
		3,44,820			3,44,820

BALANCE SHEET
as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Current Liabilities:			**Current Assets:**		
Billy Payable		26,140	Cash in hand		20,500
Sundry Creditors		1,04,010	Cash at bank		35,550
Outstanding Expenses:			Bills Receivable		68,820
Salaries		7,500	Sundry Debtors	2,01,000	
Manager's Commission		7,920	*Less:* Goods sent on app.	8,000	
Rates		3,500	*Less:* Provision	9,750	1,85,250
Loans on Mortgage	95,000		Stock (₹ 62,500 + ₹ 5,000)		67,500
Add: Interest	2,850	97,850	Land and Buildings	1,20,000	
Capital:			*Less:* Depreciation	3,000	1,17,000
Opening Balance	2,80,000		Motor Vehicles	10,000	
Less: Drawings (₹ 30,000)	30,000		*Less:* Depreciation	20,000	80,000
Add: Profit	79,200	3,29,200	Prepaid Insurance		1,500
		5,76,120			5,76,120

PROBLEM 4

From the following Trial Balance of Mr *X*, prepare Trading and Profit and Loss Account for the ended 31st March 2013 and a Balance Sheet as on that date, after giving effect to the adjustments:

Debit Balances	₹	*Credit Balances*	₹
Drawings	32,500	Capital	1,80,000
Opening Stock	1,74,450	Rent Outstanding	1,300
Return Inwards	5,540	Returns Outward	8,400
Carriage Inwards	12,400	Creditors	30,000
Deposits with Mr. *Y* (Inte.. Free)	13,750	Provision for Doubtful debts	12,000
Carriage Outwards	7,250	Sales	12,79,140
5% Loan to Mr. *Z*	10,000	Interest on Loan	250
Rent	8,200		
Purchases	11,29,700		
Debtors	40,000		
Goodwill	17,300		
Advertisement Expenses	9,540		
Bad Debts	4,000		
Patents and Trade Marks	5,000		
Cash in hand	620		
Discount Allowed	3,300		
Wages	7,540		
Plant and Machinery (Purchased on 1.4.2012)	30,000		
	15,11,090		15,11,090

Adjustments:

(a) Increase Bad Debts by ₹ 6,000. Make Provision for Doubtful Debts @ 10% and Provision for Discount on Debtors @ 5%. (b) The value of the Closing Stock is ₹ 1,87,920. (c) Wages include ₹ 2,000 paid for erection of Machinery on 1.4.2012. (d) Provide depreciation on Machinery @ 10% p.a.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		1,74,450	By Sales	12,79,140	
To Purchases	11,29,700		*Less:* Returns	5,540	12,73,600
Less: Returns	8,400	11,21,300	By Closing Stock		1,87,920
To Carriage inward		12,400			
To Wages and Salaries	7,540				
Less: erection of machine	2,000	5,540			
		1,47,830			
		14,61,520			14,61,520
To Carriage outward		7,250	BY Gross Profit b/d		1,47830
To Rent		8,200	By Interest	250	
To Discount		3,300	*Add:* Accrued interest	250	500
To Advertisement		8,540			
To Bad debts					
Add: Provisional for debt	1,400				
Add: Provisional for discount	1,530	2,930			
To Depreciation on Plant and Machinery		3,200			
To Net Profit t/f to Capital A/c		1,13,910			
		1,48,330			1,48,330

BALANCE SHEET

as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Current Liabilities:			**Fixed Assets:**		
Creditors		30,000	Goodwill		17,300
Outstanding rent		1,300	Plant and Machinery	30,000	
Capital:			*Add:* Erection of machinery	2,000	
Opening Balance	1,80,000		*Less:* Depreciation	3,200	28,800
Add: Net Profit	1,13,910		Trade Marks		5,000
Less: Drawings	32,500	2,61,410	**Investments:**		
			12% Investments	10,000	
			Add: Interest on investment	250	10,250
			Deposit with Mr Z		13,750
			Current Assets:		
			Debtors	40,000	
			Less: Further Bad debts	6,000	
			Less: Provision for doubtful	3,400	
			Less: Provision for Discount	1,530	29,070
			Cash in hand		620
			Closing Stock		1,87,920
		2,92,710			2,92,710

PROBLEM 5

From the following balances taken from the Ledger of Shri Krishna on 31st March 2013, prepare the Trading and Profit and Loss A/c for the year ended 31st March, 2013 and the Balance Sheet as at 31st March, 2013, Shri Krishna:—

	₹		₹
Sundry Creditors	19,000	Bad Debts	100
Building	15,000	Loan from Ram	2,500
Income Tax	1,025	Sundry Debtors	9,500
Loose Tools	1,000	Investment	6,500
Cash at Bank	16,200	Provision for Doubtful Debts	1,600
Sundry Expenses	1,990	Rent & Rates	850
Bank Interest (Cr.)	75	Furniture	3,000
Purchases	1,57,000	Opening Stock	27,350
Wages	10,000	Capital	47,390
Carriage Inwards	1,120	Discount allowed	630
Sales	1,85,000	Dividends received	535
Motor Van	12,500	Drawings	2,000
Cash in Hand	335	Bills payable	10,000

Adjustments:

(a) Write off further ₹ 300 as bad out of Sundry Debtors and create a provision for Doubtful Debts @ 20% on Debtors. (b) Dividends accrued and due on investments is Rs 135, Rates paid in advance ₹ 100 wages owing ₹ 450. (c) Closing Stock was valued at ₹ 15,000 and Loose Tools were valued at ₹ 800. (d) Write off 5 percent for depreciation on Buildings and 40 percent on Motor Van. (e) Provide for interest at 12 per cent per annum due on Loan taken on 1-6-2012. (f) Income tax paid has to be treated as Drawings.

SOLUTION: TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		27,350	By Sales		1,85,000
To Purchases		1,57,000	By Closing Stock		15,000
To Wages	10,000				
Add: Outstanding	450	10,450			
To Carriage Inwards		1,120			
To Gross Profit c/d		4,080			
		2,00,000			2,00,000
To Rent & Rates	850		By Gross Profit b/d		4,080
Less: Prepaid	100	750	By Bank Interest		75
To Sundry Expenses		1,990	By Dividends	535	
To Interest on loan		250	*Add:* Accrued and due	135	670
(12/100 × 10/12 × 2,500)			By Net Loss		5,385
To Depreciation:			(Bal. fig. Transferred to Capital)		
Building		750			
Motor Van		5,000			
Loose Tools		200			
To Discount allowed		630			
To Provision for Doubtful					
Debts Closing	1,840				
Add: Bad Debts (100 + 300)	400				
Less: Opening	1,600	640			
		10,210			10,210

BALANCE SHEET
as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Capital Account:			Building	15,000	
Opening Balance	47,390		*Less:* Depreciation		
Less: Drawings	2,000		(15/100 × 15,000)	750	14,250
			Motor Van	12,500	
Less: Net Loss	5,385		*Less:* Depreciation		
	40,005		(40/100 × 12,500)	5,000	7,500
Less: Income tax	1,025	38,980	Loose Tools	1,000	
Loan from Ram		2,500	*Less:* Depreciation		
Sundry Creditors		19,000	(10/100 × 1,000)	200	800
Interest outstanding on			Furniture		3,000
loan from Ram		250	Investments	6,500	
Bills Payable		10,000	*Add:* Dividend		
Outstanding wages		450	accrued & due	135	6,635
			Closing Stock		15,000
			Sundry Debtors	9,500	
			Less: Bad Debts (adj.)	300	
			Less: Reserve for Bad	9,200	
			Debts (20/100 × 9200)	1,840	7,360
			Cash at Bank		16,200
			Cash in Hand		335
			Prepaid Rates		100
		71,180			71,180

PROBLEM 6

From the following figures extracted from the books of Shri Govind, you are required to prepare a Trading and Profit and Loss Account for the year ended 31st March, 2013 and a Balance Sheet as on that date after making the necessary adjustments:

	₹		₹
Shri Govind's Capital	2,28,800	Bills payable	5,500
Shri Govind's drawings	13,200	Opening Stock	38,500
Plant and Machinery	99,000	Wages	35,200
Freehold property	66,000	Sundry Creditors	44,000
Purchases	1,10,000	Postage and Telegrams	1,540
Returns outwards	1,100	Insurance	1,760
Salaries	13,200	Gas and Fuel	2,970
Office expenses	2,750	Bad Debts	660
Office furniture	5,500	Office Rent	2,860
Discount A/c (Dr.)	1,320	Freight	9,900
Sundry Debtors	29,260	Loose Tools	2,200
10% Loan to Shri Krishna	44,000	Factory Lighting	1,100
Cash at Bank	29,260	Provision for Doubtful Debts	880
Sales	2,31,440	Interest on loan to Shri Krishna	1,100
		Cash in hand	2,640

Adjustments:

(a) Closing Stock was valued at ₹ 72,600. (b) A new machine was installed during the year costing ₹ 15,400 but it was not recorded in the books as no payment was made for it. Wages ₹ 1,100 paid for its erection have been debited to wages account. (c) Depreciate plant and machinery by 33–1/3%, Furniture by 10%, Freehold property by 5% (d) Loose tools were valued at ₹ 1,760 (e) Of the Sundry debtors ₹ 660 are bad and should be written off. (f) Maintain a provision of 5% on Sunday Debtors for doubtful debts. (g) The manager is entitled to a commission of 10% of the net profits after charging such commission.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		38,500	By Sales		2,31,440
To Purchases	1,10,000		By Closing Stock		72,600
Less: Returns Outward	1,100	1,08,900			
To Wages	35,200				
Less: for erection of new machinery	1,100	34,100			
To Gas & Fuel		2,970			
To Freight		9,900			
To Factory Lighting		1,100			
To Gross Profit c/d		1,08,570			
		3,04,000			3,04,000
To Salaries		13,200	By Gross Profit b/d		1,08,570
To Office expenses		2,750	By Interest	1,100	
To Postage & Telegram		1,540	*Add:* Accrued but not		
To Insurance		1,760	yet received	3,300	4,400
To Office Rent		2,860	(10/100 × 44,000)		
To Discount Allowed		1,320			
To Provision for Doubtful					
Debts Closing	1,430				
Add: Bad Debts (660 + 660)	1,320				
	2,750				
Less: Opening	880	1,870			
To Depreciation:					
Machinery	38,500				
Furniture	550				
Freehold property	3,300				
Loose Tools	440	42,790			
To Commission to Manager (10/100 × 44,880)		4,080			
To Net Profit (transferred to capital)		40,800			
		1,12,970			1,12,970

BALANCE SHEET
as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Capital:			Plant & Machinery	99,000	
Opening Balance	2,28,800		*Add:* New Machinery	16,500	
Less: Drawings	13,200			1,15,500	
Add: Net Profit	40,800	2,56,400	*Less:* Depreciation	38,500	77,000
Bills Payable		5,500	[1/3 × 1,15,500]		
Sundry Creditors		59,400	Freehold Property	66,000	
Commission to Manager			*Less:* Depreciation	3,300	62,700
(yet to be paid)		4,080	(20/100 × 66,000)		
			Office Furniture	5,500	
			Less: Depreciation	550	4,950
			(10/100 × 5,500)		
			Loose Tools	2,200	
			Less: Depreciation	440	1,760
			(2,200 – 1,760)		
			Closing Stock		72,600
			Sundry Debtors	28,600	
			Less: Provision for		
			Doubtful Debts	1,430	27,170
			(5/100 × 28,600)		
			Loan to Shri Krishna	44,000	
			Add: Interest accrued		
			but not yet received	3,300	47,300
			Cash at Bank		29,260
			Cash in Hand		2,640
		3,25,280			3,25,380

PROBLEM 7

The following Trial Balance was extracted from the Books of Mr. Selfish as on 31st March, 2013:

Particulars	*Dr. (₹)*	*Particulars*	*Cr. (₹)*
Plant and Machinery	2,00,000	Capital Account	8,00,000
Manufacturing wages	3,45,000	Sundry Creditors	4,45,600
Salaries	1,58,500	Bank loan	1,50,000
Furniture	1,00,000	Purchase returns	17,400
Freight on purchase	18,600	Sales	25,08,500
Freight on sales	21,400	Provision for Doubtful debts	2,000
Buildings	2,40,000		
Manufacturing expenses	95,000		
Insurance and tax	42,500		
Goodwill	2,50,000		
General expenses	82,000		
Factory fuel and power	12,800		
Sundry debtors	7,82,000		
Factory lighting	9,500		
Opening Stock	3,42,000		

Motor car	1,20,000		
Purchases	10,20,000		
Sales returns	31,000		
Bad Debts	14,000		
Interests and Bank Charges	4,000		
Cash at bank	42,000		
Cash in hand	11,200		
	39,41,500		39,41,500

Required: Prepare the Trading Profit and Loss Accounts for the year ended 31st March, 2013, and the Balance Sheet as on that date taking into consideration the following information:

(a) Closing Stock was valued at ₹ 3,05,000.
(b) Deprecate Plant and Machinery by 10% p.a., Furniture by 5% p.a. and Motor car by ₹ 10,000.
(c) Create provision for doubtful debts at 5% on Sundry Debtors.
(d) A commission of 1% on the gross profit is to be provided to Works Manager.
(e) General Manager is to be allowed a commission @ 2% on net profit after charging works Manager's and before charging General Manager's Commission.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		3,42,000	By Sales	25,08,500	
To Purchases	10,20,000		*Less:* Returns	31,000	24,77,500
Less: Returns	17,400	10,02,600	By Closing Stock		3,05,000
To Manufacturing wages		3,45,000			
To Freight on purchase		18,600			
To Manufacturing Expenses		95,000			
To Factory Fuel and Power		12,800			
To Factory lighting		9,500			
To Gross Profit c/d		9,57,000			
		27,82,500			27,82,500
To Works Manager's Commission		9,570	By Gross Profit b/d		9,57,000
To Salaries		1,58,500			
To Freight on Sales		21,400			
To Prov. for doubtful Debt	39,100				
Less: Existing provision	20,000	19,100			
To Insurance		42,500			
To General Expenses		82,000			
To Bad Debts		14,000			
To Interest & Rent		4,000			
To Depreciation on:					
Plant & Machinery	20,000				
Furniture	5,000				
Motor Car	10,000	35,000			
To GM's Commission [₹ 5,70,930 × 2/100]		11,420			
To Net Profit t/f to capital A/c		5,59,510			
		9,57,000			9,57,000

BALANCE SHEET
as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Current Liabilities:			**Current Assets:**		
Creditors		4,45,600	Cash in Hand		11,200
Outstanding Commission (Works)		9,570	Cash at Bank		42,000
Outstanding Commission (General)		11,420	Debtors	7,82,000	
Loans:		1,50,000	*Less:* Provision	39,100	7,52,900
Capital:			Closing Stock		3,05,000
Opening Balance	8,00,000		**Fixed Assets:**		
Add: Net Profit	5,59,510	13,59510	Furniture	1,00,000	
			Less: Depreciation	5,000	95,000
			Plant & Machinery	2,00,000	
			Less: Depreciation	20,000	1,80,000
			Motor Car	1,20,000	
			Less: Depreciation	10,000	1,10,000
			Goodwill		2,50,000
			Building		2,40,000
		19,76,100			19,76,100

PROBLEM 8

The following is the Trial Balance of Mr *X* as at 31st March 2013:

Debit Balances	₹	*Credit Balances*	₹
Opening Stock	46,800	*X*'s Capital A/c	86,690
Returns Inwards	8,600	Sales	3,89,600
Purchases	3,21,700	Returns Outward	5,800
Freight & Carriage	18,600	Sundry Creditors	14,800
Rent & Taxes	5,700	Bank Loan @ 6% p.a.	20,000
Salaries & Wages	9,300	Miscellaneous Income	250
Sundry Debtors	24,000	Discount Earned	4,190
Bank Interest	900		
Printing and Advertising	14,600		
Cash at Bank	8,000		
Furniture & Fittings	5,000		
Discount Allowed	1,800		
General Expenses	11,450		
Insurance	1,300		
Postage & Telegrams	2,330		
Cash in hand	380		
Travelling Expenses	870		
Drawings	40,000		
	5,21,330		5,21,330

The following adjustments should be made:

(a) Included amongst the Debtors is ₹ 3,000 due from *Z* and included among the creditors ₹ 1,000 due to him. (b) Provision for Doubtful Debts be created @ 5% and

Provision for Discount @ 2% on Sundry Debtors. (c) Depreciation on furniture & Fittings @ 10% shall be written off. (d) Personal Purchases amounting to ₹ 600 had been included in the Purchases Day Book. (e) Interest on Bank Loan shall be provided for the whole year. (f) A quarter of the amount of Printing and Advertising is to be carried forward to the next year. (g) Credit Purchase Invoice amounting to ₹ 400 had been omitted from the Books. (h) Closing Stock was ₹ 78,600.

Required: Prepare Trading and Profit & Loss Account for the year ended 31.3.2013 and Balance Sheet as on that date.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		46,800	By Sales	3,89,000	
To Purchases	3,21,700		*Less:* Returns Inward	8,000	3,81,000
Add: Invoices Omitted	400		By Closing Stock		78,600
Less: Returns Outward	5,800				
Less: Drawing of Goods	600	3,15,700			
To Freight & Carriage		18,600			
To Gross Profit c/d		78,500			
		4,59,600			4,59,600
To Rent and Taxes		7,700	By Gross Profit b/d		78,500
To Salaries & Wages		9,300	By Miscellaneous Income		250
To Interest on Bank Loan	900		By Discount Earned		4,190
Add: Outstanding	300	1,200			
To Printing & Advertisement	14,600				
Less: Prepaid (1/4 × 14,600)	3,650	10,950			
To Discount allowed		1,800			
To General expenses		11,450			
To Insurance		1,300			
To Postage & Telegram		2,330			
To Travelling expenses		870			
To Provision for Doubtful Debts		1,150			
To Provision for Disc.. on Debtors		437			
To Depreciation on Furniture		500			
To Net Profit (transferred to capital)		35,953			
		82,940			82,940

BALANCE SHEET
as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Capital:			Furniture & Fitting	5,000	
Opening balance	86.690		*Less:* Depreciation	500	4,500
Less: Drawing of Cash	40,000		Sundry Debtors	24,000	
Less: Drawings of Goods	600		*Less:* Mutual Debt set off		
Add: Net Profit	35,953	82,043	(Mr. Abraham)	1,000	
			Less: Provision for		
Bank Loan		20,000	Doubtful Debts	1,150	
Outstanding Expenses:			(23,000 × 5/100)		
Interest on Bank Loan		300		21,850	
Sundry Creditors	14,800		*Less:* Provisions for		
Add: Purchase Invoice			Discount of Debtors	437	21,413
Omitted	400		(21,850 × 2/100)		
			Closing Stock		78,600
Less: Mutual debt set off			Prepaid Expenses:		
(Mr. Abraham)	1,000	14,200	Printing & Advertisement		3,650
			Cash at bank		8,000
			Cash in Hand		380
		1,16,543			1,16,543

PROBLEM 9

The following Trial Balance was extracted from the books of Mr "A" as on 31st March 2013:

Debit Balances	₹	*Credit Balances*	₹
Plant & Machinery	78,000	Capital Account	1,00,000
Furniture	2,000	Sales	1,27,000
Purchases	60,000	Returns of Goods	750
Returns of Goods	1,000	Discount	800
Opening Stock	30,000	Sundry Creditors	25,000
Discount	425	Provision for Doubtful debts	525
Sundry Debtors	45,000		
Salaries	7,550		
Manufacturing wages	10,000		
Carriage Outwards	1,200		
Rent, Rates and Taxes	10,000		
Advertisement	2,000		
Cash	6,9030		
	2,54,075		2,54,075

Prepare Trading and Profit and Loss Account for the year ended March 31, 2013, and a Balance Sheet as on that date after taking into account the following adjustments:—

(i) Closing Stock was valued at ₹ 34,220

(ii) Provision for Doubtful Debts is to be kept at ₹ 500.

(iii) Allow Interest on Capital at 10% p.a.

(iv) Furniture was old and the same was disposed off for ₹ 760 in exchange of new furniture costing ₹ 1,680. The net invoice of ₹ 920 was passed through Purchase Register. (No Depreciation need be charged on old and new furniture).

(v) Depreciate Plant and Machinery by 10% p.a.

(vi) The proprietor Mr A has taken goods worth ₹ 5,000 for personal use, and distributed goods worth ₹ 1,000 as samples.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		30,000	By Sales	1,27,000	
To Purchases	60,000		*Less:* Return Inward	1,000	1,26,000
Less: Drawings of goods	5,000		By Closing stock		34,220
Less: Distribution of free samples	1,000				
Less: Returns Outwards	750				
Less: Furniture wrongly debited	920	52,330			
To Manufactured Wages		10,000			
To Gross Profit c/d		67,890			
		1,60,220			1,60,220
To Salaries		7,550	By Gross Profit b/d		67,890
To Rent, Rates & Taxes		10,000	By Provision for Doubtful Debts		
To Carriage Outwards		1,200	Debts: Opening	525	
To Distribution of Free Samples		1,000	*Less:* Closing	500	25
To Advertisement		2,000	By Discount Received		800
To Discount Allowed		425			
To Loss on sale of furniture (₹ 2,000 – ₹ 760)		1,240			
To Depreciation on Plant & Machinery		7,800			
To Interest on capital		10,000			
To Net Profit (transferred to capital)		27,500			
		68,715			68,715

BALANCE SHEET

as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Capital	1,00,000		Plant & Machinery	78,000	
Less: Drawings of Goods	5,000		*Less:* Depreciation (10/100 × 18,000)	7,800	70,200
Add: Interest on Capital	10,000		Furniture	2,000	
Add: Net Profit	27,500	1,32,500	*Add:* Purchases	920	
Sundry Creditors		25,000	*Less:* Loss on sale (₹ 2,000 – ₹ 760)	1,240	1,680
			Closing Stock		34,220
			Sundry Debtors	45,000	
			Less: Provision for Doubtful Debts	500	44,500
			Cash in Hand		6,900
		1,57,500			1,57,500

PROBLEM 10

The following Trial Balance of Shri Om, as on 31st March, 2013. You are requested to prepare the Trading and Profit and Loss Account for the year ended 31st March, 2013 and a Balance Sheet as on that date after making the necessary adjustments:—

Particulars	*Dr. (₹)*	*Cr. (₹)*
Sundry Debtors/Creditors	5,00,000	2,00,000
Outstanding liability for Expenses	55,000	—
Wages	1,00,000	—
Carriage Outwards	1,10,000	—
Carriage Inwards	50,000	—
General Expenses	70,000	—
Cash Discounts	20,000	—
Bad Debts	10,000	—
Motor Car	2,40,000	—
Printing and Stationery	15,000	—
Furniture and Fittings	1,10,000	—
Advertisement	85,000	—
Insurance	45,000	—
Salesman's commission	87,500	—
Postage and Telephone	57,500	—
Salaries	1,60,000	—
Rates and Taxes	25,000	—
Capital Account/Drawings	20,000	14,43,000
Purchases/Sales	15,50,000	19,87,500
Opening Stock	2,50,000	—
Cash at Bank	60,000	—
Cash in Hand	10,500	—
	36,30,500	36,30,500

The following adjustments are to be made:

(a) Closing Stock was valued at ₹ 7,25,000.

(b) A Provision for Doubtful Debts are to be created to the extent of 5 percent on Sundry Debtors.

(c) Depreciate—Furniture and Fittings by 10%, Motor Car by 20%.

(d) Shri Om had withdrawn goods worth ₹ 25,000 during the year.

(e) Sales include goods worth ₹ 75,000 sent out to Shanti and Company on approval and remaining unsold till 31st March. The cost of the goods was ₹ 50,000.

(f) The Salesman was entitled to a Commission of 5% on total sales.

(g) Debtors include ₹ 25,000 bad debts.

(h) Printing and Stationery expenses of ₹ 55,000 relating to previous year had not been provided in that year but was paid in this year by debiting outstanding liabilities.

(i) Purchases include purchases of Furniture worth ₹ 50,000.

SOLUTION:

TRADING AND PROFIT & LOSS ACCOUNT

Dr. *for the year ending on 31st March, 2013* *Cr.*

Particulars		₹	*Particulars*		₹
To Opening Stock		2,50,000	By Sales	19,87,500	
To Purchases	15,50,000		*Less:* Goods sent		
Less: Drawings	25,000		out for approval	75,000	19,12,500
Less: Furniture	50,000	14,75,000	By Closing Stock	7,25,000	
			Add: Cost of Stock		
			out on approval	50,000	7,75,000
To Wages		1,00,000			
To Capital Inwards		50,000			
To gross Profit c/d		8,12,500			
		26,87,500			26,87,500
To Salaries		1,60,000	By Gross Profit b/d		8,12,500
To Rates & Taxes		25,000			
To Postage & Telephone		57,500			
To Insurance		45,000			
To Printing & Stationery		15,000			
To General Expenses		70,000			
To Depreciation:					
Furniture (10/100 × 1,60,000)		16,000			
Motor Car (20/100 × 2,40,000)		48,000			
To Salesman's Commission	87,500				
Add: Outstanding	8,125	95,625			
(5/100 × 19,12,500)					
To Advertisement		85,000			
To Carriage Outwards		1,10,000			
To Provision for Doubtful Debts		20,000			
(5/10 × ₹ 4,00,000)					
To Cash Discount		20,000			
To Bad Debts					
(₹ 10,000 + ₹ 25,000)		35,000			
To Net Profit t/f to Capital A/c)		10,375			
		8,12,500			8,12,500

BALANCE SHEET
as at 31st March, 2013

Liabilities		₹	*Assets*		₹
Capital	14,43,000		Furniture & Fittings	1,10,000	
Less: Drawings of Cash	20,000		*Add:* Purchased during year	50,000	
Less: Drawings of Goods	25,000		*Less:* Depreciation	16,000	1,44,000
Less: Printing & Stationery (expenses of previous year)	55,000		Motor Car	2,40,000	
Add: Net profit	10,375	15,53,375	*Less:* Depreciation	48,000	1,92,000
Sundry Creditors		2,00,000	Stock	7,25,000	
Outstanding Commission to Salesmen		8,125	*Add:* Stock on approval	50,000	7,75,000
			Sundry Debtors	5,00,000	
			Less: Goods sent on Approval	75,000	
			Less: Add: Bad Debts	25,000	
				4,00,000	
			Less: Provision for (5/100 × 4,00,000)	20,000	3,80,000
			Cash at bank		60,000
			Cash in Hand		10,500
		15,61,500			15,61,500

THEORETICAL QUESTIONS

1. What is an 'Adjusting Entry'?
2. What is 'Outstanding Expense'?
3. What is an 'Prepaid Expense'?
4. What is an 'Accrued Income'?
5. What is an 'Unaccrued Income'?
6. How will you deal with the Closing Stock appearing in a Trial Balance of a proprietor?
7. How will you deal with the Outstanding Salary appearing in a Trial Balance of a proprietor?
8. How will you deal with the Prepaid Rent appearing in a Trial Balance of a proprietor?
9. How will you deal with the Accrued Interest appearing in a Trial Balance of a proprietor?
10. How will you deal with the Unaccrued Interest appearing in a Trial Balance of a proprietor?
11. How will you deal with the Depreciation Account appearing in a Trial Balance of a proprietor?
12. How will you deal with the Bad Debts if no Provision for Doubtful Debts is appearing in the Trial Balance of a Proprietor?
13. How will you deal with the Bad Debts if Provision for Doubtful Debts is appearing in the Trial Balance of a Proprietor?
14. How will you deal with the Discount Allowed if no Provision for Discount on Debtors is appearing in the Trial Balance of a Proprietor?
15. How will you deal with the Discount Allowed if Provision for Discount on debtors is appearing in the Trial Balance of a Proprietor?
16. How will you deal with the Drawings appearing in a Trial Balance of a proprietor?
17. How will you deal with the Income Tax paid appearing in a Trial Balance of a Proprietor?
18. How will you deal with the Wages & Salaries appearing in a Trial Balance of a proprietor?
19. State the Accounting Principles behind making adjustments at the time of preparing the Final Accounts.
20. State the nature of all incomes, expenditures and losses shown in the Trading and Profit & Loss Account.
21. State Whether Operating or Non-Operating items are shown in the Trading Account.
22. State Whether Operating or Non- Operating items are shown in the Profit & Loss Account.
23. Name the Non-Cash but Operating item which is shown in the Profit & Loss Account.
24. State any two items which are shown by way of deduction from the Purchases in the Trading Account.

PRACTICAL QUESTIONS

1. Closing Stock as at 31st March 2013 ₹ 6,000 appears outside the Trial Balance. Accounts are closed on 31st March. Pass an Adjusting Entry and show how this will appear in final accounts.

2. Salary paid for 11 months from April 2012 to Feb. 2013 ₹ 66,000 p.m. Salary for the month of March has not yet been paid. Accounting year is financial year. Pass an Adjusting Entry and show how this will appear in final accounts.

3. On 1.07.2012, a Fire Insurance Premium of ₹ 1,44,000 was paid on a policy which will expire on 30.6.2013. Accounts are closed on 31st March. Pass an adjusting entry and show how this will appear in final accounts.

4. On 1.4.2012 a loan of ₹ 60,000 was given to Ram at a rate of interest of 12%, per annum. During the year, interest was received for 11 months from Apr. to Feb. Interest for the month for March has not yet been received: Accounting year is financial year. Pass an adjusting entry and show how this will appear in final accounts.

5. On 1.2.2013, a loan of ₹ 60,000 was given to Ravi for 3 months at a rate of interest of 12% per annum and Accounting year is financial year. Interest was received for 3 months from Feb. to April. Pass an adjusting entry and show how this will appear in final accounts.

6. Following are the extracts of a Trial Balance as at 31st March 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
12% Loan from Shri Ram		60,000
Interest on 12% Loan from Shri Ram	5,400	

Required: Show how these items will appear in the final accounts.

7. On 1.1.2013, a Machine costing ₹ 6,000 and a Furniture costing ₹ 12,000 were purchased. Write 5% off the Furniture and depreciate the Machinery @ 10% p.a. Accounting year is financial year. Pass an Adjusting Entry and show how this will appear in final accounts.

8. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	30,000	
Wages	3,000	

A Machine costing ₹ 12,000 was purchased on 1st July 2012. Wages ₹ 600 for its erection have been debited to Wages Account. Provide depreciation on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

9. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	30,000	
Wages	3,000	

A Machine costing ₹ 12,000 was purchased on 1st July, 2012 but it was not recorded in the books as no payment was made for it. Wages ₹ 600 paid for its erection have been debited to Wages Account. Provide depreciation on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

10. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	30,000	
Wages	3,000	

A Machine costing ₹ 12,000 was purchased during the year 2012–2013. Wages ₹ 600 paid for its erection have been debited to Wages Account. Provide depreciation on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

11. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	30,000	
Wages	3,000	

A Machine costing ₹ 12,000 was purchased during the year 2012–2013. Wages ₹ 600 paid for its erection have been debited to Wages Account. Write 10% off the Plant & Machinery. Show how these items will appear in the final accounts.

12. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Plant & Machinery	30,000	
Wages	3,000	

A Machine costing ₹ 12,000 was purchased on 1st July 2012. Wages ₹ 600 paid for its erection have been debited to Wages Account. Write 10% off the Plant & Machinery. Show how these items will appear in the final accounts.

13. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Wages	3,000	
Plant & Machinery	48,000	
Accumulated Depreciation on Plant & Machinery		18,000

Provide depreciation on Plant & Machinery ₹ 4,800. Show how these items will appear in the final accounts.

14. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Wages	3,000	
Plant & Machinery	48,000	
Accumulated Depreciation on Plant & Machinery		18,000

Provide Depreciation according to Straight Line Method on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

15. Following are the extracts of a Trial Balance as at 31st March, 2013:

Particulars	*Debit Balance* ₹	*Credit Balance* ₹
Wages	3,000	
Plant & Machinery	48,000	
Accumulated Depreciation on Plant & Machinery		18,000

Provide Depreciation according to Written Down Value Method on Plant & Machinery @ 10% p.a. Show how these items will appear in the final accounts.

16. Mr *X*, a debtor for ₹ 3,000, has become insolvent and nothing could be recovered from him. Debtors (including Mr *X*) appear at ₹ 1,23,000 in the Trial Balance as at 31st March 2013. Accounting year is financial year. Pass an adjusting entry and show how these items will appear in the final accounts.

17. Following are the extracts from the Trial Balance of firm as on 31st March, 2013.

Name of Accounts	*Debit Balance* ₹	*Credit Balance* ₹
Sundry Debtors	1,23,000	
Bad Debts	1,800	

Additional Information:

(i) After preparing the Trial Balance, it is that Mr X, a debtor has become insolvent and nothing could be recovered from him therefore, the entire amount of ₹ 3,000 due from him was irrecoverable.

(ii) Create 10% provision for Doubtful Debts.

Required: Pass the necessary journal entries and show the relevant accounts (*including final accounts*.).

18. Following are the extracts from the Trial Balance of a firm as on 31st March, 2013.

Name of Accounts	*Debit Balance* ₹	*Credit Balance* ₹
Sundry Debtors	1,23,000	
Provision for Doubtful Debts		6,000
Bad Debts	1,800	

Additional Information:

(i) Additional Bad Debts ₹ 3,000

(ii) Maintain the Provision for Doubtful Debts @ 10% on Debtors.

Required: Pass the necessary journal entries and prepare and Provision for Doubtful Debts Account and show the relevant accounts (*including final accounts.*)

19. Following are the extracts from the Trial Balance as at 1st March 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Salaries	24,960	
Debtors	1,24,800	
Bad Debts	1,200	

1. Debtors include Shyam for dishonoured bill of ₹ 480. Half the amount of Shyam's bill is irrecoverable.
2. Remuneration of ₹ 1,200 paid to Mr B. Barua, a temporary employee, stands debited to his personal account.
3. Create a Provision for Doubtful Debts @ 5% on Debtors.

Show how these items will appear in the final accounts.

20. Following are the extracts from the Trial Balance as at 31st March, 2013.

Name of Account	*Dr. (₹)*	*Cr. (₹)*
Sundry Debtors	1,23,000	
Bad Debts	1,800	
Discount	1,080	

Additional Information:

(i) Create a Provision for Doubtful Debts @ 10% on debtors.

(ii) Create a Provision for Discount on Debtors @ 2% on debtors.

(iii) Additional Discount given to the Debtors ₹ 3,000.

Required: Pass the necessary journal entries and show the relevant accounts (*including final accounts.*)

21. Following are the extracts from the Trial Balance as at 31st March, 2013.

Name of Account	*Dr. (₹)*	*Cr. (₹)*
Sundry Debtors	1,23,000	
Provision for Doubtful Debts		6,000
Provision for Discount on Debtors		1,080
Bad Debts	1,800	
Discount	600	

Additional Information:

(i) Additional Bad Debts ₹ 2,400.

(ii) Additional Discount ₹ 600.

(iii) Maintain a provision for doubtful debts @ 10% on debtors.

(iv) Maintain a provision for discount @ 2% on debtors.

Required: Pass the necessary journal entries and show the relevant accounts (*including final accounts.*)

22. A fire broke out on 30th March, 2013 in the godown and Stock costing ₹ 60,000 was destroyed. The insurance company, admitted a claim of 60% only. Accounting year is financial year. Purchases are ₹ 3,00,000 Pass an adjusting entry and show how these items will appear in final accounts.

23. On 31st March, 2013. Goods costing ₹ 1,200 were taken by the proprietor for his personal use but no entry has been made in the books of accounts. Purchases were ₹ 49,200. Capital ₹ 60,000. Accounting year is financial year. Pass an adjusting entry and show how these items will appear in final accounts.

24. Goods costing ₹ 1,200 were distributed as free samples but no entry has been made in the books of accounts. Purchases were ₹ 49,200. Accounting year is financial year. Pass an adjusting entry and show how these items will appear in final accounts.

25. The Net Profits of a firm are ₹ 6,300 before charging any commission. The manager of the firm is entitled to a commission of 5% on the net profits before charging such commission. Calculate the commission payable to the manager. Also show its treatment in Final Accounts ending on 31st March 2013. [**Ans.** ₹ 315]

26. The Net Profit of a firm amounts to ₹ 6,300 before charging commission. The manager of the firm is entitled to a commission of 5% on the net profits after charging such commission. Calculate the commission payable to the manager. [**Ans.** ₹ 300]

27. Pass the necessary adjusting entries for the following items appearing outside the Trial Balance as on 31st March, 2013:

(a) Closing Stock in hand ₹ 6,000

(b) Salary due but not paid ₹ 600

(c) Unexpired Insurance ₹ 1,200

(d) Rent received in advance ₹ 1,800

(e) Interest due but not received ₹ 360

(f) Depreciation on Fixed Assets @ $33^{1}/_{3}$%

(g) Bad debts to be written-off ₹ 3,000

(h) Create Provision for Doubtful Debts @ 10%

(i) Create Provision for Discount on debtors @ 2%

Other Information as per Trial Balance: Fixed Assets ₹ 36,000; Debtors ₹ 1,23,000.

PREPARATION OF FINAL ACCOUNTS

28. A book keeper has submitted to you the following trial balance wherein the totals of the debit and credit balances are not equal:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Creditors	60,000	—
Bills Payable	—	3,360
Loan from Bank	30,000	—
Capital Account	2,72,400	—
Sales	—	3,78,000
Purchase Returns	3,000	—
Discount Earned	600	—
Bad Debt Recovered	2,100	—
Interest on Investments	1,800	—
Fixed Assets	1,80,000	—
Opening Stock	45,000	—
Debtors	—	1,23,000
Bills Receivables	6,000	—
Investments	30,000	—
Cash in Hand	3,000	—
Cash at Bank	6,000	—
Drawings	—	5,400
Purchases	3,15,000	—
Sales Returns	—	6,000
Carriage	840	—
Freight Outward	—	1,200
Duty Paid on Purchases	—	960
Primary Packing Expenses	1,200	—
Rent Paid	—	1,800
Insurance Paid	2,160	—
Office & Administrative Expenses	7,920	
Discount Allowed	—	1,200
Bad Debts	3,000	—
Interest on Loan from Bank	—	1,500
Delivery Expenses	3,960	—
Selling & Distribution Expenses	6,000	—
Income Tax paid	600	—
Value Added Tax (VAT) Collected	1,200	
Loose Tools	1,200	—
Apprentice Premium received	—	255
Commission received	—	225
	9,82,980	5,22,900

You are required:

(i) Redraft the trial balance correctly as at 31st March, 2013.

(ii) Prepare a Trading and Profit & Loss Account and a Balance Sheet after taking into account the following adjustments:

(a) Closing Stock was ₹ 24,000.

(b) Rent outstanding for March 2013 ₹ 360.

(c) Insurance unexpired on 31st March 2013 ₹ 540.

(d) Accrued Interest on Investments amounted to ₹ 900.
(e) One-third of the commission received is in respect of work to be done next year.
(f) ₹ 750 is due for interest on Bank Loan.
(g) Loose Tools are valued at ₹ 480.
(h) Provide for depreciation on fixed assets @ 10% p.a.

[**Ans.** Total of TB ₹ 7,52,940, GP ₹ 36,000, NL ₹ 6,225, Total of B/S ₹ 3,55,920]

29. The following is the Trial Balance of Mr Clever as at 31st March, 2013:

Debit Balances	₹	*Credit Balances*	₹
Plant & Machinery		Creditors	60,000
(Purchased on 1.7.2012)	1,20,000	Bills Payables	3,360
Furniture & Fixtures		10% Loan From Bank	
(Purchased on 1.7.2012)	60,000	(taken on 1.7.2012)	30,000
Opening Stock	45,000	Capital Account	2,73,000
Debtors	1,23,000	Sales	3,78,000
Bills Receivables	6,000	Purchases Returns	3,000
12% Investments (purchased		Discount Earned	600
on 1.7.2012)	30,000	Bad Debts Recovered	1,500
Cash in Hand	3,000	Interest	1,800
Cash at Bank	6,750	Commission	2,250
Drawings	6,390		
Purchases	3,15,000		
Sales Returns	6,000		
Carriage Inwards	3,000		
Carriage Outwards	210		
Rent	1,800		
Insurance	2,160		
Office & Administration Expenses	7,920		
Discount Allowed	1,200		
Bad Debts	3,000		
Interest	1,500		
Selling & Distribution Expenses	10,980		
Income Tax paid	600		
	7,53,510		7,53,510

Additional Information:

(a) The Cost of Closing Stock was ₹ 30,000 but the Market Value was ₹ 24,000.
(b) Rent is payable at the rate of ₹ 180 per month. Insurance Premium was paid for the year ending on 30th June, 2013. ₹ 750 is due for interest on Bank loan.
(c) Accrued Interest on Investments amounted to ₹ 900. One-third of the commission received is in respect of work to be done next year.
(d) Write off further ₹ 3,000 as bad. Create a Provision for Doubtful debts @ 10%. Create Provision for discount on Debtors @ 2%.
(e) Provide for depreciation on Plant & Machinery @ 10% p.a. Write 10% off the Furniture & Fixtures.

Required: Prepare Trading and Profit and loss Account for the year ending on 31st March, 2013 and a Balance Sheet as at 31st March, 2013.

[**Ans.** GP ₹ 36,000, NL ₹ 19,200, Total of B/S ₹ 342,030]

30. The following is the Trial Balance of Mr Prem Prakash on 31st March, 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Plant and Machinery	1,10,000	—
Fixtures and Fittings	3,440	—
Prem Prakash's Capital Account/Drawings	13,640	1,86,460
Factory Fuel and Power	1,084	—
Office Salaries	7,490	—
Manufacturing Expenses	5,360	—
Bills Payable	—	12,844
Factory lighting	784	—
Travelling Expenses	1,850	—
Carriage on Sales	1,920	—
Cash at bank	4,490	—
Cash in hand	136	—
Sundry Debtors/Creditors	95,600	45,360
Purchases/Sales	1,66,580	2,52,354
Wages	19,830	—
Rent and Taxes	3,530	—
Office Expenses	5,556	—
Carriage Inward	1,794	—
Discount	844	—
Opening Stock	43,450	—
Returns	14,844	6,344
Insurance	1,140	—
	5,03,362	5,03,362

Taking into account the following adjustments, prepare Trading and Profit & Loss Account and the Balance Sheet as at 31st March, 2013.

(a) Closing Stock ₹ 33,160.
(b) Rent Outstanding ₹ 300. Outstanding Wages and Salaries: ₹ 1,600 and ₹ 700 respectively. Insurance unexpired ₹ 140.
(c) Depreciation: 5% on Plant and Machinery and 10% on Fixtures and Fittings.
(d) Provision for Doubtful Debts 2-½% on Sundry Debtors.

[**Ans.** GP ₹36,532, NP ₹ 5,108, Total of B/S ₹ 2,38,732]

31. The following is the trial balance of Shri Paras, as on 31st March, 2013. You are requested to prepare the final accounts, after giving effect to the adjustments:-

Particulars	*Dr. (₹)*	*Cr. (₹)*
Sundry Debtors/Creditors	87,000	37,800
Capital Account/Drawings	31,470	4,26,000
Insurance	3,600	—
General Expenses	18,000	—
Salaries	90,000	—
Patents	45,000	—

Machinery	1,20,000	—
Freehold land	60,000	—
Building	1,80,000	—
Opening Stock	34,560	—
Carriage on Purchases	12,240	—
Carriage on Sales	19,200	—
Fuel and Power	28,380	—
Wages	62,880	—
Returns Outwards	—	3,000
Returns Inwards	4,080	
Sales	—	5,92,680
Purchases	2,44,050	—
Cash at Bank	15,780	—
Cash in Hand	3,240	—
	10,59,480	10,59,480

The following adjustments are to be made:

(a) Closing Stock was valued at ₹ 40,800.
(b) A provision for Doubtful Debts is to be created to the extent of 5 per cent on Sundry Debtors.
(c) Depreciate Machinery by 10%, Patents by 20%, Buildings by 5%.
(d) Wages include a sum of ₹ 12,000 spent on erection of a cycle shed for employees and customers.
(e) Salaries, amounting to ₹ 9,000 were unpaid. Insurance includes a premium of ₹ 1,020 on a policy, expiring on 30th September, 2013.

[**Ans.** GP ₹ 2,62,290, NP ₹ 88,050, Total of B/S ₹ 5,29,380]

32. Sanjiv Sondhi starts business on 1st April, 2012 with a capital of ₹ 18,000. The following Trial Balance was drawn up from his books at the end of the year:

Particulars	₹	*Particulars*	₹
Drawings	2,700	Capital	24,000
Plant and Fixtures	4,800	Sales	96,000
Purchases	69,600	Sundry Creditors	7,200
Carriage Inward	1,200	Bills Payable	5,400
Returns Inward	2,400		
Wages	4,800		
Salaries	6,000		
Printing and Stationery	480		
Advertisement	720		
Trade Charges	360		
Rent and Taxes	840		
Sundry Debtors	15,000		
Bills Receivable	3,000		
Investments	9,000		
Discount	300		
Cash at bank	9,600		
Cash in hand	1,800		
	1,32,600		1,32,600

The value of Closing Stock was ₹ 15,600. You are required to prepare his Trading and Profit & Loss Account for the year ended 31st March, 2013 and a Balance Sheet as on that date after taking the following facts into account:

(a) Salaries outstanding ₹ 300.
(b) Accrued Interest on investments amounted to ₹ 450.
(c) Plant and fixtures are to be depreciated by 10% p.a.
(d) ₹ 300 are Bad Debts and a Provision for Doubtful Debts is to be created at 5 per cent of the balance of debtors.
(e) Interest on capital is to be provided at 6% per annum. An additional Capital of ₹ 6,000 was introduced by Sanjiv Sondhi on 1 Oct., 2012.

[**Ans.** GP ₹ 33,600, NP ₹ 22,275, Total of B/S ₹ 57,735]

33. On 31st March 2013 the following Trial Balance was extracted from the books of Mohan:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Capital/Drawings	3,000	18,000
Debtors and Creditors	12,000	6,000
Loan	—	5,700
Interest on loan	180	—
Cash	1,200	—
Provision for Doubtful Debts	—	420
Opening Stock	4,080	—
Motor Vehicles	6,000	—
Bank	2,100	—
Land and Buildings	7,200	—
Bad Debts	300	—
Purchases and Sales	39,600	66,000
Returns	4,800	900
Carriage Outward	1,500	—
Carriage Inward	1,800	—
Salaries	5,400	—
Rent and Insurance	1,800	—
Advertising	2,100	—
Discount	—	300
General Expenses	2,040	—
Bills Receivable and Bills Payable	3,600	1,200
Rent received	—	180
	98,700	98,700

Prepare Trading and Profit & Loss Account for the year ended on 31st March 2013 and Balance Sheet as on that date after making adjustments for the following:

(a) Closing Stock-in-hand was valued at ₹ 4,200.
(b) Salaries outstanding ₹ 120. Prepaid Insurance ₹ 120.
(c) Depreciate Land and Building at 2½% p.a. and Motor Vehicles at 20% p.a.
(d) Provision for Doubtful Debts is to be maintained at 5% on Sundry Debtors.

[**Ans.** GP ₹ 20,820, NP ₹ 6,420, Total of B/S ₹ 34,440]

34. From the following Trial Balance, extracted from the books of MMN, prepare a Trading and Profit & Loss Account for the year ended 31st March, 2013 and a Balance Sheet as on that date:

Particulars	*Dr. (₹)*	*Cr. (₹)*
MMN's Capital Account/Drawings Account	12,960	1,80,000
Land and Buildings	50,000	—
Plant and Machinery	28,540	—
Furniture and Fixtures	2,500	—
Carriage Inwards	8,740	—
Wages	42,940	—
Salaries	9,340	—
Provision for Doubtful Debts, April 1, 2012	—	4,940
Returns	3,520	16,920
Bank Charges	280	—
Coal, Gas and Water	1,440	—
Rates & Taxes	1,680	—
Discount Account	—	240
Purchases/Sales	84,320	1,82,460
Bills Receivable	2,540	—
Trade Expenses	3,980	—
Sundry Debtors/Creditors	75,600	24,340
Opening Stock	52,840	—
Apprentice premium (Received from an apprentice in factory)	—	1,000
Fire Insurance	980	—
Cash at Bank	26,000	—
Cash in hand	1,700	—
	4,09,900	4,09,900

(a) Charge depreciation on Land and Buildings Account at 2-1/2% p.a., on Plant and Machinery Account at 10% p.a. and on Furniture & Fixtures Account at 10% p.a.

(b) Make a Provision of 5% on the Sundry Debtors for Doubtful Debts.

(c) Carry forward the following unexpired amounts:
Fire Insurance ₹ 250, Rates and Taxes ₹ 480, Apprentice Premium ₹ 800.

(d) The value of stock as at 31st March 2013 was agreed at ₹ 58,780.

(e) Charge interest on Capital @ 5% p.a. but not on Drawings.

[**Ans.** GP ₹ 64,360, NP ₹ 37,076, Total of B/S ₹ 2,38,256]

35. The following Trial Balance has been extracted from the books of Shri Santosh Kumar on 31st March, 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Plant and Machinery	60,000	—
Furniture and Fixtures	7,200	—
Capital Account/Drawings Account	1,200	1,05,600
Loose Tools	12,000	—
Goodwill	6,000	—
Opening Stock	12,000	—
Returns	4,800	2,400
Discount	—	3,600
Purchases/Sales	1,27,200	2,80,800
Wages and Other Expenses	60,000	—
Provision for Doubtful Debts	—	1,200
Carriage Inwards	7,200	—
Salaries	24,960	—
General Expenses and Insurance	43,200	—
Rent and Taxes	8,640	—
Postage and Telegrams	2,400	—
Bank Overdraft	—	12,000
Sundry Debtors/Creditors	33,600	14,400
B. Barua	1,200	—
Cash and Bank Balances	8,400	—
	4,20,000	4,20,000

The following additional information is available:

(a) Closing Stock was ₹ 18,480.

(b) Depreciation is to be charged on Plant and Machinery at 5% p.a. and Furniture & Fixtures at 6% p.a. Loose Tools are revalued at ₹ 9,600.

(c) Provision for Doubtful debts is to be maintained at 5% on Sundry Debtors.

(d) Remuneration of ₹ 1,200 paid to Mr B. Barua, a temporary employee, stands debited to his personal account and it is to be corrected.

(e) Unexpired Insurance was ₹ 240.

Required: Prepare Trading and Profit & Loss Account for the year ended 31st March, 2013 and a Balance Sheet as on that date.

[**Ans.** GP ₹ 90,480, NP ₹ 7,608, Total of B/S ₹ 1,38,408]

36. The following Trial balance was extracted on 31.03.2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Furniture and Fittings	1,280	—
Motor Vehicles	12,500	—
Buildings	15,000	—
Capital	—	37,000
Bad Debts	250	—
Provision for Doubtful Debts	—	400
Sundry Debtors and Creditors	7,600	5,000
Opening Stock	6,920	—
Purchases and Sales	10,950	30,900
Bank overdraft	—	5,700

Sales and Purchases returns	400	250
Advertising	900	—
Interest on Bank Overdraft	236	—
Commission	—	750
Cash	1,900	—
Taxes and Insurance Premium	1,564	—
General Expenses	2,500	—
Salaries	6,600	—
Investments	12,000	—
Interest on Investments	—	600
	80,600	80,600

Adjustments:

(a) Closing Stock on hand ₹ 6,500

(b) Depreciate Buildings @ 5% p.a.; Furniture @ 10% p.a.; Motor Vehicles @ 20% p.a.

(c) ₹ 170 is due for interest on Bank Overdraft.

(d) Salaries ₹ 600 and Taxes ₹ 400 are outstanding.

(e) Insurance Premium amounting ₹ 200 prepaid.

(f) One-third of the commission received is in respect of work to be done next year. Accured Interest on Investments ₹ 600.

(g) Write off a further sum of ₹ 200 as bad debts from Debtors and create provision for Doubtful Debts @ 5% on debtors.

Required: Prepare a Trading and Profit & Loss Account and the Balance Sheet.

[**Ans.** GP ₹ 19,380, NP ₹ 4,512, Total of B/S ₹ 52,632]

37. From the following Trial Balance of Mr A, prepare a Trading and Profit & Loss A/c for the year ending 31st March, 2013 and a Balance Sheet as on that date:

Particulars	₹	*Particulars*	₹
Cash	6,000	Sales	1,08,300
Stock	24,480	Returns	117
Wages	13,515	Loans at 12% (on 1.7.2012)	12,000
Purchases	78,177	Creditors	18,183
Returns	1,440	Discount	318
Repairs	1,005	Capital	22,500
Bad debts	1,386		
Interest on Loan	360		
Salaries	4,800		
Sales Tax	480		
Octroi	300		
Insurance	600		
Charity	75		
Rent	1,200		
Machinery	9,600		
Debtors (including Shyam for dishonoured bill of ₹ 480)	18,000		
	1,61,418		1,61,418

Adjustments:

(a) Wages include ₹ 1,200 for erection of new machinery on 1.4.2013.
(b) Closing Stock was ₹ 24,555.
(c) Provide Depreciation on Machinery @ 5% p.a.
(d) Salaries unpaid ₹ 480. Create a provision at 5% on other debtors.
(e) Half the amount of Shyam's bills is irrecoverable.
(f) Rent paid up to 31st July 2013. Insurance unexpired ₹ 180.

[**Ans.** GP ₹ 16,260, NP ₹ 4,296, Total of B/S ₹ 58,179]

38. Prepare Trading and Profit & Loss Account and Balance Sheet from the following particulars as at 31st March 2013:

TRIAL BALANCE

Particulars	*Dr. (₹)*	*Cr. (₹)*
Capital/Drawings	840	6,000
Cash in hand	900	—
Bank overdraft @ 5%	—	1,200
Purchases and Sales	7,200	9,000
Returns	600	1,200
Establishments charges	1,500	—
Taxes and Insurance	300	—
Provision for Doubtful Debts	—	600
Bad Debts	300	—
Sundry Debtors and Creditors	3,000	1,110
Commission	—	300
Investments	2,400	—
Opening Stock	1,800	—
Furniture	360	—
Bills Receivable & Bills Payable	1,800	1,500
Collected Sales Tax	—	90
	21,000	21,000

Further, you are required to take into consideration the following information:

(a) Closing Stock was valued at ₹ 2,700.
(b) A fire occurred on 25 March, 2013 in the godown and stock of the value of ₹ 600 was destroyed. It was fully insured and the insurance company admitted the claim in full.
(c) Salary ₹ 60 and taxes ₹ 240 are outstanding but insurance ₹ 30 prepaid.
(d) Commission amounting to ₹ 60 has been received in advance for work to be done next year. Interest accrued on investments ₹ 126.
(e) Depreciation on furniture is to be charged at 10% p.a.
(f) Provision for Doubtful Debts is to be maintained at 20%.

[**Ans.** GP ₹ 3,900, NP ₹ 1,800, Total of B/S ₹ 11,280]

39. From the following balances taken from the Ledger of Shri Kite, prepare the Trading and Profit and Loss Account for the year ended 31st March, 2013 and the Balance Sheet as at that date:

Particulars	₹	*Particulars*	₹
Sundry Creditors	38,000	Bad Debts	200
Building	30,000	Loan from Ram	5,000
Income Tax	2,050	Sundry Debtors	19,000
Loose Tools	2,000	Investment	13,000
Cash at Bank	32,400	Provision for Doubtful Debts	3,200
Sundry Expenses	3,980	Rent & Rates	1,700
Bank Interest (Cr.)	150	Furniture	6,000
Purchases	3,14,000	Opening Stock	54,700
Wages	20,000	Capital	94,780
Carriage Inwards	2,240	Discount allowed	1,260
Sales	3,70,000	Dividends received	1,070
Motor Van	25,000	Drawings	4,000
Cash in Hand	670	Bills payable	20,000

Adjustments to be taken into account:

(a) Write off further ₹ 600 as bad out of Sundry Debtors and create a provision for Doubtful Debts @ 20% on Debtors.
(b) Dividends accrued and due on investments is ₹ 270, Rates paid in advance ₹ 200, wages owing ₹ 900.
(c) On 31st March Stock was valued at ₹ 30,000 and Loose Tools were valued at ₹ 1,600.
(d) Write off 5 per cent for depreciation on Buildings and 40 percent on Motor Van.
(e) Provide for interest at 12 per cent per annum due on Loan taken on 1.6.2012.
(f) Income tax paid has to be treated as Drawings.

[**Ans.** GP ₹ 8,160; Net Loss ₹ 10,770; Total of B/S ₹ 1,42,360]

40. The following is the trial balance or Shri Ram at 31st March, 2013 and it is desired to prepare final accounts showing the results of the transactions of the year:–

Particulars	*Dr. (₹)*	*Cr. (₹)*
Capital Account/Drawings	3,600	24,600
Plant and Machinery	30,600	—
Office Furniture	1,560	—
Opening Stock	28,800	—
Motor Van	7,200	—
Sundry Debtors/Creditors	27,000	31,200
Cash in hand	240	—
Balance at Bank	3,900	—
Wages— Factory	90,000	—
Office	8,400	—
Purchases/Sales	1,28,100	2,88,000
Bills Receivable	4,320	—
Bills Payable	—	3,360
Returns	5,580	3,300

Provision for Doubtful Debts	—	1,500
Rent	3,600	—
Lighting	480	—
Telephone	810	—
Insurance	180	—
Advertisement	3,810	—
General expenses	600	—
Bad debts	1,500	—
Discount	3,900	2,220
.....	3,54,180	3,54,180

The following adjustments are to be made:

(a) Closing Stock ₹ 31,200

(b) Rent due but not paid ₹ 1,200, Lighting due but not paid ₹ 180, Insurance paid in advance ₹ 60

(c) Depreciation—to be written off:
Plant & Machinery @ 33-1/3%, Office Furniture @ 10%, Motor Van @ 33-13%

(d) The Provision for Doubtful Debts has to be increased to ₹ 1,800.

(e) The Provision for Discounts at 2-1/2% (Two and half percent) on Debtors

[**Ans.** GP ₹ 70,020; NP ₹ 33,954; Total of B/S ₹ 90,894]

41. From the following figures extracted from the books of Mr Gunny, you are required to prepare a Trading and Profit and Loss Account for the year ended 31st March, 2013 and a Balance Sheet as on that date after making the necessary adjustments:

	₹		₹
Shri Govind's Capital	4,57,600	Bills payable	11,000
Shri Govind's drawings	26,400	Opening Stock	77,000
Plant and Machinery	1,98,000	Wages	70,400
Freehold property	1,32,000	Sundry Creditors	88,000
Purchases	2,20,000	Postage and Telegrams	3,080
Returns outwards	2,200	Insurance	3,520
Salaries	26,400	Gas and Fuel	5,940
Office expenses	5,500	Bad Debts	1,320
Office furniture	11,000	Office Rent	5,720
Discount A/c (Dr.)	2,640	Freight	19,800
Sundry Debtors	58,520	Loose Tools	4,400
Loan to Shri Krishna		Factory Lighting	2,200
@ 10% p.a. balance		Provision for Doubtful Debts	1,760
on 1.4.2012	88,000	Interest on loan to Shri Krishna	2,200
Cash at Bank	58,520	Cash in hand	5,280
Sales	4,62,880		

Adjustments:

(a) Closing Stock valued at ₹ 1,45,200.

(b) A new machine was installed during the year costing ₹ 30,800 but it was not recorded in the books as no payment was made for it. Wages ₹ 2,200 paid for its erection have been debited to wages account.

(c) Depreciate plant and machinery by 33-1/3%, Furniture by 10%, Freehold property by 5%.

(d) Loose tools were valued at ₹ 3,520.
(e) Of the Sundry debtors ₹ 1,320 are bad and should be written off.
(f) Maintain a provision of 5% on Sundry Debtors for doubtful debts.
(g) The manager is entitled to a commission of 10% of the net profits after charging such commission.

[**Ans.** GP ₹ 2,17,140; NP ₹ 81,600; Total of B/S ₹ 6,50,760]

42. The following is the Trial Balance of Mr Wise Mind as on March 31, 2013:

Particulars	*Dr. (₹)*	*Cr. (₹)*
Fixed Assets	3,24,000	—
Depreciation on Fixed Assets	36,000	—
Cost of Goods Sold	6,69,600	—
Closing Stock	50,400	—
Trade Debtors/Trade Creditors	2,40,000	1,16,400
Bills Payables	—	6,720
Bills Receivables	12,000	—
12% Investments (Purchased on 1.7.2012)	60,000	—
Interest on Investments	—	5,400
Accrued Interest on Investments	1,800	—
Interest	3,000	—
Loan from Bank	—	4,800
Cash in Hand	6,000	—
Cash at Bank	12,000	—
Drawings	12,000	—
Interest on Drawings	—	1,200
Interest on Capital	48,000	
Capital	—	5,26,800
Sales	—	8,76,000
Return Inward	12,000	—
Carriage Outward	2,400	—
Discount	2,400	1,200
Bad Debts	7,800	—
Rent	4,320	—
Outstanding Rent	—	720
Insurance	3,240	
Prepaid Insurance	1,080	
Other Office and Administrative Expenses	15,840	
Selling and Distribution Expenses	53,880	
Provision for Doubtful Debts	—	31,800
Provision for Discount on Debtors	—	6,720
	15,77,760	**15,77,760**

Required: Prepare the Trading and Profit & Loss Account for the year ending March 31, 2013 and the Balance Sheet as on March 31, 2013.

[**Ans.** GP ₹ 1,94,400; NP ₹ 35,520; Total of B/S ₹ 6,78,960]

43. The following Trial Balance was extracted from the books of Mr Selfish as on 31st March 2013:

Particulars	₹	*Particulars*	₹
Plant and Machinery	2,00,000	Capital Account	8,00,000
Manufacturing wages	3,45,000	Sundry Creditors	4,45,600
Salaries	1,58,500	Bank loan	1,50,000
Furniture	1,00,000	Purchase returns	17,400
Freight on purchase	18,600	Sales	25,08,500
Freight on sales	21,400	Provision for Doubtful debts	20,000
Buildings	2,40,000		
Manufacturing expenses	95,000		
Insurance and tax	42,500		
Goodwill	2,50,000		
General expenses	82,000		
Factory fuel and power	12,800		
Sundry debtors	7,82,000		
Factory lighting	9,500		
Opening Stock	3,42,000		
Motor car	1,20,000		
Purchases	10,20,000		
Sales returns	31,000		
Bad Debts	14,000		
Interests and Bank Charges	4,000		
Cash at bank	42,000		
Cash in hand	11,200		
	39,41,500		39,41,500

Required: Prepare the Trading and Profit and Loss Accounts for the year ended 31st March, 2013, and the Balance Sheet as on that date taking into consideration the following information:

(a) Closing Stock was ₹ 3,05,000.

(b) Deprecate Plant and Machinery by 10% p.a., Furniture by 5% p.a. and Motor car by ₹ 10,000.

(c) Create provision for doubtful debts at 5% on Sundry Debtors.

(d) A commission of 1% on the gross profit is to be provided to Works Manager.

(e) General Manager is to be allowed a commission @ 2% on net profit after charging works Manager's and before charging his own's Commission.

[**Ans.** GP ₹ 9,57,000, NP ₹ 5,59,510, Total of B/S ₹ 19,76,100]